

From Iran to Taylor Swift: Informed Trading in Prediction Markets

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March 16, 2026

FIRST DRAFT – COMMENTS WELCOME

Abstract

This Article presents a systematic empirical and legal study of informed trading on prediction markets. We document a series of case studies in which traders appear to have exploited material nonpublic information on Polymarket and Kalshi, spanning events from the joint U.S. - Israel February 2026 strike on Iran to pre-announcement trading in Taylor Swift's engagement. Building on these cases, we develop a statistical screening of all Polymarket markets from February 2024 through February 2026, analyzing over 210,000 suspicious wallet-market pairs using a composite score that combines bet size anomalies, profitability, pre-event timing, and directional concentration. Flagged traders achieve a 69.9% win rate well in excess of chance, and we estimate approximately \$143 million in aggregate anomalous profit. We then analyze the legal framework governing this conduct, finding that neither the classical nor misappropriation theories of securities fraud map cleanly onto geopolitical or macroeconomic event contracts, and that the CFTC's principal anti-fraud vehicle, Rule 180.1, is narrower in critical respects than SEC Rule 10b-5 and has rarely been applied to prediction markets. We argue that a comprehensive regulatory response requires mandatory registration and surveillance obligations for any platform serving U.S. persons, contract-level rules targeting high-risk information channels, and an extended misappropriation theory directed at informed traders on decentralized platforms that resist operator-level regulation.

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Table of Contents

I. Introduction	2
II. Theoretical Framework and Prior Literature	6
A. The Information Aggregation Thesis and Its Empirical Foundations	6
B. Price Discovery, Information Asymmetry, and Trading on Prediction Markets	7
C. Concerns about Prediction Markets	9
III. Case Studies of Informed Trading in Prediction Markets	11
A. The 2026 Iran Strike Trade	11
B. The Maduro Trade	16
C. The IDF Insider Trading Case	23
D. The Nobel Peace Prize Case	28
E. The AlphaRaccoon / Google Year in Search Case	34
F. The OpenAI Browser Case	42
G. The Taylor Swift / romanticpaul Case	53
IV. Statistical Analysis	60
A. Statistical Validation	69
B. Rejecting the Random Chance Explanation	76
C. Profit-and-Loss Analysis	77
V. Legal Analysis	85
A. Insider Trading Doctrine and Prediction Markets	85
B. Regulatory Architecture and the Classification Problem	88
C. Insider Trading in the Age of Prediction Markets	91
VI. Conclusion	94

I. Introduction

In the hours before the February 28, 2026 U.S.-Israeli strike on Iran, six newly created Polymarket wallets collectively earned approximately \$1 million by purchasing "Yes" shares in the "US strikes Iran by February 28?" contract at prices as low as \$0.10. Blockchain analytics firm Bubblemaps concluded that these contracts—which settled at \$1.00 upon confirmation of the strikes—were consistent with advance knowledge of the operation, noting that all six accounts were created in February 2026, funded within twenty-four hours of the attack, and had no prior trading history outside Iran strike contracts.³ The episode unfolded against the backdrop of a \$529 million total market volume on Polymarket's Iran strike contracts since December 2025, one of the largest markets in the platform's history, and individual profits ranging from \$45,556 to \$494,375 per wallet.⁴ One account, "Magamyman", placed its first trade seventy-one minutes before the news broke, when markets implied only a 17% probability of a strike.⁵

Three days before the strikes, the CFTC's Division of Enforcement had issued Press Release No. 9185-26, explicitly warning that insider trading on event contracts may violate CEA Section 6(c)(1) and CFTC Regulation 180.1 - the agency's Rule 10b-5 analogue for commodity derivatives - and accompanied the advisory with the first publicly known prediction market insider trading enforcement actions, a pair of fines against a MrBeast video editor and a political candidate, confirming that the regulatory authority exists even if no enforcement action targeting the February 28 trading has yet been announced.⁶

Trading ahead of major geopolitical or economic events on prediction markets like Polymarket and Kalshi is the new frontier for price discovery. Prediction markets have come to serve as the ultimate aggregation of information concerning the likelihood and magnitude of uncertain future events. These markets are also the latest focus of U.S. and global prosecutors looking to enforce prohibitions against the misappropriation of classified or otherwise confidential information under wire fraud and similar anti-fraud statutes.⁷

³ Zack Abrams, *Fresh Accounts Netted \$1 Million on Polymarket Hours Before US Airstrikes on Iran: Bubblemaps*, The Block (Feb. 28, 2026), <https://www.theblock.co/post/391650/fresh-accounts-netted-1-million-on-polymarket-hours-before-us-airstrikes-on-iran-bubblemaps>; Francisco Rodrigues, *Suspected Insiders Make Over \$1.2 Million on Polymarket Ahead of U.S. Strike by Betting on U.S.'s Iran Strike on Iran*, CoinDesk (Feb. 28, 2026), <https://www.coindesk.com/markets/2026/02/28/suspected-insiders-make-over-usd1-2-million-on-polymarket-ahead-of-u-s-strike-on-iran>

⁴ *Id.*; Emily Nicolle, *Polymarket Iran Bets Hit \$529 Million as New Wallets Raise Insider Concerns*, Bloomberg (Feb. 28, 2026), <https://www.bloomberg.com/news/articles/2026-02-28/polymarket-iran-bets-hit-529-million-as-new-wallets-draw-notice>.

⁵ Ece Yildirim, *Some Alleged Polymarket Insiders Made a Fortune on U.S. Strikes on Iran*, Gizmodo (Mar. 2, 2026).

⁶ CFTC Div. of Enforcement, *Prediction Markets Advisory: Insider Trading in Event Contracts May Violate Federal Law*, CFTC Press Release No. 9185-26 (Feb. 25, 2026), <https://www.cftc.gov/PressRoom/PressReleases/9185-26>; 7 U.S.C. § 9(1) (2018); 17 C.F.R. § 180.1 (2011).

⁷ Bobby Allyn, *A \$400,000 Profit on Maduro's Capture Raises Insider Trading Questions on Polymarket*, NPR (Jan. 5, 2026), <https://www.npr.org/2026/01/05/nx-s1-5667232/polymarket-maduro-bet-insider-trading>.

Prediction markets began to capture public attention in early 2026, when media outlets noted that traders profited from betting on the U.S. capture of former Venezuelan President Maduro. In particular, one trader cashed in more than \$400,000 in profit on Polymarket bets placed just days and hours before the operation. This was not the first documented instance of suspicious prediction market activity. In December 2025, a Polymarket bettor reportedly earned more than \$1 million through a series of successful wagers tied to Google search rankings, while another trader successfully predicted the launch of ChatGPT's web browser.⁸ A year earlier, an anonymous French bettor reportedly took home about \$85 million in Polymarket profits after predicting Donald Trump's electoral victory, prompting French authorities to review Polymarket's compliance with local gambling regulations.⁹

Prosecutors and lawmakers were swift to respond. In a February 5, 2026 speech, U.S. Attorney for the Southern District of New York Jay Clayton noted that antifraud law applies to prediction markets, and liability is likely to be especially straightforward when these contracts resemble existing regulated instruments. He suggested that prediction market activity should be analyzed according to the economic function it fulfills, such as contracts which function equivalently to out-of-the-money put options. He also emphasized that fraudulent conduct should not escape liability merely because it occurs on a prediction platform.¹⁰

In a remarkable coincidence, just days later, Israeli authorities indicted a civilian and an IDF reservist for allegedly using classified wartime information to place wagers on Polymarket, yielding over \$150,000 in profit. Prosecutors emphasized that the accused would be prosecuted for "serious security offenses, bribery, and obstruction of justice."¹¹ The misappropriation of material nonpublic information concerning military activity to profit from trading on a prediction market closely resembles insider trading, in which, under U.S. law, the crime is not the exploitation of nonpublic information *per se* but the deceptive theft of that information and its undisclosed conversion for personal gain.¹² The same day, Representative Ritchie Torres

⁸ Julia Shapero, Prediction Markets Draw Fresh Scrutiny After Massive Maduro Bet, The Hill (January 14, 2026), <https://thehill.com/policy/technology/5687162-insider-trading-prediction-markets-venezuela/>

⁹ Alexander Ospipovich, Trump Whale Scores \$85 Million Windfall on Election, The Wall Street Journal (November 13, 2024), https://www.wsj.com/finance/trump-whale-scored-85-million-windfall-on-election-7c2cd906?mod=latest_headlines

¹⁰ Jay Clayton, U.S. Att'y, S. Dist. of N.Y., Keynote Q&A Discussion at the Securities Enforcement Forum New York (Feb. 5, 2026) (remarks at JW Marriott Essex House, New York, N.Y.), <https://www.youtube.com/watch?v=EaWlqPlebDI>

¹¹ Shir Perets, Israel Indicts Reservist, Civilian for Using Classified Information to Bet on IDF Military Action, The Jerusalem Post (February 12, 2026), <https://www.jpost.com/israel-news/crime-in-israel/article-886456>. The details of this matter are not yet publicly available as the indictment remains sealed, but we note that the Israeli Penal Law defines the offense of bribery as "a public servant who takes a bribe for an act connected with his functions," and a reservist is defined as a public servant. See §290(a), §34x, Penal Law, 5737-1977, LSI Special Volume 1 (1978) (Isr.), https://main.knesset.gov.il/EN/about/history/documents/kns8_penallaw_eng.pdf; §1(2), Military Justice Law, 5715-1955, LSI 54 184 (Isr.), https://main.knesset.gov.il/EN/about/history/documents/kns2_militaryjustice_1_eng.pdf.

¹² United States v. O'Hagan, 521 U.S. 642, 652 (1997).

introduced the Public Integrity in Financial Prediction Markets Act of 2026, which prohibits a “covered individual from engaging in covered transactions involving prediction market contracts, and for other purposes.”¹³ The proposed legislation applies to federal elected officials, political appointees, Executive Branch employees, and congressional staff. The integrity of prediction markets is evidently front and center in the prosecutorial and policy landscape.

Our study joins a long literature on information transmission in financial markets in advance of geopolitical events.¹⁴ We make several contributions to this literature as well as the emerging debate over informed trading in prediction markets:

- **First**, while a complete theoretical model is beyond the scope of this paper, we briefly sketch some theoretical considerations relevant to evaluating the social welfare effects of the exploitation of this information.
- **Second**, we perform a systematic analysis of suspicious transactional activity by wallets previously identified in the news as likely exploiting nonpublic information concerning future geopolitical and macroeconomic events.
- **Third**, we identify potentially unexplored suspicious patterns to estimate the magnitude and extent of informed trading throughout prediction markets.
- **Fourth**, we estimate the aggregate profit and loss to likely informed trading activity by identifiable accounts and find estimates of approximately \$143 million.
- **Finally**, we examine the legal implications of informed trading in prediction markets and sketch some directions for future reform.

Theoretical considerations. Writing in 1945, the economist F.A. Hayek famously described market prices as a “system of telecommunications” which convey information between sectors of the economy.¹⁵ The role of prices as transmitters of information features centrally in securities law scholarship on the benefits of price accuracy,¹⁶ which generally applies to commodities markets. What makes prediction markets unique is that these two-sided contracts pay off in specific states of the world, as opposed to commodities whose prices can be influenced by a wide range of factors.¹⁷ In this way, prediction contracts “complete” markets, increasing diversification, reducing risk exposure, and thereby increasing the welfare of risk-averse investors.¹⁸ Like any market, however, prediction markets are impaired by fraud, manipulation and other hallmarks of asymmetric information. Trading profits obtained on

¹³ H.R. 7004, 119th Cong. (2026) (Public Integrity in Financial Prediction Markets Act)

¹⁴ For a longer discussion of this literature, see generally Joshua Mitts & Robert J. Jackson, Jr., *Trading on Terror?* (working paper, 2023), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=4652027.

¹⁵ Friedrich A. Hayek, *The Use of Knowledge in Society*, 35 *Am. Econ. Rev.* 519, 527 (1945).

¹⁶ See, e.g., Merritt B. Fox, Randall Morck, Bernard Yeung & Artyom Durnev, *Law, Share Price Accuracy, and Economic Performance: The New Evidence*, 102 *MICH. L. REV.* 331 (2003); Merritt B. Fox, *Measuring Share Price Accuracy*, 1 *BERKELEY BUS. L. J.* 113 (2004).

¹⁷ Justin Wolfers & Eric Zitzewitz, *Prediction Markets*, 18 *J. Econ. Persp.* 107, 108 (2004). See, in the context of event studies, Erik Snowberg, Justin Wolfers & Eric Zitzewitz, *How Prediction Markets Can Save Event Studies*, in *Prediction Markets: Theory and Application* 18 (Leighton Vaughan Williams ed., 2011)

¹⁸ Kenneth J. Arrow, *The Role of Securities in the Optimal Allocation of Risk-Bearing*, 31 *Rev. Econ. Stud.* 91 (1964); Stefano Athanassoulis, Robert Shiller & Eric van Wincoop, *Macro Markets and Financial Security*, 5 *Econ. Pol’y Rev.* 21 (1999).

prediction markets represent wealth transfers, and the exploitation of uninformed retail traders has political and economic implications, even if those traders are not the most sympathetic of victims, having signed up to gamble on the unknown future.

Empirical evidence. To quantify the extent of informed trading in prediction markets, we analyze a series of case studies which have received significant media attention: the Maduro trade, the IDF case, the Nobel Peace Prize case, the AlphaRaccoon case, the OpenAI browser case, and the Taylor Swift / romanticpaul case. We then perform a systematic analysis of Polymarket and other trading platforms and identify a series of potentially suspicious patterns, and many of these cases have not yet featured prominently in public discourse over prediction markets. We identify a total of \$143 million in aggregate profit from anomalous trading in prediction markets since February 2024.

Limitations. It is important to acknowledge that our analysis is limited in a number of ways. For one, we cannot observe the entire portfolio position of a given individual or entity, particularly when they maintain multiple blockchain identifiers. It is entirely possible that a profitable trade was only one part of a strategy which had other, unprofitable legs, or that the trader had entered into a hedging position (or that the anomalous trade was itself a hedge) which offset or eliminated the profits measured here. Moreover, as in any study of trading data which lacks direct evidence of the information available to a given trader, we cannot rule out the possibility that we are simply identifying unlikely coincidental patterns, rather than the exploitation of material, nonpublic information. Nonetheless, we believe that the patterns are sufficiently unusual as to warrant the sort of scrutiny that we engage in here.

Legal analysis. The application of insider trading law to prediction markets exposes significant gaps in existing doctrine and regulatory architecture. The two principal theories of insider trading liability under federal securities law, the classical and misappropriation theories, were developed with traditional securities markets in mind, and neither maps cleanly onto prediction market contracts whose payoffs depend on geopolitical or macroeconomic events rather than corporate performance. Whether such contracts are securities or commodities is itself unsettled, and that classification question carries major practical consequences: if a contract is not a security, Section 10(b) of the Securities Exchange Act does not apply, leaving the CFTC's anti-fraud rule, Rule 180.1, as the primary enforcement vehicle. That rule, though modeled on SEC Rule 10b-5, is narrower in critical respects and limited when applied to prediction markets. Wire fraud offers another potential avenue for liability, but raises its own challenges, particularly where the nonpublic information at issue lacks clear commercial value to the party holding it.

The regulatory picture is further complicated by the structural divide between centralized, CFTC-regulated platforms like Kalshi and decentralized, blockchain-based protocols like Polymarket, which has hosted the majority of documented suspicious trading yet operates in a legal gray area. This asymmetry gives rise to a question the existing literature has not squarely addressed: should insider trading regulation attach to the platform, to the contract, or to both, and should the answer turn on the underlying technology? Platform-level regulation, as embodied in the CFTC's Designated Contract Market framework, offers comprehensiveness but

cannot reach offshore or decentralized operators. Contract-level regulation, as reflected in the Dodd-Frank Section 745 framework and the recently introduced H.R. 7004, offers precision but is structurally underinclusive, since the universe of potential event contracts is unlimited and any specific prohibition can be circumvented. We argue that neither approach alone is sufficient. A workable framework requires platform-level registration and surveillance obligations for any operator serving U.S. persons, contract-level rules targeting the information channels where insider asymmetries are most severe, and, for decentralized platforms that resist operator-level regulation, a novel liability theory directed at informed traders themselves under an extended misappropriation framework.

II. Theoretical Framework and Prior Literature

A. The Information Aggregation Thesis and Its Empirical Foundations

The modern case for prediction markets rests on a Hayekian premise: decentralized markets aggregate dispersed private information into publicly observable prices more efficiently than any alternative mechanism.¹⁹ The foundational empirical literature on prediction markets has overwhelmingly validated this premise - and in so doing, has laid the intellectual groundwork for the very insider-trading problem this Article addresses. If prediction markets succeed because they incentivize the revelation of private information through financial rewards, they also create powerful incentives for those with the most valuable private information to trade on it.

A survey by Wolfers and Zitzewitz demonstrated that prediction market forecasts are "typically fairly accurate" and outperform "most moderately sophisticated benchmarks".²⁰ In a companion paper, they provided the analytic foundations for interpreting prediction market prices as probability estimates, showing that under a broad class of utility functions, prices approximate the mean beliefs of market participants.²¹ Their subsequent review emphasized that prediction markets "efficiently aggregate information, are difficult to manipulate, [and] lack significant arbitrage opportunities," but acknowledged that "care must be taken when designing prediction markets to ensure they are . . . not subject to excessive insider information."²²

The Iowa Electronic Markets (IEM, previously Iowa Presidential Stock Market), which was designed and implemented in 1988 to predict voting shares in that year's presidential election, provided the empirical bedrock. Forsythe and coauthors established what will later be deemed the "marginal trader hypothesis", i.e., that a small number of rational, informed traders can set efficient prices even in markets dominated by biased participants.²³ Berg, Nelson, and Rietz

¹⁹Friedrich A. Hayek, *The Use of Knowledge in Society*, 35 *Am. Econ. Rev.* 519 (1945).

²⁰Justin Wolfers & Eric Zitzewitz, *Prediction Markets*, 18 *J. Econ. Persp.* 107 (2004).

²¹Justin Wolfers & Eric Zitzewitz, *Interpreting Prediction Market Prices as Probabilities 2* (Nat'l Bureau of Econ. Rsch., Working Paper No. 12200, 2006).

²²Erik Snowberg, Justin Wolfers & Eric Zitzewitz, *Prediction Markets for Economic Forecasting*, in *Handbook of Economic Forecasting* 657 (2013).

²³Robert Forsythe et al., *Anatomy of an Experimental Political Stock Market*, 82 *Am. Econ. Rev.* 1142 (1992).

then compared IEM predictions to 964 national polls across five presidential elections, finding that the market was closer to the eventual outcome 74% of the time and that IEM election-eve absolute prediction errors averaged just 1.3 percentage points.²⁴ This accuracy evidence proved so compelling that twenty-two leading economists, including Nobel laureates Kenneth Arrow, Thomas Schelling, Vernon Smith, and Robert Shiller, signed a joint letter urging that prediction markets be "freed of unnecessary government restrictions."²⁵

A substantial political science literature has compared prediction markets to polls, expert forecasts, and statistical models. Leigh and Wolfers found that prediction markets provide "a more reasonable degree of volatility, and useful forecasting performance" relative to polls, even in non-U.S. contexts.²⁶ David Rothschild confirmed that in close races, debiased prediction market forecasts provide more accurate probabilities than debiased poll-based forecasts.²⁷

Sunstein situated prediction markets within a broader epistemological framework, arguing they "do far better, in some domains, than deliberating groups" because they realign incentives in a way precisely overcomes the failures of deliberating groups, including information cascades and hidden profiles.²⁸ Hanson, contributed the logarithmic market scoring rule (LMSR)²⁹ that became the standard automated market-making mechanism, and proposed "decision markets" in which conditional predictions would inform policy choices.³⁰

A critical early study by Cowgill, Wolfers, and Zitzewitz examined internal prediction markets at Google and found that informationally advantaged employees, particularly engineers, dominated market performance.³¹ This finding foreshadowed a recurring pattern: within any information environment, those with the most relevant private knowledge naturally dominate prediction markets. Whether this dominance is characterized as desirable "information aggregation" or objectionable "insider trading" depends on one's normative framework and, increasingly, on the applicable legal regime.

B. Price Discovery, Information Asymmetry, and Trading on Prediction Markets

The literature shifted with the emergence of large-scale commercial prediction markets, particularly Polymarket (a blockchain-based platform running on the Polygon network) and Kalshi (a CFTC-registered designated contract market). Several recent empirical studies provide

²⁴Joyce E. Berg, Forrest D. Nelson & Thomas A. Rietz, Prediction Market Accuracy in the Long Run, 24 Int'l J. Forecasting 285, 285-286 (2008).

²⁵Kenneth J. Arrow et al., The Promise of Prediction Markets, 320 Science 877 (2008).

²⁶Andrew Leigh & Justin Wolfers, Competing Approaches to Forecasting Elections: Economic Models, Opinion Polling and Prediction Markets, 82 Econ. Rec. 325 (2006).

²⁷David Rothschild, Forecasting Elections: Comparing Prediction Markets, Polls, and Their Biases, 73 Pub. Op. Q. 895 (2009).

²⁸Cass R. Sunstein, Infotopia: How Many Minds Produce Knowledge 90 (2006).

²⁹Robin Hanson, Combinatorial Information Market Design, 5 Info. Sys. Frontiers 107 (2003).

³⁰Robin Hanson, Shall We Vote on Values, But Bet on Beliefs? 21 J. Pol'y Phil. 151, 152 (2007).

³¹Bo Cowgill, Justin Wolfers & Eric Zitzewitz, Using Prediction Markets to Track Information Flows: Evidence from Google 1 (Presented at Auctions, Market Mechanisms and Their Applications, 2009).

initial evidence of informed trading dynamics on these platforms, evidence that had been largely theoretical in the IEM era.

Bürgi, Deng, and Whelan provided the first systematic academic study of Kalshi, analyzing transaction-level data on over 300,000 contracts.³² They found that Makers (who post limit orders) systematically earn higher returns than Takers (who accept them),³³ documenting a structural information asymmetry between market participants. The study also documented a "clear favorite-longshot bias," where low-price contracts win far less often than required to break even.³⁴

A February 2026 Federal Reserve Board study by Diercks, Katz, and Wright provides perhaps the most consequential validation of prediction markets' information-aggregation capacity.³⁵ The paper introduces Kalshi macroeconomic prediction markets as a novel, high-frequency, and distributionally rich source of expectations data, covering CPI, Core CPI, PCE inflation, unemployment, payroll releases, GDP growth, recession probability, and federal funds rate target rates meeting-by-meeting.³⁶ Classified as a Designated Contract Market in the same regulatory category as the Chicago Mercantile Exchange,³⁷ Kalshi is the only platform providing real-time, financially backed probability distributions for variables like GDP growth and unemployment for which no other market-based distributions currently exist.³⁸ Additionally, they find that the Kalshi median and mode achieve a perfect forecast record on the day before each FOMC meeting, a statistically significant improvement over both fed funds futures and the Federal Reserve Bank of New York's Survey of Market Expectations.³⁹ For headline CPI, Kalshi's mean absolute error (7 basis points on release day) is statistically better than the Bloomberg consensus (8 basis points).⁴⁰ The paper further documents rich intraday dynamics: for example, the implied probability of a July 2025 rate cut fell below 80% following dovish remarks from Governors Waller and Bowman, before jumping above 90% after the June Nonfarm Payrolls report - price movements that are entirely missed with daily data.⁴¹

Diercks et al. also acknowledge, as a formal caveat, that Kalshi provides risk-neutral (Q-measure) probabilities rather than physical (P-measure) probabilities, meaning the implied distributions may be distorted by risk premia.⁴² The retail investor composition of Kalshi, they note, may alter these risk premia relative to institutionally dominated markets like SOFR options, where large firms' hedging needs can systematically bias implied probabilities.⁴³

³²Constantin Bürgi, Wanying Deng & Karl Whelan, *Makers and Takers: The Economics of the Kalshi Prediction Market* (CESifo Working Paper No. 12122, 2026).

³³*Id.*, at 36.

³⁴*Id.*, at 1.

³⁵Anthony M. Diercks, Jared Dean Katz & Jonathan H. Wright, *Kalshi and the Rise of Macro Markets 2* (Nat'l Bureau of Econ. Rsch., Working Paper No. 34702, 2026).

³⁶*Id.*, at 2.

³⁷*Id.*, at 2.

³⁸*Id.*, at 3.

³⁹*Id.*, at 4.

⁴⁰*Id.*, at 24.

⁴¹*Id.*, at 16.

⁴²*Id.*, at 13.

⁴³*Id.*, at 13.

Reichenbach and Walther analyzed 124 million Polymarket trades and found that only 30% of traders earn positive profits, but the proportion of profitable traders exceeds what randomness would predict, and profits are persistent over time - evidence of a population of skilled traders,⁴⁴ or perhaps even informationally advantaged ones. Shin had provided the theoretical framework for this finding decades earlier, modelling how bookmakers optimally adjust odds in the presence of insider traders, showing that insiders lend to the favorite-longshot bias.⁴⁵

An important recent contribution in the field of political predictions is a January 2026 working paper by Ng, Peng, Tao, and Zhou, which conducted the first systematic study of cross-platform price discovery across Polymarket, Kalshi, PredictIt, and Robinhood during the 2024 presidential election. They found that net order imbalance from large trades strongly predicts subsequent returns and that the platform experiencing greater directional order flow from large trades leads price discovery. Polymarket dominated Kalshi in price discovery when liquidity was high, and more liquid prediction markets substantially outperformed polls.⁴⁶ The finding that large trades predict returns is consistent with, though not proof of, insider-like information advantages.

C. Concerns about Prediction Markets

The proliferation of prediction markets has also raised some concerns. First, the wash trading⁴⁷ literature raises distinct concerns about market integrity on decentralized platforms. Sirolly, Ma, Kanoria, and Sethi developed a network-based procedure for detecting wash trading on Polymarket and estimated that approximately 25% of all buying and selling over three years was artificial trading. Wash trading overall peaked at nearly 60% of weekly volume in December 2024, with some markets showing over 90% inauthentic trades at times.⁴⁸ While likely motivated by "airdrop farming"⁴⁹ rather than price manipulation, this volume of artificial activity fundamentally undermines the "wisdom of crowds" narrative and could mask informed trading patterns, making it harder for surveillance tools like Insider Finder, a surveillance tool which scans Polymarket for anomalous trades suggesting insider knowledge,⁵⁰ to distinguish between wash trading and genuine insider trading.

Rabinovitz and Geslevich Packin levied a different critique. They demonstrated how prediction market platforms can pose a danger of "gambification," which blurs the line between financial

⁴⁴Felix Reichenbach & Martin Walther, Exploring Decentralized Prediction Markets: Accuracy, Skill, and Bias on Polymarket, available on SSRN (2025): https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5910522&utm.

⁴⁵Hyun Song Shin, Optimal Betting Odds Against Insider Traders, 101 Econ. J. 1179 (1991).

⁴⁶Hunter Ng et al., Price Discovery and Trading in Modern Prediction Markets, available at SSRN (2026), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5331995.

⁴⁷Wash trading is a form of market manipulation where the same financial instruments are bought and sold to create artificial market activity. This creates misleading signals about an asset's demand, potentially influencing other investors' decisions based on biased information.

⁴⁸Allen Sirolly et al., Network-Based Detection of Wash Trading 4 (2025), available on SSRN: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5714122.

⁴⁹Id.

⁵⁰Polysights, <https://app.polysights.xyz/insider-finder?tx=e496f56ee367fa&> (last visited Feb. 25, 2026).

forecasting and compulsive gambling.⁵¹ The integration of mechanics borrowed from gaming and casinos, such as leaderboards and explicit betting terminology,⁵² exploits behavioral psychology and fuels excessive speculative behavior among vulnerable populations.⁵³

Another issue raised in prediction markets is the question of manipulation. The literature regarding manipulation of prediction markets begins with Hanson and Oprea's counterintuitive theoretical finding that the presence of a manipulator can actually increase prediction market accuracy by boosting returns to informed trading and thus incentivizing traders to become informed.⁵⁴ Hanson, Oprea, and Porter examine this experimentally, finding that manipulators do not distort price accuracy.⁵⁵ However, Deck, Lin, and Porter challenged this hypothesis, demonstrating that "single-minded, well-funded manipulators can in fact destroy a prediction market's ability to aggregate informative prices."⁵⁶

The critical analytical distinction, which the literature has not adequately addressed, is between manipulation and insider trading. Manipulation involves attempting to move prices away from true values for strategic reasons; insider trading involves trading toward true values using private information. The self-correcting mechanism that defeats manipulation, informed traders arbitraging away price distortions, is precisely the mechanism through which insider trading operates. Insiders do not seek to distort prices; they profit by correcting them.

The case of the French whale trader "Théo," who wagered approximately \$80 million across eleven Polymarket accounts on Donald Trump winning the 2024 presidential election and profited roughly \$85 million, illustrates the manipulation-versus-informed-trading distinction. Théo had commissioned private polls and claimed his bets were driven by contrarian data analysis, not nonpublic information. His accounts held approximately 25% of all Trump Electoral College win contracts and over 40% of popular vote contracts.⁵⁷ The episode nonetheless demonstrated that single traders can dramatically move prediction market prices and that pseudonymity enables massive concentrated positions that would be flagged immediately in regulated securities markets.

More generally, Allensworth argued that the enthusiasm for prediction markets in law is misplaced because the circumstances in which these markets perform poorly are "precisely the circumstances in which law needs them most": when information is secret, thin, or involves catastrophic low-probability events.⁵⁸ However, the central concerning development in prediction

⁵¹Rabinovitz & Geslevich Packin, *supra* note 2, at 95.

⁵²*Id.*, at 107.

⁵³*Id.*, at 142.

⁵⁴Robin Hanson & Ryan Oprea, A Manipulator Can Aid Prediction Market Accuracy, 76 *Economica* 304 (2009).

⁵⁵Robin Hanson, Ryan Oprea & David Porter, Information Aggregation and Manipulation in an Experimental Market, 60 *J. Econ. Behav. & Org.* 449 (2006).

⁵⁶Cary Deck, Shengle Lin & David Porter, Affecting Policy by Manipulating Prediction Markets: Experimental Evidence, 85 *J. Econ. Behav. & Org.* 48 (2013).

⁵⁷See Case Studies, *infra*.

⁵⁸Rebecca Haw Allensworth, Prediction Markets and Law: A Skeptical Account, 122 *Harv. L. Rev.* 1217, 1218 (2009).

markets, which recent events have further emphasized,⁵⁹ has been evidence pointing towards unregulated insider trading.⁶⁰

In the following section, we lay out evidence from a set of case studies suggesting that informed trading is occurring in prediction markets.

III. Case Studies of Informed Trading in Prediction Markets

A. The 2026 Iran Strike Trade

Background: The February 28 Strike. On February 28, 2026, the United States and Israel launched coordinated airstrikes against Iran, killing Supreme Leader Ayatollah Ali Khamenei.⁶¹ The operation—the culmination of months of escalating tensions following the June 2025 Israel-Iran conflict—was among the most closely guarded military secrets in recent history.⁶² Since December 2025,, prediction markets on Polymarket had registered more than \$529 million in trading volume across strike-date contracts, making it one of the largest single-event trading episodes in the platform’s history.⁶³

But the trading had begun before the news broke. At approximately 05:15 UTC on February 28—roughly seventy-one minutes before the first wire reports of the strike—a Polymarket account operating under the display name “Magamyman” began quickly purchasing YES shares in the market “US strikes Iran by February 28, 2026?” at prices implying approximately a 17% probability of the event.⁶⁴ The account had previously bought and sold both YES and NO shares on that same market, but never at those rates. Within ninety minutes, the account had accumulated a large directional position across multiple Iran-related markets. When those markets resolved in the affirmative, the account’s profits totaled approximately \$553,000.⁶⁵

⁵⁹See Case Studies, *infra*.

⁶⁰Raj Ashar, *Insider Trading in the Era of Prediction Markets* (2025), available on SSRN: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5617110; Max Glik, *Public Trust and Market Integrity: How Insider Trading and Power Distort Fairness*, 2 UMass Undergrad. L. Rev. (2025).

⁶¹Bobby Allyn, *Polymarket Trader Made Over \$500,000 Betting on Iran Strike That Killed Supreme Leader*, NPR (Mar. 1, 2026), <https://www.npr.org/2026/03/01/nx-s1-5731568/polymarket-trade-iran-supreme-leader-killing>.

⁶²See Part III.C, *infra* (discussing the IDF insider trading case arising from Operation Rising Lion in June 2025). The February 2026 strikes followed months of escalating tensions between the United States and Iran, culminating in a coordinated U.S.-Israeli military operation.

⁶³ Zack Abrams, *Fresh Accounts Netted \$1 Million on Polymarket Hours Before US Airstrikes on Iran: Bubblemaps, The Block* (Feb. 28, 2026), <https://www.theblock.co/post/391650/fresh-accounts-netted-1-million-on-polymarket-hours-before-us-airstrikes-on-iran-bubblemaps>;

⁶⁴Polymarket Data API, trade records for wallet 0x4dfd481c16d9995b809780fd8a9808e8689f6e4a (display name “Magamyman”). First trade: 05:15:53 UTC on February 28, 2026, purchasing 190,257 YES tokens at \$0.17 per token in the “US strikes Iran by February 28, 2026?” market. See Polymarket, <https://polymarket.com/@Magamyman>.

⁶⁵Allyn, *supra* note 1 (reporting that the Magamyman account “earned roughly \$553,000” from the Iran-related positions).

Magamyman was not alone. Blockchain analytics firm Bubblemaps identified six freshly-created accounts that collectively won approximately \$1.2 million from pre-strike positioning across Iran-related markets.⁶⁶ The pattern drew immediate comparisons to the Maduro trade two months earlier.

The Polymarket Markets. Polymarket hosted a series of prediction markets related to potential U.S. and Israeli military action against Iran, structured across multiple event groups with overlapping timeframes.⁶⁷ The largest single event group—“US strikes Iran by...?”—encompassed sixty-four standalone binary contracts covering specific dates, with a combined volume of approximately \$529 million.⁶⁸ The key markets and their outcomes were as follows:

Table 1: Key Iran-Related Prediction Markets on Polymarket

Market Question	Total Volume	Resolution Date	Outcome
“Khamenei out as Supreme Leader by Feb. 28?”	\$131,114,971	Mar. 4, 2026	YES
“US strikes Iran by February 28, 2026?”	\$89,652,867	Feb. 28, 2026	YES
“US strikes Iran by...” (event group, including “US strikes Iran by February 28, 2026”)	\$529,033,417	Various	YES (Feb. 28)
“US next strikes Iran on...?” (daily series)	\$56,607,534	Various	YES (Feb. 28)
“Israel strikes Iran by February 28, 2026?”	\$4,085,721	Feb. 28, 2026	YES

Source: Polymarket, queried Mar. 15, 2026.

The sheer scale of the Iran-related markets—more than eight times the volume of the Maduro markets—reflects both the geopolitical significance of the event and the growing popularity of Polymarket as a trading venue.⁶⁹

The Magamyman Trades. The Magamyman account was not a freshly created wallet. On-chain records show it was created in October 2024, and the associated

⁶⁶Suspected Insiders Make Over \$1.2 Million on Polymarket Ahead of U.S. Strike on Iran, CoinDesk (Feb. 28, 2026),

<https://www.coindesk.com/markets/2026/02/28/suspected-insiders-make-over-usd1-2-million-on-polymarket-ahead-of-u-s-strike-on-iran>.

⁶⁷For example, the “Khamenei out as Supreme Leader of Iran by February 28?” market alone attracted over \$131 million in volume, while the standalone “US strikes Iran by February 28, 2026?” contract attracted approximately \$89.6 million

⁶⁸Polymarket, US Strikes Iran by...?, <https://polymarket.com/event/us-strikes-iran-by>. The parent event encompassed sixty-four standalone binary markets covering specific target dates, with a combined volume of approximately \$529 million.

⁶⁹Cf. Part III.B, *infra* (documenting approximately \$67 million in total volume across the Maduro prediction markets). The Iran markets’ volume was approximately eight times larger.

address—0x4dfd481c16d9995b809780fd8a9808e8689f6e4a—had been actively trading Iran-related prediction markets for approximately sixteen months before the February 28 strike.⁷⁰ The account had placed bets across forty-eight separate Iran-related markets over this period, establishing itself as one of the most active directional traders in the Iran market category.⁷¹

The account's trading on the morning of February 28 unfolded in a concentrated burst. At 05:15 UTC, the account purchased 190,257.5 YES tokens in the "US strikes Iran by February 28, 2026?" market at \$0.17 per token—a price implying a 17% probability of a U.S. strike that day.⁷² Two minutes later, at 05:17, the account sold those same 190,257.5 tokens at \$0.1556, taking a small loss.⁷³ This rapid buy-and-sell may have reflected a liquidity test or a revision of trading strategy. Then, at 05:19, the account resumed aggressive purchasing. Over the next fifteen minutes, it acquired an additional 253,038 YES tokens at prices ranging from \$0.18 to \$0.22, spending approximately \$53,724.⁷⁴ Then, the account sold NO tokens—economically equivalent to buying YES—for an additional \$62,201 in proceeds.⁷⁵ By 05:50 UTC, approximately forty minutes before news of the strikes was publicly reported, the bulk of the position had been established.

The account also placed parallel bets on related outcomes. On the same morning, it purchased YES tokens in the "US strikes Iran by March 1" and "US strikes Iran by March 31" markets, as well as several other near-term date contracts.⁷⁶ This cross-market positioning is consistent with a trader who expected imminent military action but sought to hedge across multiple resolution dates. After a forty-three-minute pause, the account made its final purchases between 06:33 and 06:35 UTC—by which point the YES price had risen to \$0.70–\$0.80, suggesting that news

⁷⁰Polymarket Data API, trade history for wallet 0x4dfd481c16d9995b809780fd8a9808e8689f6e4a. First recorded trade: October 6, 2024 (purchase of NO tokens in the "Israel strikes Iranian oil in October?" market). Polymarket public profile: <https://polymarket.com/@Magamyman>.

⁷¹Id. Between October 2024 and February 2026, the Magamyman account traded across forty-eight separate Iran-related markets, including markets on Israeli military action, Iranian nuclear capabilities, regime change, and U.S.-Iran diplomacy. The account's trading volume in Iran-related markets exceeded \$1.7 million.

⁷²Polymarket Data API, trade ID for wallet 0x4dfd481c16d9995b809780fd8a9808e8689f6e4a, timestamp 2026-02-28T05:15:53Z. The purchase of 190,257.5 YES tokens at \$0.17 per token cost \$32,336.97.

⁷³Id. The sale at 05:17:23 UTC yielded \$29,601.92 (190,257.5 tokens at \$0.1556), resulting in a loss of approximately \$2,735 on the round-trip.

⁷⁴Id. Three additional buy orders between 05:19:51 and 05:33:47 UTC acquired 253,038 YES tokens at prices of \$0.18–\$0.22 per token. See also Allyn, *supra* note 61.

⁷⁵Polymarket uses a hybrid CLOB system on the Polygon blockchain. YES and NO shares can both be bought and sold. See Polymarket, Prices & Orderbook, <https://docs.polymarket.com/concepts/prices-orderbook>.

Between 05:39 and 05:50 UTC, the Magamyman account sold 80,510 NO tokens for \$62,202, economically equivalent to additional YES purchases.

⁷⁶Polymarket Data API, trade records for wallet 0x4dfd481c16d9995b809780fd8a9808e8689f6e4a. On February 28, the account also purchased YES tokens in "US strikes Iran by March 1, 2026?" (\$23,895), "US strikes Iran by March 31, 2026?" (\$24,148.5), "US strikes Iran by March 4, 2026?" (\$1,748), and several other near-term date contracts.

of the strike was beginning to circulate.⁷⁷ Across all Iran markets, the account's total reported profit was approximately \$553,000.⁷⁸

The Magamyman account's extensive prior trading history distinguishes it from other cases we will discuss shortly, such as the Burdensome-Mix wallet in the Maduro case, which was newly created. Yet the February 28 trading pattern—a sudden escalation of activity in the early morning hours before a covert military operation—is suggestive of advance knowledge.

The Fresh Account Network. Beyond the Magamyman account, blockchain analytics firm Bubblemaps identified a cluster of six freshly-created Polymarket accounts that collectively made approximately \$1.2 million from pre-strike positioning across Iran-related markets.⁷⁹ Four of these accounts were publicly identified by their Polymarket display names. “Planktonbet” reportedly profited approximately \$174,000; “Dicedicedice” netted a profit of approximately \$120,000; Neodbs netted approximately \$89,000; and “nothingeverhappens911” posted approximately \$66,000 in profit.⁸⁰ The accounts were created shortly before the trades were placed, a pattern echoing the Burdensome-Mix account in the Maduro case.⁸¹ On-chain screening of all wallets that purchased winning-side tokens before the strike identified 646 suspect wallets meeting minimum thresholds for directional positioning and position size. The top ten by suspicion score are shown below:

Table 2: Top Suspect Wallets by Suspicion Score (Iran Strike Markets)

Wallet	Suspicion Score	Pre-Event Buy (\$)	Win Ratio	Hours Before
0x06d38e8941afa9d90551cc8c8f1a705fd9b159aa	78.5	\$875	100%	2
0x438a83235d1284346283cca70dfd3333595062e5	78.1	\$1,003	100%	3
0x47dcc568e33970cfd99d0924300195d2d8f24342	77.7	\$987	100%	3
0x75f3f61e4d0686f18d4e2f3a38785642a6d5a0d0	76.7	\$750	100%	5

⁷⁷Id. The final four purchases, between 06:33:49 and 06:35:49 UTC, acquired 11,967 YES tokens at \$0.70–\$0.80 per token. By this point the market's implied probability had risen from 17% to approximately 80%, consistent with the first wire reports of the strike beginning to circulate.

⁷⁸Allyn, *supra* note 61.

⁷⁹CoinDesk, *supra* note 66.; see also Ece Yildirim, *Six Freshly-Created Polymarket Accounts Profited \$1.2M Before Iran Strike*, Gizmodo (Mar. 2, 2026).

⁸⁰Zack Abrams, *Fresh Accounts Netted \$1 Million on Polymarket Hours Before US Airstrikes on Iran: Bubblemaps*, The Block (Feb. 28, 2026), <https://www.theblock.co/post/391650/fresh-accounts-netted-1-million-on-polymarket-hours-before-us-airstrikes-on-iran-bubblemaps>.

⁸¹Cf. Part IV.B.3, *infra* (documenting the Burdensome-Mix wallet's creation only weeks before the Maduro trade). The pattern of freshly-created accounts placing aggressive directional bets shortly before major events has emerged as a recurring feature of suspected prediction market insider trading.

0x031d98aa60916870a6b90ad5bd635ec5936277e1	74.6	\$2,182	100%	10
0x43886f07460ab4fd9a54b569e8aedc0df47be9a1	73.3	\$980	100%	13
0x9aec7caebac3baa4078f2b2c27552910a6b09ecd	73.3	\$500	100%	12
0xa25c6a3a28c922f6fc8322a76d209f943b026430	65.7	\$1,261	100%	64
0x0e4530e02a589879b5da57b5ba50a711ed555b3f	65.1	\$1,550	100%	77
0x25000eb121dab875bed95f94d3d8d485f5c1e812	63.8	\$650	100%	106

Source: Dune Analytics, on-chain fill data for Iran Strike markets.

Several features of this trading cluster heightened suspicion beyond the individual accounts. The accounts appeared to have been created in close temporal proximity. Their trading was concentrated in a narrow window before the strike. And their positions were overwhelmingly directional—long bets on imminent military action with no apparent meaningful hedging (though hedged positions often cannot be identified from publicly available data).

Public and Regulatory Response. The Iran strike trades ignited renewed debate about the integrity of prediction markets. Coming only two months after the Maduro trade, the case suggested that the structural vulnerabilities of Polymarket’s pseudonymous trading architecture were not isolated incidents but persistent features of the platform.⁸² Polymarket’s design—allowing accounts to be created with minimal identity verification and trades to be executed with no pre-trade surveillance—leads to an environment uniquely hospitable to insider trading. Polymarket itself took no public enforcement action against the accounts. The platform’s terms of service prohibit trading on material nonpublic information under a limited set of circumstances, but as we discuss further *infra*, that is a high standard that is difficult to prove.⁸³

Legal Significance. The Iran strike case is notable because the information at issue—advance knowledge of a coordinated military strike that killed a head of state—appears to represent a particularly sensitive category of classified information. As we discuss further *infra*, the February 2026 indictment in the IDF case established that misuse of military intelligence for prediction market trading can constitute criminal conduct under national security statutes. The Iran case raises the question of whether similar liability could attach under U.S. law for the misuse of U.S.

⁸²See CoinDesk, *supra* note 66; Allyn, *supra* note 61. The Iran strike case prompted renewed calls for CFTC oversight of prediction markets.

⁸³ See discussion *infra*.

military secrets.⁸⁴ The case also underscores the speed at which prediction market prices can reflect private information. The Magamyman account's first trade was placed approximately seventy-one minutes before news of the strike was publicly reported.⁸⁵ By the time the account made its final purchases, the YES price had risen from \$0.17 to \$0.80—a nearly fivefold increase in approximately eighty minutes. This price discovery was faster and more dramatic than other cases documented in this study.

B. The Maduro Trade

Background. On January 3, 2026, President Donald Trump announced that U.S. forces had captured Venezuelan President Nicolás Maduro in a nighttime military operation codenamed “Operation Absolute Resolve.”⁸⁶ The operation was closely held within the executive branch; no advance public notice was given, and no formal congressional notification preceded the action.⁸⁷ The surprise was near-total—but not, it appears, on Polymarket.

In the hours before Trump's announcement, a pseudonymous Polymarket account operating under the handle “Burdensome-Mix” placed a series of large, directional bets that Maduro would be removed from power by the end of January 2026.⁸⁸ The account, which had been created only weeks earlier, wagered approximately \$38,500 in a market that priced the probability of Maduro's ouster at roughly seven cents on the dollar.⁸⁹ When the market resolved in the

⁸⁴See Part IV.C, *infra* (discussing the February 2026 indictment of an IDF reservist and civilian accomplice under Israeli national security statutes for using classified military intelligence to place Polymarket bets). Under U.S. law, the applicable framework would likely involve the Espionage Act of 1917, 18 U.S.C. §§ 793–798, and potentially the Commodity Exchange Act's anti-fraud provisions, 7 U.S.C. § 9(1).

⁸⁵Yildirim, *supra* note 80 (reporting that the Magamyman account's “first trade was placed 71 minutes before news of the strike was publicly reported”). The first trade occurred at 05:15:53 UTC; the first wire reports of the strike appeared at approximately 06:27 UTC. See also Polymarket, public profile: <https://polymarket.com/@Magamyman>; see, e.g., Reuters, *US and Israel Launch “Pre-emptive” Attack inst Iran* (Feb. 28, 2026, at 8:34 am GMT+2 (6:34 AM UTC)), <https://www.reuters.com/world/middle-east/israel-says-it-launched-pre-emptive-attack-against-iran-2026-02-28/>.

⁸⁶Alex Kirshner, *Maduro Could Have Avoided His Capture Entirely if He Had Checked This App*, *Slate* (Jan. 5, 2026), <https://slate.com/technology/2026/01/maduro-prediction-market-polymarket-kalshi-app.html>.

⁸⁷Allyn, *supra* note 1; see also Wyatt Grantham-Philips, *A \$400,000 Payout After Maduro's Capture Put Prediction Markets in the Spotlight*, *PBS News* (Jan. 12, 2026), <https://www.pbs.org/newshour/nation/a-400000-payout-after-maduros-capture-put-prediction-markets-in-the-spotlight-heres-how-they-work>.

⁸⁸On-chain data from the Polymarket CTF Exchange on the Polygon blockchain. The wallet address associated with the “Burdensome-Mix” account is 0x31a56e9E690c621eD21De08Cb559e9524Cdb8eD9. See Polygonscan, <https://polygonscan.com/address/0x31a56e9E690c621eD21De08Cb559e9524Cdb8eD9>. See Table 1, *infra*. All on-chain data referenced in this case study are publicly viewable on Polygonscan and were verified against Polymarket CTF Exchange contract event logs (OrderFilled events) on the Polygon blockchain. See Polymarket, *Maduro out by...?*, <https://polymarket.com/event/maduro-out-in-2025>.

⁸⁹ Polymarket, *Maduro out by...?*, <https://polymarket.com/event/maduro-out-in-2025> (last visited Feb. 15, 2026). The event group encompassed six individual binary markets with staggered expiration dates.

affirmative on January 3, the account's position was worth approximately \$523,879—a profit of roughly \$485,346 on a position that had been acquired for pennies.⁹⁰

Polymarket Markets. Polymarket hosted several prediction markets related to Maduro's tenure, structured as a group of time-limited binary contracts under the event “Maduro out by...?”⁹¹ Each market asked a simple yes-or-no question: would Maduro be ousted as president of Venezuela by a specified date? The markets and their total trading volumes were as follows:

Table 1: Maduro Prediction Markets on Polymarket⁹²

Market Question	Total Volume	Resolution Date	Outcome
“Maduro out in 2025?”	\$34,641,401	Jan. 1, 2026	NO
“Maduro in U.S. custody by January 31?”	\$11,034,070	Jan. 7, 2026	YES
“Maduro out by January 31, 2026?”	\$10,966,929	Jan. 3, 2026	YES
“Maduro out by November 30, 2025?”	\$5,568,345	Dec. 1, 2025	NO
“Maduro out by March 31, 2026?”	\$3,793,232	Jan. 3, 2026	YES
“Maduro out by December 31, 2026?”	\$834,496	Jan. 3, 2026	YES
“Maduro out by February 28, 2026?”	\$811,873	Jan. 3, 2026	YES

The aggregate trading volume across all Maduro-related markets exceeded \$67 million.⁹³ The largest single market—“Maduro out in 2025?”—attracted \$34.6 million in volume, reflecting the high level of public interest and speculation surrounding Maduro's political future during the final months of 2025.⁹⁴

Burdonsome-Mix Trades. The account that attracted scrutiny—publicly identified by its Polymarket display name “Burdonsome-Mix” and its on-chain address 0x31a56e9E690c621eD21De08Cb559e9524Cdb8eD9—executed its first trades on the Maduro

⁹⁰The wallet acquired 436,747 YES outcome tokens at an average price of \$0.0736 per token (\$38,533 total expenditure). Upon market resolution at \$1.00 per YES token, the position was worth \$523,879. See Table 2, *infra*.

⁹¹Polymarket, Maduro out by...?, <https://polymarket.com/event/maduro-out-in-2025> (last visited Feb. 15, 2026). The event group encompassed six individual binary markets with staggered expiration dates.

⁹² Source: Polymarket Gamma API, queried Feb. 15, 2026.

⁹³See Polymarket, Maduro out by...?, <https://polymarket.com/event/maduro-out-in-2025>. The “Maduro out in 2025?” market was created following increased U.S. diplomatic tensions with Venezuela throughout 2025.

⁹⁴ *Id.*

markets on December 31, 2025, at 00:20:15 UTC.⁹⁵ The account had been created only weeks before.⁹⁶ The account's strategy was straightforward: it purchased YES outcome tokens—contracts paying \$1.00 if Maduro was removed from power by January 31, 2026—at prices ranging from approximately \$0.06 to \$0.10 per token.⁹⁷ On the Polymarket platform, this is equivalent to buying a contract priced at six to ten cents, implying a 6–10% probability that the event would occur. These were long-shot bets.

The trading unfolded in five distinct sessions:

Table 2: Burdensome-Mix Trading Summary by Session⁹⁸

Session	Time (UTC)	YES Bought (USDC)	YES Tokens	Avg Price
1	Dec. 31, 00:20	\$1,724.61	19,182.33	\$0.090
2	Dec. 31, 03:02	\$85	850	\$0.100
3	Jan. 1, 23:57	\$6,465.04	96,742.7	\$0.067
4	Jan. 2, 16:49	\$8,299.65	126,896.52	\$0.066
5	Jan. 3, 01:38–02:58	\$21,958.79	280,207.39	\$0.078
Total	—	\$38,533.08	523,879	\$0.074

The risk-reward profile of these trades was extreme. At an average purchase price of \$0.074, the implied probability of the event was just 7.4%—meaning the market assessed a 92.6% chance that Maduro would remain in power through January 31. Had the market resolved “No,” the entire \$38,533 investment would have been worthless. The maximum potential loss was therefore \$38,533—the full amount wagered. Against this downside, the realized gain was \$485,346 (\$523,879 resolution value minus \$38,533 cost), a return of approximately 1,260%. The ratio of realized profit to capital at risk was 12.6 to 1.

⁹⁵ Polymarket CTF Exchange OrderFilled event logs on the Polygon blockchain, filtered to the Burdensome-Mix wallet address. First trade: block time 2025-12-31 00:20:15 UTC. Transaction history publicly viewable at <https://polygonscan.com/address/0x31a56e9E690c621eD21De08Cb559e9524Cdb8eD9>.

⁹⁶ Id.

⁹⁷ The average purchase price across all 46 YES-token buy transactions was \$0.0736 per token. The cheapest fills were at approximately \$0.06 and the most expensive at approximately \$0.10. See Table 2, *infra*.

⁹⁸ Source: Dune Analytics, on-chain fill data for wallet 0x31a56e.... Note: the data pulled from Dune Analytics differs from publicly available data on polygonscan. Given that Dune Analytics offers professional data aggregation services, we use the Dune estimates for this paper, subject to the caveat that the data appear to differ in certain places.

Several features of this trading pattern are noteworthy. **First**, the account's largest burst of activity occurred on January 3 between 01:38 and 02:58 UTC—which corresponds to approximately 8:38 to 9:58 PM Eastern Time on the evening of Friday, January 2.⁹⁹ This was mere hours before Trump's early-morning Saturday announcement of Maduro's capture.¹⁰⁰ In that single session, the account spent \$21,958 to acquire 280,207 YES tokens, more than half its total position.¹⁰¹

Second, the Polymarket CLOB (central limit order book) facilitated much of this accumulation through “complementary matching”—a mechanism by which YES buy orders are partially filled by matching against NO sell orders, with the exchange minting new YES+NO token pairs to bridge the gap.¹⁰² In total, the Burdensome-Mix wallet's YES purchases triggered the sale of 349,640 NO tokens for \$323,097 (average price \$0.92 per NO token) through this complementary channel.¹⁰³ This mechanism is significant because it allowed the wallet to accumulate a very large YES position even in a thin market without dramatically moving the YES price.

Third, the account's trading was concentrated entirely in one market—“Maduro out by January 31, 2026?”—rather than the larger and more liquid “Maduro out in 2025?” contract, which had already expired and resolved NO on January 1.¹⁰⁴ This choice is consistent with a trader who knew that the relevant event would occur within a specific near-term window but after the December 31 expiration of the broader contract.

⁹⁹ UTC is seven hours ahead of Eastern Standard Time. Thus 01:38 UTC on January 3 corresponds to 8:38 PM EST on January 2;

¹⁰⁰ Allyn, *supra* note 1 (reporting that the trader placed “the majority of bets mere hours before Trump announced the nighttime raid”).

¹⁰¹ Source: Dune Analytics. Polymarket CTF Exchange OrderFilled event logs on the Polygon blockchain. The 01:38 UTC batch included a single fill of \$6,000 acquiring 82,421 YES tokens at \$0.073 per token, and the 02:58 batch included a fill of \$7,215 acquiring 88,187 tokens at \$0.082 per token.

¹⁰² Polymarket uses a hybrid CLOB system deployed on the Polygon blockchain. When a YES buy order cannot be fully filled from existing YES sell orders, the matching engine can match it with a NO buy order at the complementary price (\$1 minus the YES price). This is economically equivalent to minting a full YES+NO pair (\$1) and distributing each side to the respective buyer. See Polymarket, How Trading Works, <https://docs.polymarket.com>.

¹⁰³ Polymarket CTF Exchange event logs on the Polygon blockchain. The wallet's address appears as the maker (providing USDC) on 46 YES-token fills and as the maker (providing NO tokens from minted pairs) on 85 complementary NO-token fills during the same period. See Polygonscan, <https://polygonscan.com/address/0x31a56e9E690c621eD21De08Cb559e9524Cdb8eD9>.

¹⁰⁴ See Polymarket, <https://polymarket.com/event/maduro-out-in-2025>. The Burdensome-Mix wallet chose to trade the “Maduro out by January 31, 2026?” market, see Polymarket, <https://polymarket.com/event/maduro-out-in-2025/maduro-out-by-january-31-2026-318>, which offered more favorable pricing (YES at \$0.07 versus approximately \$0.40–0.50 in the broader market) and, importantly, would still have been open and valuable if the capture had occurred after January 3.

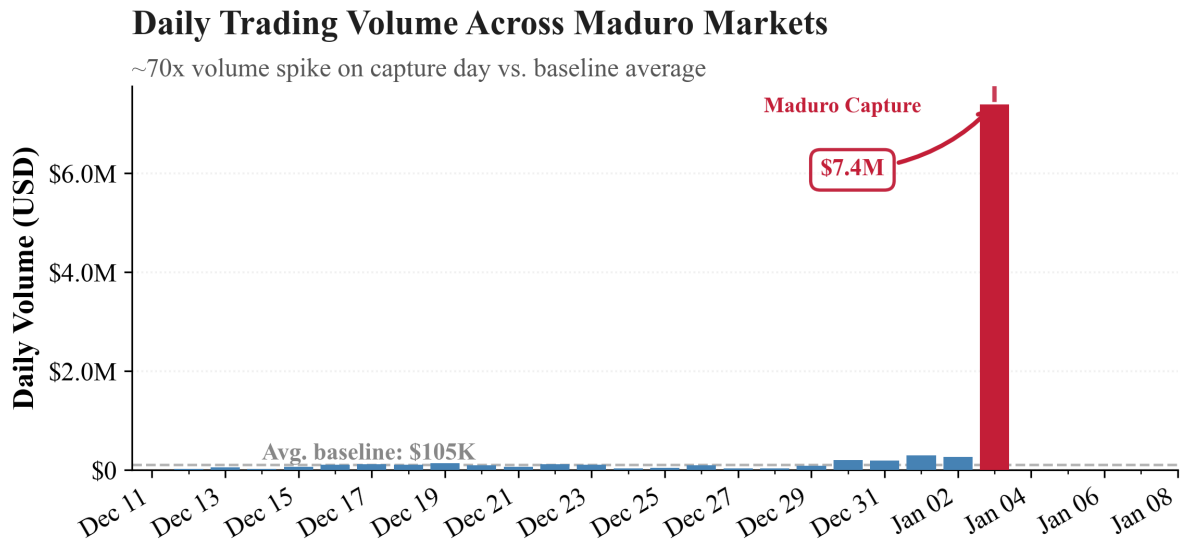


Figure 1. Daily Trading Volume Across All Maduro Prediction Markets (Polymarket, Oct 2025 – Jan 2026)

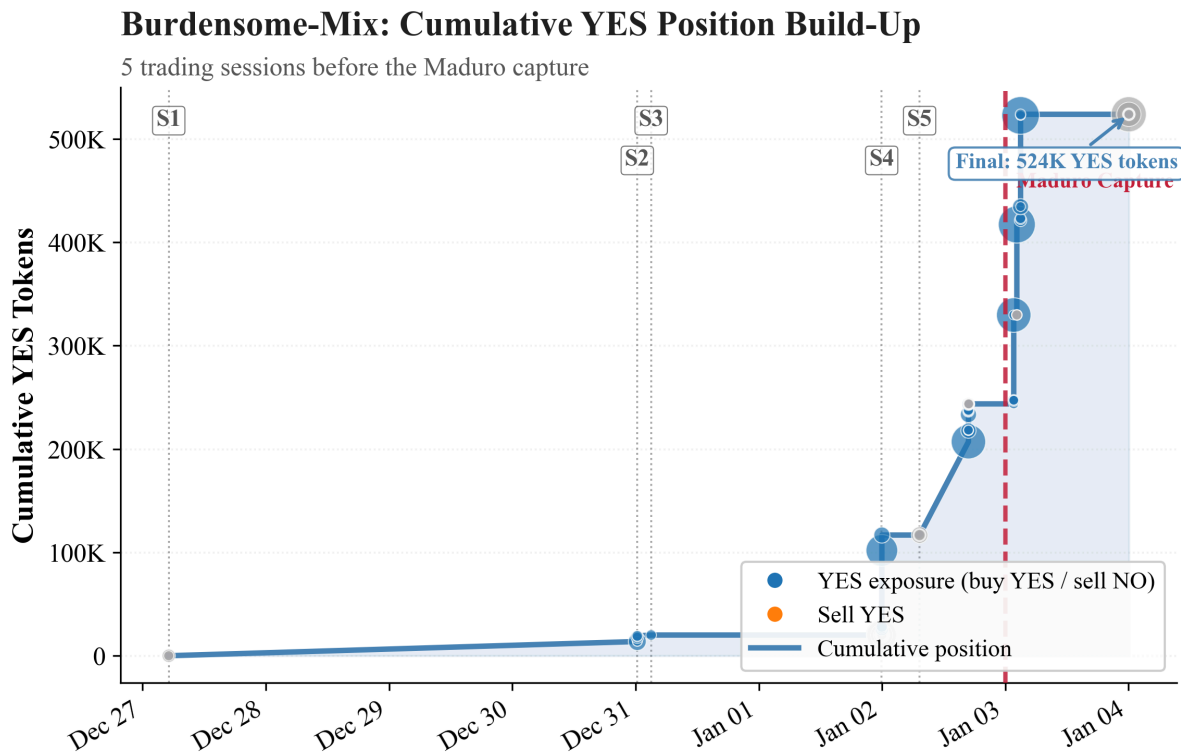


Figure 2. Burdensome-Mix Wallet Trading Activity, “Maduro out by January 31, 2026?” Market

Volume Anomaly Analysis. On-chain data reveal a stark anomaly in trading volume on the day of Maduro’s capture. Figure 1 displays daily aggregate volume across all Maduro prediction markets from October 2025 through January 2026. For the period December 12 through December 31, 2025, daily volume averaged approximately \$105,000.¹⁰⁵ On January 3, 2026—the day Maduro was captured—volume spiked to \$7.4 million, a roughly 70-fold increase over the baseline.¹⁰⁶

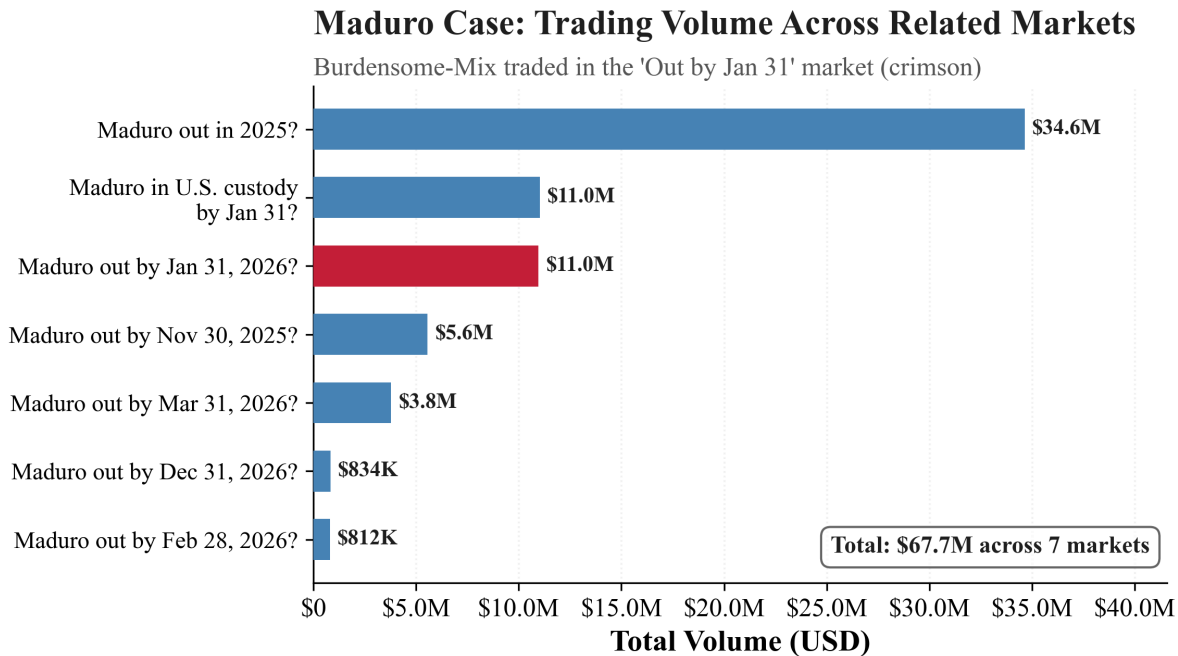


Figure 3. Aggregate Trading Volume by Market (Maduro Prediction Markets)

The wallet-level data reinforce the anomaly. Of the top ten wallets by volume in the Maduro markets, several show trading activity exclusively on or after December 31, 2025.¹⁰⁷

¹⁰⁵ Source: Dune Analytics

¹⁰⁶ Id. The volume spike on January 31 was driven by resolution activity on the “Maduro out in 2025?” market as well as new positions being taken in the other markets.

¹⁰⁷ Source: Dune Analytics. Wallet summary computed from Polymarket CTF Exchange OrderFilled event logs on the Polygon blockchain (top 1,000 wallets by volume, Oct. 1, 2025–Jan. 10, 2026). 8 out of the top 10 wallets by volume showed trading activity exclusively on or after December 31, 2025.

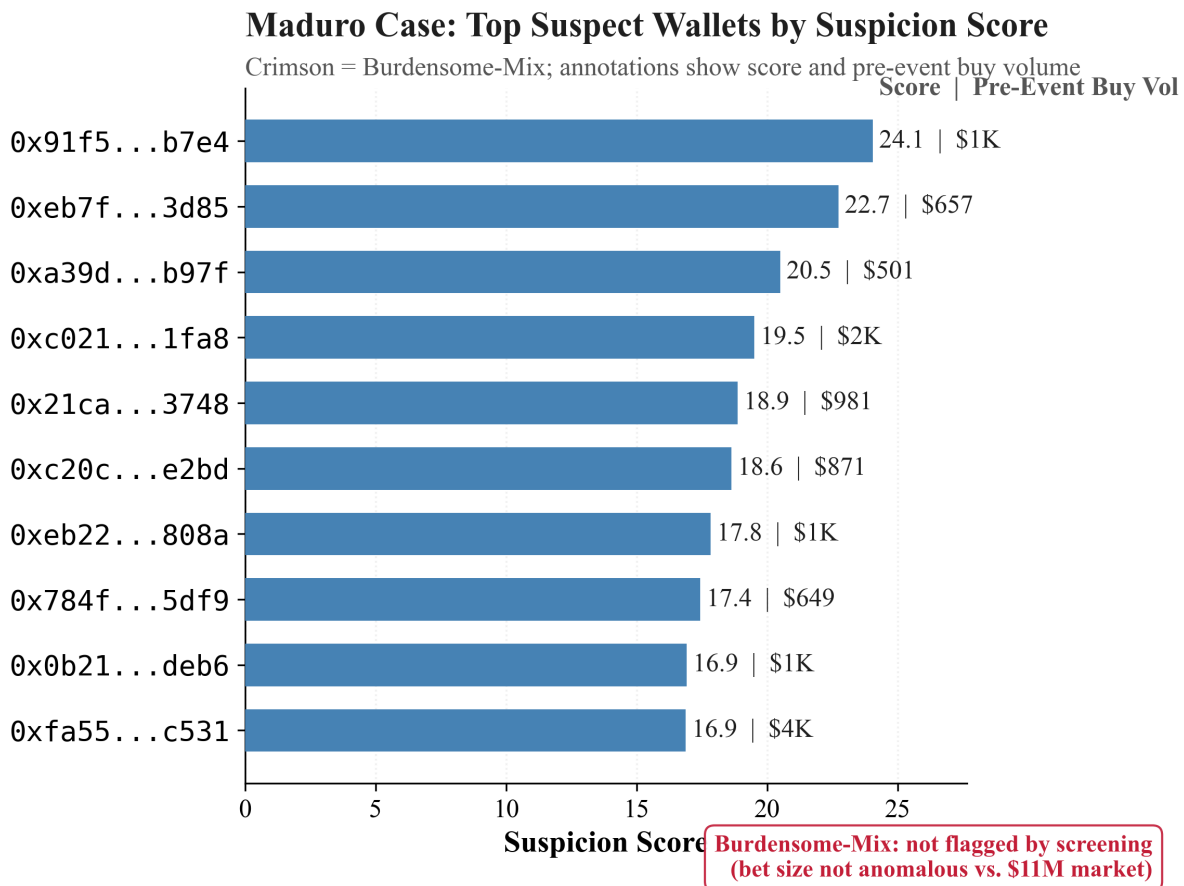


Figure 4: Top Suspect Wallets by Suspicion Score (Maduro Prediction Markets)

Market reactions. The Maduro trade crystallized a set of regulatory concerns that prediction market skeptics had long anticipated. Unlike traditional securities or commodity futures markets, Polymarket operates on a decentralized blockchain infrastructure (Polygon) where accounts are pseudonymous, no broker-dealer intermediary verifies trader identity, and surveillance for insider trading relies on after-the-fact blockchain forensics rather than real-time monitoring. Several features of the Burdensome-Mix trade heightened suspicion. The account was newly created.¹⁰⁸ The bets were large relative to the market.¹⁰⁹ The timing was precise—concentrated in the hours before a covert military operation that only a small number of government officials

¹⁰⁸ Source: Polymarket, Burdensome-Mix wallet account page <https://polymarket.com/@0x31a56e9E61eD21De08Cbe9524Cdb8eD9-0765984>

¹⁰⁹ The Burdensome-Mix wallet's \$38,533 in YES purchases represented approximately 0.35% of the total volume in the "Out by January 31" market. However, in the critical window of January 2–3, the wallet's activity represented a substantially larger share of that market's daily flow.

would have known about in advance.¹¹⁰ And the trade was overwhelmingly directional, with no hedging or diversification across outcomes.¹¹¹

Academic commentators were divided on the significance of the trade. Professor Daniel Taylor of the Wharton School observed: “Was it insider trading? Hard to say. It’s easier in hindsight to pick out things that look suspicious than to pick them out in real time.”¹¹² Professor Jeffrey Sonnenfeld of the Yale School of Management raised a different concern, warning that CFTC oversight “could be compromised” given the Trump family’s financial connections to prediction market platforms.¹¹³ Professor Yash Kanoria of the Columbia Business School argued that “It would be helpful if prediction market platforms themselves do not have political ownership” because “we need them to be invested in weeding out bad activity like insider trading, without any distracting influences.”¹¹⁴

Assessing the evidence. The on-chain evidence is suggestive but not dispositive. The Burdensome-Mix wallet’s behavior is consistent with advance knowledge of the Maduro capture: a new account, concentrated bets on a specific near-term outcome, aggressive accumulation in the hours before a covert operation, and a massive payout upon resolution. But it is also consistent with a risk-tolerant speculator who, observing the escalating tensions between the Trump administration and the Maduro government throughout late 2025, placed a leveraged bet on a tail-risk scenario that happened to pay off spectacularly. What the blockchain data do reveal with certainty is the structure of the trade: 523,879 YES tokens acquired at an average price of \$0.074, with the first purchase at 00:20 UTC on December 31 and the last at 02:58 UTC on January 3—approximately five hours before the capture was publicly announced.¹¹⁵ The total USDC expenditure was \$38,533. The resolution payout was \$523,879. Whether those trades were placed on the basis of material nonpublic information—and if so, by whom and from what source—are questions that blockchain data alone cannot answer.

C. The IDF Insider Trading Case

Background: Operation Rising Lion. On June 13, 2025, the Israel Defense Forces launched Operation Rising Lion, a large-scale military campaign targeting Iran’s nuclear program and military infrastructure.¹¹⁶ The operation—which involved more than 200 Israeli Air Force aircraft

¹¹⁰ See Kirshner, *supra* note 2 (noting that the trader “appeared to anticipate Maduro’s capture late Friday night, before President Trump announced it early Saturday morning”).

¹¹¹ On-chain analysis of all Polymarket CTF Exchange fills for wallet 0x31a56e9E690c621eD21De08Cb559e9524Cdb8eD9. The wallet held no short or hedged positions in any Maduro market. Its entire position was a directional long bet on Maduro’s removal. See Polygonscan, <https://polygonscan.com/address/0x31a56e9E690c621eD21De08Cb559e9524Cdb8eD9>.

¹¹² Allyn, *supra* note 1.

¹¹³ *Id.*

¹¹⁴ *Id.*

¹¹⁵ Source: Dune Analytics

¹¹⁶ Israel Ministry of Foreign Affairs, Historic Victory Achieved in 12 Days of Operation Rising Lion (June 25, 2025), <https://embassies.gov.il/nepal/en/news/historic-victory-achieved-12-days-operation-rising-lion-240625>.

striking approximately 100 targets across Iran—was closely held within the Israeli defense establishment.¹¹⁷ Over twelve days, Israeli forces destroyed facilities at Iran’s principal uranium enrichment facility at Natanz, assassinated senior Iranian military leaders, and neutralized multiple ballistic missile sites.¹¹⁸ A ceasefire took effect on June 24, 2025, following U.S.-led diplomatic efforts that included American strikes on three Iranian nuclear facilities.¹¹⁹

The operation was the culmination of months of planning, and advance knowledge of its timing was among the most closely guarded secrets in Israeli national security. But on February 12, 2026, Israeli prosecutors revealed that at least two individuals—an IDF reservist and a civilian—had used that classified information not to plan a military response, but to place bets on a cryptocurrency prediction market.¹²⁰

Polymarket Markets. Polymarket hosted a series of prediction markets related to potential Israeli military action against Iran, structured as time-limited binary contracts under a recurring event series.¹²¹ As tensions between Israel and Iran escalated in the spring of 2025, these markets attracted substantial trading volume. The markets and their outcomes were as follows:

Table 3: Israel-Iran Prediction Markets on Polymarket¹²²

Market Question	Total Volume	Resolution Date	Outcome
"Israel military action against Iran by Friday?"	\$3,937,291	June 13, 2025	YES
"Israel military action against Iran before July?"	\$4,506,859	June 13, 2025	YES
"Israel x Iran ceasefire before July?"	\$51,779,894	June 30, 2025	YES

¹¹⁷U.S. Naval Institute, Iran-Israel Conflict: A Quicklook Analysis of Operation Rising Lion, Proceedings, June 2025, <https://www.usni.org/magazines/proceedings/2025/june/iran-israel-conflict-quicklook-analysis-operation-rising-lion>; see also Al Jazeera, Visualising 12 Days of the Israel-Iran Conflict (June 26, 2025), <https://www.aljazeera.com/news/2025/6/26/visualising-12-days-of-the-israel-iran-conflict>.

¹¹⁸ Ron Ben-Yishai, *Targeting Natanz and Top Military Brass: Inside the Opening Blow to Iran’s Nuclear Program*, Ynet (June 13, 2025), <https://www.ynetnews.com/opinions-analysis/article/r1imtj7ge>.

¹¹⁹12 Day War Archive: Israel-Iran Conflict June 2025, <https://12daywar.org/>. The ceasefire took effect on June 24, 2025, following strikes by the United States on three Iranian nuclear sites at Fordow, Natanz, and Isfahan on June 22. See also Al Jazeera, *supra* note 45.

¹²⁰Two Indicted for Using Classified Info to Place Online Bets on Military Operations, Times of Israel (Feb. 12, 2026), <https://www.timesofisrael.com/two-indicted-for-using-classified-info-to-place-online-bets-on-military-operations/> (hereinafter Times of Israel).

¹²¹See Polymarket, Israel Military Action Against Iran Before July?, <https://polymarket.com/event/israel-military-action-against-iran-before-july>; Polymarket, Israel Military Action Against Iran by Friday?, <https://polymarket.com/event/israel-military-action-against-iran-by-friday-477>.

¹²² Source: Polymarket event pages, queried Feb. 18, 2026.

"Israel strike on Iran on June 24?" ¹²³	\$2,042,695	June 25, 2025	YES
"Israel military action against Iran in July?"	\$1,469,124	July 31, 2025	NO
"Israel x Iran ceasefire before July 15?"	\$649,193	July 15, 2025	YES
"Israel military action against Iran by Monday?"	\$38,408	June 16, 2025	YES
Iran x Israel conflict ends before July?	1,122,140	June 30, 2025	YES

The aggregate volume across all Israel-Iran military action and ceasefire markets exceeded \$74 million, with the largest single market—"Israel x Iran ceasefire before July?"—attracting \$51.8 million in volume.¹²⁴

The ricasuave666 Trades. An account that drew scrutiny—operating under the Polymarket display name "ricasuave666"¹²⁵—was created in June 2025,¹²⁶ and placed the first bets during the second week of June 2025.¹²⁷ The account's trading strategy was focused and unambiguous: it bet on four Israel-related questions –Israel military action against Iran before July? Israel military action against Iran by Friday? Israel announces end of military operations against Iran before July? Israel strike on Iran on June 24?¹²⁸ Each bet was worth thousands of dollars, and each bet ended up correct.¹²⁹ Our data reflects another bet placed in the same timeframe, regarding "US military action against Iran by Saturday," in which the user lost \$2971.16.

¹²³ This is a sub-market of "Israel strikes Iran on..." in which the aggregate volume was 10,781,618, which was resolved on Jun. 20, 2025. The submarkets Saturday, June 14 - Tuesday, June 24 were resolved as YES, while the submarkets Wednesday, June 25 - Monday, June 30 were resolved as NO.

¹²⁴ Polymarket event data for all Israel-Iran military action and ceasefire markets. See Polymarket, Israel x Iran Ceasefire Before July?, <https://polymarket.com/event/israel-x-iran-ceasefire-before-july> (total volume: \$51,779,894).

¹²⁵ Israel Accuses Two Polymarket Bettors of Trading on Classified Military Operations, Gizmodo (Feb. 13, 2026), <https://gizmodo.com/israel-accuses-two-polymarket-bettors-of-trading-on-classified-military-operations-200721224>; see also Dov Lieber, Alexander Osipovich & Caitlin Ostroff, *Israeli Soldiers Accused of Using Polymarket to Bet on Strikes*, Wall St. J (Feb. 12, 2026), <https://www.wsj.com/world/middle-east/israeli-soldiers-accused-of-using-polymarket-to-bet-on-strikes-72d53012>.

¹²⁶ Polymarket screenshot, Times of Israel, *supra* note 48.

¹²⁷ Israeli Official Exploited Iran Intel on Polymarket, Israel Hayom (Jan. 31, 2026), <https://www.israelhayom.com/2026/01/31/polymarket-israel-iran-classified-betting-scandal>.

¹²⁸ Dune Analytics data. See also Polymarket screenshot, Times of Israel, *supra* note 48. It should be noted that as the user was deleted, the user address is also unavailable. Therefore, we found a user that matches the described activity of ricasuave666, including the Polymarket screenshot above, in the Dune Analytics data.

¹²⁹ Israel Hayom, *supra* note 54. It should be noted that the bet titles as specified in this article are not exactly the same as those in the Polymarket screenshot on Times of Israel or the titles in the Dune Analytics data.

The account's most profitable trade was in the "Israel military action against Iran by Friday?" market, which asked whether Israel would initiate military action between June 11 and 13, 2025, 11:59 PM ET¹³⁰ The account wagered thousands of dollars on YES outcome tokens at prices implying a relatively low probability of an imminent strike. When Israel launched Operation Rising Lion in the early hours of June 13, the market resolved in the affirmative. That single position yielded a profit of approximately \$128,700.¹³¹

Across all seven markets, the account achieved a perfect record on its Israel-related positions, earning total profits of approximately \$150,000.¹³² The account subsequently went dormant for approximately seven months.¹³³

In January 2026—after the Maduro trade had drawn public attention to the possibility of insider trading on Polymarket—the ricasuave666 account was reactivated and placed \$8,198 in new wagers on potential Israeli strikes against Iran by January 31 and March 31, 2026.¹³⁴ Blockchain analytics firm Lookonchain flagged the renewed activity, and the account quickly executed an exit strategy, and was subsequently deleted.¹³⁵ The final profits earned by the account were approximately \$155,000.¹³⁶

The Investigation. Israeli security agencies began investigating the suspicious trading activity after the Polymarket account's pattern came to light. The investigation was conducted jointly by three agencies: Malmab (the Director of Security of the Defense Establishment), Shin Bet (Israel's domestic security agency), and the Israel Police's Lahav 433 cybercrime unit.¹³⁷

On January 31, 2026, Israel Hayom reported that Israeli security officials were investigating whether military personnel had used classified intelligence to place Polymarket bets in connection with Operation Rising Lion.¹³⁸

¹³⁰Polymarket, Israel Military Action Against Iran by Friday?, <https://polymarket.com/event/israel-military-action-against-iran-by-friday-477>. The market asked whether Israel would initiate military action between June 11 and 13, 2025.

¹³¹Brayden Lindrea, *Israel Arrests Two over Polymarket Trades on Military Operations*, CoinTelegraph (Feb. 13, 2026), <https://cointelegraph.com/news/israel-arrests-two-polymarket-trades-military-strikes> (hereinafter Coin Telegraph).

¹³² Dune Analytics data shows a profit of \$150561.38. The Polymarket profile for ricasuave666 showed total profits of \$155,699.12 at an unspecified time before the account was removed from the platform. See Polymarket screenshot, Times of Israel, *supra* note 48.

¹³³A Dormant Polymarket Trader Is Back and Betting on an Israel-Iran Strike, Yahoo (sourced from BeInCrypto) (Jan. 7, 2026), <https://www.yahoo.com/news/articles/dormant-polymarket-trader-back-betting-045252544.html>.

¹³⁴Id.; Dune Analytics data; Lookonchain (@lookonchain), X (Jan. 7, 2026, 4:12 AM), <https://x.com/lookonchain/status/2008723345844662575>

¹³⁵ Jack 0x137 (@jack_xiong137), X (Jan. 8, 2026, 4:11 AM), https://x.com/jack_xiong137/status/2009085501383561386.

¹³⁶ Dune Analytics data shows a profit of \$154216.82. The Polymarket profile for ricasuave666 showed total profits of \$155,699.12 at an unspecified time before the account was removed from the platform. See Polymarket screenshot, Times of Israel, *supra* note 48.

¹³⁷ Times of Israel, *supra* note 48.

¹³⁸ Israel Hayom, *supra* note 55.

The Indictment. On February 12, 2026, the Tel Aviv District Attorney issued indictments against two defendants: an IDF reservist and a civilian.¹³⁹ The charges, filed by the State Attorney's Office cyber department, included severe security offenses, bribery, and obstruction of justice.¹⁴⁰ According to the indictment, the IDF reservist accessed classified operational plans regarding Israel's planned strike on Iran through his military duties.¹⁴¹ The defendants' names were placed under a gag order, which was partially lifted at the request of the State Attorney's Office to permit public reporting on the indictment.¹⁴²

The IDF issued a statement describing the conduct as “a grave ethical failure and a clear crossing of a red line,” adding that “placing such bets, based on secret and classified information, poses a real security risk to IDF operations and to the security of the state.”¹⁴³ However, authorities also noted that “no operational harm was caused” in this specific incident.¹⁴⁴ It is yet unclear if those arrested are behind the account *ricosuave666*.¹⁴⁵

Legal Significance. The IDF case represents a watershed moment in the regulation of prediction markets. It is the first known criminal prosecution arising from insider trading on a prediction market anywhere in the world.¹⁴⁶ Several features distinguish it from the Maduro trade and other suspected instances of prediction market insider trading.

For one, the classified information at issue was military in nature—operational plans for a major armed conflict—rather than political or corporate intelligence.¹⁴⁷ The case resulted in actual criminal charges, including national security offenses, whereas other suspected cases of prediction market insider trading have produced only media scrutiny and legislative proposals.¹⁴⁸

¹³⁹IDF Reservist, Civilian Charged With Using Classified Information for Polymarket Bets, Haaretz (Feb. 12, 2026), <https://www.haaretz.com/israel-news/israel-security/2026-02-12/ty-article/.premium/idf-reservist-civilian-charged-with-using-classified-information-for-polymarket-bets/0000019c-511b-d093-a7bd-797f77630000>;

Two Israelis First People Charged with Polymarket Insider Trading, Washington Examiner (Feb. 12, 2026), <https://www.washingtonexaminer.com/news/world/4456621/two-israelis-first-people-charged-state-secrets-influence-polymarket/>.

¹⁴⁰Israel Indicts Reservist, Civilian for Using Classified Information to Bet on IDF Military Action, Jerusalem Post (Feb. 12, 2026), <https://www.jpost.com/israel-news/crime-in-israel/article-886456>.

¹⁴¹*Id.*

¹⁴²*Id.*

¹⁴³Times of Israel, *supra* note 48 (quoting IDF statement).

¹⁴⁴*Id.*

¹⁴⁵Coin Telegraph, *supra* note 56.

¹⁴⁶Washington Examiner, *supra* note 69.

¹⁴⁷*Cf.* Part IV.A, *supra* (discussing the Maduro trade, which involved advance knowledge of a covert U.S. military operation against a foreign head of state); Part IV.D, *infra* (discussing the AlphaRaccoon case, in which a trader predicted 22 or 23 Google Search rankings, and earned \$1.15 million).

¹⁴⁸See Part IV.A.6, *supra* (discussing the Public Integrity in Financial Prediction Markets Act of 2026, the Torres bill introduced in response to the Maduro trade). No criminal charges have been filed in connection with the Maduro trade as of the date of this writing.

And the investigation involved three of Israel's most sensitive security agencies, reflecting the gravity with which the Israeli government viewed the breach.¹⁴⁹

The case also underscores the global jurisdictional challenges posed by blockchain-based prediction markets. Polymarket operates on the Polygon blockchain and was nominally based outside the United States during the relevant period.¹⁵⁰ Yet the trades were placed by Israeli nationals using classified Israeli military intelligence, and the prosecution proceeded under Israeli law.¹⁵¹ This cross-border dimension—trades executed on a platform with no physical presence in the jurisdiction whose secrets were compromised—illustrates the enforcement difficulties that decentralized markets present.

Comparison to Other Cases. The IDF case is legally significant but not particularly financially consequential. However, the IDF case is the only one (thus far) that has resulted in criminal charges and the only one involving the compromise of state military secrets. The regulatory response to the two cases has also diverged. In the United States, the Maduro trade prompted legislative proposals but no enforcement action.¹⁵² In Israel, by contrast, the security establishment moved swiftly from investigation to indictment, leveraging existing national security statutes to indict on criminal charges rather than financial regulation.¹⁵³ This difference suggests that existing legal frameworks may be more effective at addressing prediction market insider trading when the underlying information implicates national security rather than merely financial or political interests.

D. The Nobel Peace Prize Case

Background: The 2025 Nobel Peace Prize. On October 10, 2025, the Norwegian Nobel Committee announced that María Corina Machado, the Venezuelan opposition leader, had been awarded the 2025 Nobel Peace Prize “for her tireless work promoting democratic rights for the people of Venezuela and for her struggle to achieve a just and peaceful transition from

¹⁴⁹Times of Israel, *supra* note 48; Haaretz, *supra* note 69.

¹⁵⁰Polymarket operates on the Polygon blockchain and was nominally domiciled outside the United States during the June 2025 trading period. See Polymarket, Polymarket 101,, <https://docs.polymarket.com>; Ryan Ermey, *Polymarket is Back in the US with a Free Grocery Store - What to Know about It and Other Prediction Markets*, CNBC (Feb. 14, 2026), <https://www.cnbc.com/2026/02/14/how-prediction-markets-work.html>

¹⁵¹The prosecution proceeded under Israeli national security statutes. The specific statutory provisions have not been publicly disclosed due to the partial gag order. See Times of Israel, *supra* note 48

¹⁵²See Part IV.A.6, *supra* (discussing the Public Integrity in Financial Prediction Markets Act of 2026, the Torres bill introduced in response to the Maduro trade).

¹⁵³ See Elinor Shirkani Kofman and Ilan Kafrov, *IDF Personnel Charged with Betting on Polymarket Using Classified Intel*, Israel Hayom (Feb. 12, 2026), <https://www.israelhayom.com/2026/02/12/idf-personnel-charged-with-betting-on-polymarket-using-classified-intel/>.

This difference may reflect the nature of the classified information—military operational plans carry graver consequences than political intelligence.

dictatorship to democracy.”¹⁵⁴ The announcement was made from Oslo at approximately 11:00 AM local time (9:00 AM UTC).¹⁵⁵

The Nobel Peace Prize selection process is among the most secretive in international affairs. Only five committee members and a small number of trusted staff know the winner’s identity before the public announcement, and nominations are sealed for fifty years.¹⁵⁶ Yet approximately nine to eleven hours before the announcement, large directional bets began flowing into the Polymarket prediction market for Machado to win—bets that would prompt a formal investigation by the Norwegian Nobel Institute involving one of Norway’s three intelligence agencies.¹⁵⁷

The Polymarket Market. Polymarket hosted a prediction market entitled “Nobel Peace Prize Winner 2025” that allowed traders to bet on which individual or organization would receive the prize.¹⁵⁸ The market opened in July 2025 and accumulated approximately \$21.4 million in total trading volume through resolution.¹⁵⁹ Individual binary contracts were available for each potential laureate, including María Corina Machado.

On the evening of October 9, 2025, Machado’s implied odds on the platform stood at approximately 3.6%, with YES shares trading at roughly \$0.04.¹⁶⁰ Machado had not been prominently mentioned by Nobel experts or in media speculation as a frontrunner. Within hours, her price would surge to over \$0.73—a nearly twenty-fold increase—driven by a concentrated burst of buying from a small number of newly created accounts.¹⁶¹

¹⁵⁴Nobel Peace Prize 2025, NobelPrize.org, <https://www.nobelprize.org/prizes/peace/2025/machado/facts/> (last visited Feb. 15, 2026).

¹⁵⁵Norwegian Nobel Committee, The Nobel Peace Prize for 2025 (Oct. 10, 2025), <https://www.nobelpeaceprize.org/articles/nobels-fredspris-2025-1>.

¹⁵⁶ *Nominations and Selection of Nobel Peace Prize Laureates*, NobelPrize.org, <https://www.nobelprize.org/nomination/peace/> (last visited Feb. 21, 2026); Vera Eckert & Gwladys Fouche, Nobel Committee Says Peace Prize Winner Likely Revealed Early by Digital Spying, Reuters (Jan. 30, 2026), <https://www.reuters.com/world/americas/nobel-committee-says-peace-prize-winner-likely-revealed-early-by-digital-spying-2026-01-30/>.

¹⁵⁷Nobel Peace Prize: Unusual Polymarket Bets on Winner Spur Probe, Bloomberg (Oct. 10, 2025), <https://www.bloomberg.com/news/articles/2025-10-10/unusual-bets-on-nobel-peace-prize-winner-prompt-probe-into-leaks>; Vera Eckert & Gwladys Fouche, *Nobel Committee Says Peace Prize Winner Likely Revealed Early by Digital Spying*, Reuters (Jan. 30, 2026), <https://www.reuters.com/world/americas/nobel-committee-says-peace-prize-winner-likely-revealed-early-by-digital-spying-2026-01-30/>.

¹⁵⁸Polymarket, Nobel Peace Prize Winner 2025, <https://polymarket.com/event/nobel-peace-prize-winner-2025> (last visited Feb. 15, 2026).

¹⁵⁹*Id.*

¹⁶⁰Nobel Peace Prize: Unusual Polymarket Bets on Winner Spur Probe, Bloomberg (Oct. 10, 2025), <https://www.bloomberg.com/news/articles/2025-10-10/unusual-bets-on-nobel-peace-prize-winner-prompt-probe-into-leaks>. Machado’s odds on the Polymarket “Will María Corina Machado win the Nobel Peace Prize in 2025?” market were approximately 3.6% (trading at \$0.04 per YES share) on the evening of October 9.

¹⁶¹Nobel Peace Prize Organizers Probing Potential Polymarket Insider Trades, Decrypt (Oct. 2025), <https://decrypt.co/343840/nobel-peace-prize-organizers-intestigating-polymarket-insider-trades>.

The Suspicious Trades. Three Polymarket accounts drove the overnight price surge. Their trading patterns and account histories are summarized in the following table:

Table 5: Nobel Peace Prize Suspicious Trading Accounts

Account	Account Created	Amount Wagered	Entry (Machado)	Odds	Approximate Profit
"6741"	~24 hours before	\$29,000	~4%–43%		\$53,500
"dirtycup"	Weeks before	\$68,340	~5%–15%		\$31,000
"GayPride"	Unknown	Unknown	60%–71%		\$85,000
Total	—	—	—		~\$90,000

The first account to begin trading, identified by the Polymarket display name "6741," was created only twenty-four hours before placing its wagers.¹⁶² Beginning at approximately 10:42 PM UTC on October 9, the account accumulated \$29,000 in YES positions on Machado over a five-hour window, along with smaller positions on other candidates—including \$14,000 on Yulia Navalnaya.¹⁶³ The account turned those bets into approximately \$53,500 in profit when Machado was announced.¹⁶⁴

The second account, "dirtycup," had been created only weeks before and had no prior betting history.¹⁶⁵ Beginning at 3:41 AM UTC on October 10—approximately five hours before the official announcement—dirtycup placed \$68,340 in YES shares on Machado, purchasing at prices starting around \$0.05 per share.¹⁶⁶ The account's strategy was singular: a single directional bet on Machado with no hedging across other candidates. The position yielded approximately \$31,000 in profit.¹⁶⁷

¹⁶²Avi Salzman, *Polymarket Traders Accused of 'Insider Trading' Nobel Peace Prize*, Protos (Oct. 10, 2025),

<https://protos.com/polymarket-traders-accused-of-insider-trading-nobel-peace-prize/>; <https://cryptoslate.com/abnormal-polymarket-bets-on-potential-nobel-prize-winner-cause-norway-to-launch-probe/>.

¹⁶³*Id.*

¹⁶⁴Polymarket Bets Trigger Nobel Leak Probe in Norway, Blockworks (Oct. 2025), <https://blockworks.co/news/polymarket-nobel-probe>.

¹⁶⁵*Id.*; *Nobel Peace Prize: Unusual Polymarket Bets on Winner Spur Probe*, Bloomberg (Oct. 10, 2025), <https://www.bloomberg.com/news/articles/2025-10-10/unusual-bets-on-nobel-peace-prize-winner-prompt-probe-into-leaks>

¹⁶⁶*Insider Knowledge Speculations Follow Polymarket Whale's Bet on Nobel Peace Prize*, Cryptopolitan (Oct. 10, 2025), <https://www.cryptopolitan.com/polymarket-whale-front-run-nobel-peace-prize/>.

¹⁶⁷Officials Probe Polymarket over Suspicious Trades Predicting Nobel Peace Prize Winner, The Block (Oct. 2025), <https://www.theblock.co/post/374199/officials-probe-polymarket-over-suspicious-trades-predicting-nobel-peace-prize-winner-reports>; *Polymarket Traders Accused of 'Insider Trading' Nobel Peace Prize*, Protos (Oct. 10, 2025), <https://protos.com/polymarket-traders-accused-of-insider-trading-nobel-peace-prize/>; *Officials Probe Polymarket over Suspicious Trades Predicting Nobel Peace Prize Winner*, The Block (Oct. 2025),

The third account, “GayPride,” entered the market at higher prices (between \$0.60 and \$0.71 per share) after the initial surge of buying had already driven Machado’s odds upward.¹⁶⁸ This account generated approximately \$85,000 in profit, likely by taking a larger absolute position at prices that, while elevated, still implied a substantial discount to the \$1.00 payout upon resolution.¹⁶⁹

Across the three accounts, total profits were approximately \$90,000.¹⁷⁰ Multiple analysts described the trading pattern as “toxic flow”—a term from market microstructure theory referring to informed capital that moves ahead of public news.¹⁷¹

The Investigation. Norwegian Nobel Institute Director Kristian Berg Harpviken responded immediately to the trading anomaly. On October 10, 2025, he told Bloomberg: “We take this very seriously. It seems we have been prey to a criminal actor who wants to earn money on our information.”¹⁷² He dismissed the possibility of an internal leak, pointing instead to the likelihood of cyber espionage. “It’s no secret that the Nobel Institute is a target of systematic espionage,” Harpviken stated.¹⁷³

On October 13, Bloomberg reported that Norwegian authorities had shifted their investigative focus from a potential internal mole to “systematic espionage”—the possibility that intelligence agencies or sophisticated hacking groups had intercepted digital communications between committee members.¹⁷⁴ One of Norway’s three intelligence agencies participated in the investigation.¹⁷⁵

<https://www.theblock.co/post/374199/officials-probe-polymarket-over-suspicious-trades-predicting-nobel-peace-prize-winner-reports>.

¹⁶⁸Did a Polymarket Whale Just Front-Run the Nobel Peace Prize News?, Cryptopolitan (Oct. 2025), <https://www.cryptopolitan.com/polymarket-whale-front-run-nobel-peace-prize/>.

¹⁶⁹Norway Suspects Espionage in Nobel Peace Prize Winner Breach, Bloomberg (Oct. 13, 2025), <https://www.bloomberg.com/news/articles/2025-10-13/norway-suspects-espionage-in-nobel-peace-prize-winner-breach>.

¹⁷⁰Profits were \$169,500 gross and \$90,000 net.Nobel Hacking Likely Leaked Peace Prize Winner Name, Probe Finds, Bloomberg (Jan. 30, 2026), <https://www.bloomberg.com/news/articles/2026-01-30/nobel-hacking-likely-leaked-peace-prize-winner-name-probe-finds>; Polymarket Bets Trigger Nobel Leak Probe in Norway, Blockworks (Oct. 10, 2025), <https://blockworks.co/news/polymarket-nobel-probe>.

¹⁷¹The Nobel Leak: How Prediction Markets Unmasked the 2025 Peace Prize, PredictStreet via FinancialContent (Jan. 21, 2026), <https://markets.financialcontent.com/stocks/article/predictstreet-2026-1-21-the-nobel-leak-how-prediction-markets-unmasked-the-2025-peace-prize>.

¹⁷²Nobel Institute Suspects Spying, News in English (Norway) (Oct. 13, 2025), <https://www.newsinenglish.no/2025/10/13/nobel-institute-suspects-spying/>. Harpviken stated: “We can dream that this was a coincidence, but the probability of that is very low.”

¹⁷³Norway Suspects Espionage in Nobel Peace Prize Winner Breach, Bloomberg (Oct. 13, 2025), <https://www.bloomberg.com/news/articles/2025-10-13/norway-suspects-espionage-in-nobel-peace-prize-winner-breach>.

¹⁷⁴Id. Harpviken stated: “It’s no secret that the Nobel Institute is a target of systematic espionage.”

¹⁷⁵Vera Eckert & Gwladys Fouche, Nobel Committee Says Peace Prize Winner Likely Revealed Early by Digital Spying, Reuters (Jan. 30, 2026),

On January 30, 2026, the Norwegian Nobel Committee released its formal findings. The Committee concluded that “digital espionage” was the “most likely” explanation for the pre-announcement leak.¹⁷⁶ Harpviken told Reuters: “We have not been able to determine exactly what happened or who was behind the breach but we do believe that the digital domain still is the main suspect.”¹⁷⁷ The Committee’s internal report stated that “there were actors capable of acquiring information illegally” about the Committee’s decision, but investigators could not determine precisely how the information was obtained or whether the responsible party was a state or private actor.¹⁷⁸ The Committee announced plans to implement “analog-only” deliberation sessions, banning all digital devices from the room during future discussions of potential laureates.¹⁷⁹

Enforcement Challenges. As of February 2026, no criminal charges have been filed in connection with the Nobel Prize trading. The case illustrates several enforcement obstacles that distinguish it from the IDF case discussed above.

First, the source of the leak remains unidentified. Despite the involvement of a Norwegian intelligence agency, investigators could not determine who carried out the breach or how—leaving no identifiable defendant to prosecute.¹⁸⁰ This stands in contrast to the IDF case, where Israeli security agencies identified both the leaker and the trader within months.¹⁸¹

Second, the jurisdictional complexity is even greater than in the prior cases. The leaked information originated in Norway, the platform operates on a decentralized blockchain with no clear physical jurisdiction, and the traders are pseudonymous with no confirmed identities or

<https://www.reuters.com/world/americas/nobel-committee-says-peace-prize-winner-likely-revealed-early-by-digital-spying-2026-01-30/>.

¹⁷⁶Nobel Hacking Likely Leaked Peace Prize Winner Name, Probe Finds, Bloomberg (Jan. 30, 2026), <https://www.bloomberg.com/news/articles/2026-01-30/nobel-hacking-likely-leaked-peace-prize-winner-name-probe-finds>; Vera Eckert & Gwladys Fouche, Nobel Committee Says Peace Prize Winner Likely Revealed Early by Digital Spying, Reuters (Jan. 30, 2026), <https://www.reuters.com/world/americas/nobel-committee-says-peace-prize-winner-likely-revealed-early-by-digital-spying-2026-01-30/>.

¹⁷⁷Eckert & Fouche, *supra* note 106. Harpviken told Reuters: “We have not been able to determine exactly what happened or who was behind the breach but we do believe that the digital domain still is the main suspect.”

¹⁷⁸Betting Spike Ahead of Machado's Nobel Peace Prize and Suspected Cyber Breach Trigger Leak Probe, MercoPress (Feb. 3, 2026), <https://en.mercopress.com/2026/02/03/betting-spike-ahead-of-machado-s-nobel-peace-prize-and-suspected-cyber-breach-trigger-leak-probe>.

¹⁷⁹Cf. Part IV.B, *supra* (discussing the IDF case, in which Israeli prosecutors charged an IDF reservist and civilian accomplice with using classified military intelligence to place Polymarket bets).

¹⁸⁰See Vera Eckert & Gwladys Fouche, *Nobel Committee Says Peace Prize Winner Likely Revealed Early by Digital Spying*, Reuters (Jan. 30, 2026), <https://www.reuters.com/world/americas/nobel-committee-says-peace-prize-winner-likely-revealed-early-by-digital-spying-2026-01-30/>. See Part IV.A.6, *supra* (discussing the Public Integrity in Financial Prediction Markets Act of 2026 introduced by Rep. Ritchie Torres).

¹⁸¹Cf. Part IV.B, *supra* (discussing the IDF case, in which Israeli prosecutors charged an IDF reservist and civilian accomplice with using classified military intelligence to place Polymarket bets).

nationalities.¹⁸² Even if the traders were identified, it is unclear which country's laws would apply or which courts would have jurisdiction.

Third, the legal basis for prosecution is uncertain. Polymarket's terms of service does not explicitly prohibit insider trading. The platform does prohibit front running, wash trading, and fraudulent activity, but has not publicly taken any enforcement action against the three accounts.¹⁸³ Norwegian law protects the secrecy of Nobel deliberations, but whether foreign traders on an offshore blockchain platform violate Norwegian confidentiality statutes by profiting from stolen information is an open question.¹⁸⁴

Legal Significance. The Nobel case occupies a distinct position among the prediction market insider trading incidents documented in this study. It is the only case in which the information source—the Norwegian Nobel Committee itself—officially concluded that a breach occurred and attributed it to digital espionage.¹⁸⁵ In the Maduro case, no official investigation has confirmed the source of any advance knowledge.¹⁸⁶ In the IDF case, the breach was internal rather than external—an insider who shared classified information rather than an outside actor who penetrated digital defenses.¹⁸⁷

The case also presents a paradox about the informational function of prediction markets. The suspicious trading activity on Polymarket served as the primary signal that the Nobel Committee's deliberations had been compromised. Without the market's transparent price movements, the breach might have gone undetected entirely.¹⁸⁸ The prediction market both facilitated the monetization of stolen information and revealed that a theft had occurred—a tension that complicates straightforward calls for greater regulation.

¹⁸²Potential Nobel Peace Prize Betting Scandal, Brave New Coin (Oct. 2025), <https://bravenewcoin.com/insights/potential-nobel-peace-prize-betting-scandal-norway-investigates-suspicious-polymarket-activity>.

¹⁸³The Nobel Leak: How Prediction Markets Unmasked the 2025 Peace Prize, PredictStreet (Jan. 21, 2026), <https://markets.financialcontent.com/stocks/article/predictstreet-2026-1-21-the-nobel-leak-how-prediction-markets-unmasked-the-2025-peace-prize>; Let Insiders Trade, Blockworks (Sept. 17, 2025), <https://blockworks.co/news/insider-trading-polymarket>; Prediction Markets Invite Insider Trading—And That's a Good Thing, Experts Say, Decrypt (Oct. 11, 2024), <https://decrypt.co/285857/prediction-markets-insider-trading>.

¹⁸⁴Nobel Peace Prize — Nomination: Confidentiality, Norwegian Nobel Committee, <https://www.nobelpeaceprize.org/nobel-peace-prize/nomination/confidentiality> (last visited Feb. 21, 2026); see also Norwegian Penal Code § 201 (unauthorized access to computer systems is punishable by up to two years imprisonment).

¹⁸⁵Nobel Hacking Likely Leaked Peace Prize Winner Name, Probe Finds, Bloomberg (Jan. 30, 2026), <https://www.bloomberg.com/news/articles/2026-01-30/nobel-hacking-likely-leaked-peace-prize-winner-name-probe-finds>; See Part IV.B, *supra* (discussing the IDF case).

¹⁸⁶*Cf.* Part IV.A, *supra* (discussing the Maduro trade, which involved a single wallet's \$33,834, investment yielding \$402,825 in profit from advance knowledge of a U.S. military operation).

¹⁸⁷See Part IV.B, *supra* (discussing the IDF case).

¹⁸⁸Betting Spike Ahead of Machado's Nobel Peace Prize and Suspected Cyber Breach Trigger Leak Probe, Mercopress (Feb. 3, 2026), <https://en.mercopress.com/2026/02/03/betting-spike-ahead-of-machado-s-nobel-peace-prize-and-suspected-cyber-breach-trigger-leak-probe>.

The financial stakes were relatively modest: approximately \$90,000 in combined profits across three accounts, dwarfed by the \$21.5 million in legitimate trading volume the market attracted.¹⁸⁹ But the reputational consequences were severe. The incident forced the Nobel Institute—an institution with more than a century of credibility—to engage cybersecurity consultants, partner with an intelligence agency, and fundamentally alter its deliberation protocols. The threat of prediction market exploitation thus extends beyond financial harm to institutional integrity.

The legislative response to prediction market insider trading, prompted largely by the Maduro trade, has not specifically addressed the cross-border espionage scenario presented by the Nobel case.¹⁹⁰ The proposed Public Integrity in Financial Prediction Markets Act focuses on U.S. federal officials and other political appointees trading on nonpublic information—a framework that would not reach foreign state actors or criminal hackers exploiting international institutions. This gap underscores the need for international coordination in regulating prediction markets that attract global participation and implicate information from sovereign institutions worldwide.¹⁹¹

E. The AlphaRaccoon / Google Year in Search Case

Background. On December 4, 2025, Google released its annual “Year in Search” report, revealing the most trending search topics, people, and events of 2025 as measured by Google Trends data.¹⁹² The results included a surprise: d4vd, a twenty-year-old singer-songwriter, was named the #1 most trending person globally—an outcome that virtually no public commentator had predicted.¹⁹³ Within hours of the announcement, allegations emerged that a pseudonymous Polymarket trader had used advance knowledge of Google’s proprietary data to earn more than \$1 million in profit on prediction markets tied to the Year in Search rankings.¹⁹⁴

The trader—operating under the Polymarket display name “AlphaRaccoon” and later renamed “0xafEe”—correctly predicted 22 of 23 outcomes across Google Year in Search prediction

¹⁸⁹See Polymarket, Will María Corina Machado Win the Nobel Peace Prize in 2025?, <https://polymarket.com/event/nobel-peace-prize-winner-2025/will-mara-corina-machado-win-the-nobel-peace-prize-in-2025> (last visited Feb. 15, 2026).

¹⁹⁰See Part IV.A.6, *supra* (discussing the Public Integrity in Financial Prediction Markets Act of 2026 introduced by Rep. Ritchie Torres).

¹⁹¹Reuters, *supra* note 18; Bloomberg, *supra* note 17.

¹⁹²Google, Year in Search 2025, <https://trends.withgoogle.com/year-in-search/2025/> (last visited Feb. 15, 2026); see also Google, The Year in Search 2025, The Keyword (Dec. 4, 2025), <https://blog.google/products/search/year-in-search-2025/>.

¹⁹³d4vd (born David Anthony Burke) is a 20-year-old singer-songwriter known for the songs “Romantic Homicide” and “Here With Me.” See Singer d4vd Has Been Named the Top Trending Person on Google in 2025, Sherwood News (Dec. 4, 2025), <https://sherwood.news/culture/singer-d4vd-has-been-named-top-trending-person-on-google-in-2025/>.

¹⁹⁴Polymarket User Accused of \$1 Million Insider Trade on Google Search Markets, Gizmodo (Dec. 6, 2025), <https://gizmodo.com/polymarket-user-accused-of-1-million-insider-trade-on-google-search-markets-2000696258>.

markets, earning approximately \$1.15 million in a single day.¹⁹⁵ The account's most striking trade was a \$10,647 bet that d4vd would be the #1 most searched person—a wager placed when d4vd's implied probability on Polymarket was approximately 5%—which returned nearly \$200,000.¹⁹⁶ The case drew immediate comparisons to the Maduro trade¹⁹⁷ and the IDF case,¹⁹⁸ and raised a novel question that the prior incidents had not: whether corporate employees trading on proprietary business information—as opposed to government or military secrets—constitute insider trading on prediction markets.

The Polymarket Markets. Polymarket hosted a suite of prediction markets tied to Google's Year in Search 2025 results, covering categories including the most searched person, athlete, song, movie, and news event.¹⁹⁹ The largest market—"#1 Searched Person on Google This Year"—attracted approximately \$57 million in total trading volume, making it one of the highest-volume prediction markets on the platform outside of U.S. presidential elections.²⁰⁰ The full suite of Google Year in Search markets and their approximate volumes were as follows:

Table 6: Google Year in Search Prediction Markets on Polymarket

Market	Category	Total Volume	Outcome
"#1 Searched Person"	People	~\$57,000,000	d4vd
"#1 Searched Passings"	Passings	~\$7,000,000	Various
"#1 Searched Athlete"	Sports	~\$959,000	Various
"#1 Searched Movie"	Entertainment	~\$790,000	Various
"Top 5 Most Searched Actors"	Entertainment	~\$620,000	Various
"#1 Searched Song"	Music	~\$511,000	Various

¹⁹⁵Polymarket Trader Makes \$1 Million on Google Search Bets, Sparking Insider Trading Fears, CoinDesk (Dec. 5, 2025), <https://finance.yahoo.com/news/polymarket-trader-makes-1-million-090001027.html>.

¹⁹⁶A Google Insider? The Polymarket Trader Who Turned \$10K Into \$1M Overnight, DeFi Rate (Dec. 5, 2025), <https://defirate.com/news/polymarket-trader-turned-10k-into-1m-google/>.

¹⁹⁷Cf. Part III.A, *supra* (discussing the Maduro trade, in which a single wallet's \$38,533 investment yielded \$523,879 in profit from advance knowledge of a U.S. military operation).

¹⁹⁸Cf. Part III.B, *supra* (discussing the IDF case, in which Israeli prosecutors charged an IDF reservist and civilian accomplice with using classified military intelligence to place Polymarket bets—the only prediction market insider trading case to result in criminal charges).

¹⁹⁹Polymarket, #1 Searched Person on Google This Year, <https://polymarket.com/event/1-searched-person-on-google-this-year> (last visited Feb. 15, 2026). The market reported approximately \$57 million in total trading volume.

²⁰⁰Polymarket, #1 Searched Person on Google This Year, <https://polymarket.com/event/1-searched-person-on-google-this-year> (last visited Feb. 15, 2026). The market reported approximately \$57 million in total trading volume.

Other Google Search markets	Various	Varies	Various
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The aggregate trading volume across all Google Year in Search prediction markets exceeded \$65 million.²⁰¹ The extraordinary volume reflected intense public interest in Google’s annual cultural rankings as well as the platform’s growing mainstream adoption following its prominence during the 2024 U.S. presidential election cycle.



Figure 5: Google Year in Search Markets: Daily Trading Volume

The AlphaRaccoon Trades. The account that attracted scrutiny—publicly identified by its Polymarket display name “AlphaRaccoon” (later renamed “0xafEe”) and its on-chain address 0xee50a31c3f5a7c77824b12a941a54388a2827ed6—had been created in May of 2024, but became active in the Google search markets only in mid October 2025.²⁰² The wallet deposited

²⁰¹Id.

²⁰²On-chain data from the Polymarket CTF Exchange on the Polygon blockchain. The wallet address associated with the “AlphaRaccoon” account (later renamed “0xafEe”) is 0xee50a31c3f5a7c77824b12a941a54388a2827ed6. See Polygonscan, <https://polygonscan.com/address/0xee50a31c3f5a7c77824b12a941a54388a2827ed6>. See also Polymarket, @0xafEe, <https://polymarket.com/@0xafEe>.

approximately \$3 million into Polymarket and immediately began placing large directional bets across the Google Year in Search markets.²⁰³

The account's strategy was extraordinary in its breadth and precision. Across 23 distinct prediction markets spanning every major Google Year in Search category—person, athlete, song, movie, passings, news, game, TV show, and more—the account correctly predicted 22 outcomes and missed only one.²⁰⁴ Its total profit from the Google Year in Search markets was approximately \$1.15 million.²⁰⁵

Table 7: AlphaRaccoon Trading Summary

Metric	Amount	Source
Total deposit	~\$3,000,000	Blockchain data
Open positions (peak)	\$3,900,000	Multiple reports
Google Year in Search profit	~\$1,150,000	DeFi Rate, CoinDesk
d4vd bet (#1 Searched Person)	\$10,647 → ~\$200,000	DeFi Rate
Kendrick Lamar hedge (loss)	-\$12,000	BelnCrypto, VSO
Prior Gemini 3.0 profit	~\$150,000	DeFi Rate
Lifetime volume (all markets)	\$7,914,116	Polymarket profile
Lifetime realized P&L	\$929,251	Polymarket profile

The probability of correctly predicting 22 of 23 outcomes across diverse categories—each with multiple candidates and substantial uncertainty—by chance alone is vanishingly small.²⁰⁶

²⁰³The wallet deposited approximately \$3 million into Polymarket in late November 2025 and immediately began placing large directional bets across Google Year in Search markets. See DeFi Rate, *supra* note 125; Benzinga, Polymarket Returns to the US as Rumored Insider Pockets \$1 Million on Google Trends Market (Dec. 4, 2025), <https://www.benzinga.com/crypto/cryptocurrency/25/12/49208309/polymarket-returns-to-the-us-as-rumored-insider-pockets-1-million-on-google-trends-market>.

²⁰⁴Trader Hits 22 of 23 Google Bets as Insider Allegations Rock Polymarket, VegasSlotsOnline (Dec. 4, 2025), <https://www.vegasslotsonline.com/news/2025/12/04/trader-hits-22-of-23-google-bets-as-insider-allegation-s-rock-polymarket/>.

²⁰⁵DeFi Rate, *supra* note 125 (“AlphaRaccoon’s total profit from the Google Year in Search markets was approximately \$1.15 million”); see also CoinDesk, *supra* note 124 (reporting \$1 million in profit).

²⁰⁶DeFi Rate, *supra* note 125 (reporting the d4vd bet as “\$10,647 wagered on d4vd at approximately \$0.05 per share, returning nearly \$200,000”). Some sources report the pre-bet probability as low as 0.2%. See 5Star Media, *infra* note 139.

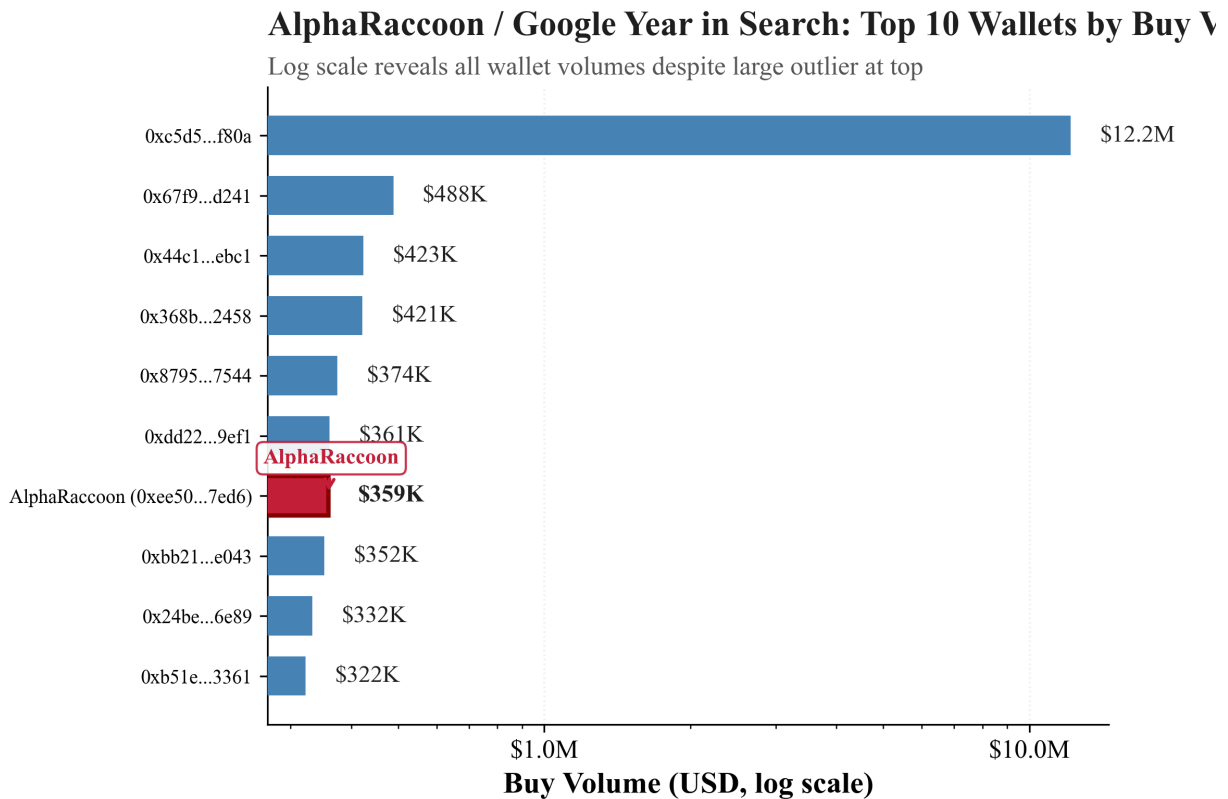


Figure 6: AlphaRaccoon / Google Year in Search: Top Wallets by Buy Volume

The d4vd Bet. The account’s single most dramatic trade was its bet on d4vd to be named the #1 most searched person on Google in 2025.²⁰⁷ d4vd—a twenty-year-old New York-born singer-songwriter whose breakout hits “Romantic Homicide” and “Here With Me” had earned him a following on streaming platforms—was not among the widely discussed candidates for Google’s top search ranking.²⁰⁸ As recently as late November 2025, d4vd’s implied probability on the Polymarket market had been as low as 0.2%.²⁰⁹

²⁰⁷The payout on a YES share upon resolution is \$1.00. At a purchase price of \$0.05 per share, the \$10,647 investment purchased approximately 212,940 shares, which resolved at \$1.00 each for a total payout of approximately \$212,940—a return of approximately 1,900%.

²⁰⁸d4vd (born David Anthony Burke) is a 20-year-old singer-songwriter known for the songs “Romantic Homicide” and “Here With Me.” See Singer d4vd Has Been Named the Top Trending Person on Google in 2025, Sherwood News (Dec. 4, 2025), <https://sherwood.news/culture/singer-d4vd-has-been-named-top-trending-person-on-google-in-2025/>.

²⁰⁹Alleged Insider Nets Over \$1 Million on Polymarket, 5Star iGaming Media (Dec. 5, 2025), <https://5star.media/2025/12/05/alleged-insider-nets-over-1-million-on-polymarket/>. The source reports that d4vd’s odds hit a low of 0.2% as recently as November 29, 2025.

The AlphaRaccoon account wagered \$10,647 on d4vd YES shares at a price of approximately \$0.05 per share.²¹⁰ At that price, the market implied a 5% probability that d4vd would be the #1 searched person—a long-shot bet. When Google announced on December 4, 2025 that d4vd was indeed the #1 most trending person globally, the shares resolved at \$1.00.²¹¹ The \$10,647 investment returned approximately \$200,000—a gain of roughly 1,900%.²¹²

The account's one losing bet could be understood as consistent with insider trading hypothesis. The account placed a \$12,000 hedge on Kendrick Lamar to be the #1 most searched person—a position that lost when d4vd took the top spot and Lamar finished second.²¹³ Multiple analysts described this as a deliberate hedge: a position designed to limit downside risk on the d4vd bet in case the search rankings shifted before publication, consistent with a trader who had strong but not certain knowledge of the forthcoming results.²¹⁴

Prior Pattern: The Gemini 3.0 Trade. The AlphaRaccoon trades did not emerge in isolation. Months before the Year in Search controversy, the same wallet had earned approximately \$150,000 by correctly predicting the exact release date of Google's Gemini 3.0 artificial intelligence model—a proprietary product timeline which would have been known only to Google employees before its public announcement.²¹⁵ Multiple news outlets noted the prior trade as circumstantial evidence that the wallet's operator had repeated access to nonpublic Google information, not merely a lucky one-time guess.²¹⁶

The combined pattern—two separate instances of extraordinarily accurate predictions involving proprietary Google data, months apart, from the same wallet—is difficult to reconcile with chance or exceptional analytical skill. As one analyst noted, “predicting a product launch window is common; predicting the specific day of the announcement weeks in advance implies access to privileged information.”²¹⁷

²¹⁰DeFi Rate, *supra* note 125 (reporting the d4vd bet as “\$10,647 wagered on d4vd at approximately \$0.05 per share, returning nearly \$200,000”). Some sources report the pre-bet probability as low as 0.2%. See 5Star Media, *supra* note 139.

²¹¹Google, *supra* note 121. d4vd was named the #1 most trending person globally in Google's Year in Search 2025.

²¹²The payout on a YES share upon resolution is \$1.00. At a purchase price of \$0.05 per share, the \$10,647 investment purchased approximately 212,940 shares, which resolved at \$1.00 each for a total payout of approximately \$212,940—a return of approximately 1,900%.

²¹³DeFi Rate, *supra* note 125. The account's single losing bet was a \$12,000 hedge on Kendrick Lamar for the #1 Most Searched Person market. Kendrick Lamar finished as the #2 most searched person, behind d4vd.

²¹⁴DeFi Rate, *supra* note 125.

²¹⁵DeFi Rate, *supra* note 125 (reporting that “just months ago, the same trader pocketed close to \$150K by nailing the exact release date of Google's Gemini 3.0”). See Polymarket, What Day Will Gemini 3.0 Be Released?, <https://polymarket.com/event/what-day-will-gemini-3pt0-be-released>.

²¹⁶*Id.* The Gemini 3.0 AI model release date had not been hinted at before its public announcement, and thus would have been known to only a small number of Google employees and executives.

²¹⁷The “AlphaRaccoon” Scandal Exposes Critical Flaws in Prediction Markets, TechStory (Dec. 5, 2025), <https://techstory.in/the-million-dollar-leak-alpharaccoon-scandal-exposes-critical-flaws-in-prediction-markets/>.

Public Response and Regulatory Gaps. The exposure of the AlphaRaccoon trades was driven not by regulators or platform surveillance but by community investigation. Haeju Jeong, a Meta software engineer, posted on X: “Google insider has officially been exposed on Polymarket...profited \$1,000,000 in a single day betting on the Google search markets.”²¹⁸ The post amassed over 3.7 million views and prompted widespread media coverage.²¹⁹ Shortly after the exposure, the account changed its display name from “AlphaRaccoon” to “0xafEe,” but the name change did not alter the publicly visible on-chain trading history.²²⁰

Polymarket’s own response was ambiguous. The platform’s official “Polymarket Money” account posted: “\$1.15M profit in 24 hours trading Google search markets” with the question “Who is AlphaRaccoon?”²²¹ Polymarket founder Shayne Coplan stated that the platform “can self-police insider trading” and has the ability to conduct internal audits, but the platform took no publicly disclosed enforcement action.²²² As of February 2026, neither Google, Polymarket, the SEC, nor the CFTC has publicly confirmed any investigation.²²³

The case exposed a regulatory gap distinct from those identified in the Maduro and IDF cases. In those incidents, the nonpublic information at issue was governmental or military in nature—the timing of a covert military operation, classified operational plans. The AlphaRaccoon case involves a different species of nonpublic information: proprietary corporate data.²²⁴ Google’s Year in Search rankings are not classified or regulated by any government agency—they are internal business analytics that become newsworthy only when Google chooses to publish them.²²⁵

²¹⁸Meta Engineer Claims ‘Google Insider’ Used Early Search Data in \$1M Polymarket Plunder, Hoodline (Dec. 5, 2025), <https://hoodline.com/2025/12/meta-engineer-claims-google-insider-used-early-search-data-in-1m-polymarket-plunder/>. The post by Haeju Jeong stated: “Google insider has officially been exposed on Polymarket...profited \$1,000,000 in a single day betting on the Google search markets.”

²¹⁹Id. Jeong’s post on X amassed over 3.7 million views. See also @nikshepsvn on X: “turns out AlphaRaccoon changed his name to 0xafEe and is up over \$1.1M+ today insider trading is a complex topic wrt to prediction markets.”

²²⁰Gizmodo, *supra* note 2. The account was renamed from “AlphaRaccoon” to “0xafEe” on or about December 4–5, 2025, but all trading activity remained publicly visible on the Polygon blockchain.

²²¹Polymarket’s official Polymarket Money account posted: “\$1.15M profit in 24 hours trading Google search markets” with the question “Who is AlphaRaccoon?” See Gizmodo, *supra* note 123.

²²²Polymarket’s rulebook states: “No Person shall take action or direct another to take action based on non-public Order information, however acquired.” See Benzinga, *supra* note 6. Polymarket founder Shayne Coplan has stated that the platform “can self-police insider trading” and has the ability to conduct internal audits.

²²³As of February 15, 2026, neither Google, Polymarket, the SEC, nor the CFTC has publicly confirmed any investigation into the AlphaRaccoon trades. See Gizmodo, *supra* note 123 (“it’s unclear if there is any ongoing investigation into these trades from either Google or Polymarket”).

²²⁴Employee ‘Betting’ in Prediction Markets: New Risks for Insider Trading and Proprietary Information Disclosure, Compliance & Ethics Blog (2026), <https://complianceandethics.org/employee-betting-in-prediction-markets-new-risks-for-insider-trading-and-proprietary-information-disclosure/>.

²²⁵Google’s Year in Search data is derived from Google Trends, which aggregates and anonymizes search queries to identify trending topics. The final rankings are compiled internally before the annual public release. See Google, *supra* note 1.

This distinction matters for enforcement. The Public Integrity in Financial Prediction Markets Act of 2026, introduced by Rep. Ritchie Torres in response to the Maduro trade, would prohibit federal officials from trading on material nonpublic government information.²²⁶ But the bill does not address corporate insiders trading on proprietary business information such as product release dates or internal data rankings.²²⁷ Under existing law, the CFTC’s anti-fraud authority requires “a link to deception or duty”—a higher bar than the SEC’s Rule 10b-5, which applies only to securities and not to prediction market contracts.²²⁸

European regulators have expressed broader concerns about prediction market integrity, but the EU as a whole has not adopted specific rules addressing insider trading on decentralized platforms.²²⁹ Commentators have proposed various solutions, including mandatory disclosure requirements for large prediction market positions, platform-level surveillance tools modeled on securities exchange monitoring systems, and extending fiduciary duty concepts to corporate employees who trade on employer proprietary information in any venue, including prediction markets.²³⁰

Assessing the Evidence. The circumstantial evidence against AlphaRaccoon is among the strongest in the prediction market insider trading cases documented in this study. The account correctly predicted 22 of 23 outcomes across multiple categories of proprietary Google data, a near-perfect record that defies plausible alternative explanations.²³¹ The same account had previously earned \$150,000 by predicting the exact release date of a separate Google product, establishing a pattern of access to nonpublic Google information.²³² The total profit—approximately \$1.15 million from the Year in Search trades alone, plus \$150,000 from the Gemini 3.0 trade—substantially exceeds the profits in either the Maduro case (\$485,346) or the IDF case (\$155,699).²³³

²²⁶Public Integrity in Financial Prediction Markets Act of 2026, H.R. 7004, 119th Cong. (2026), <https://www.congress.gov/bill/119th-congress/house-bill/7004/text/ih>. Introduced by Rep. Ritchie Torres on January 9, 2026, in response to the Maduro trade. See Part IV.A.6, *supra*.

²²⁷*Id.* The Torres bill would prohibit federal elected officials, political appointees, and Executive Branch employees from trading prediction market contracts tied to government policy or political outcomes when in possession of material nonpublic information. However, the bill does not address corporate insiders trading on proprietary business information such as product release dates or internal data rankings.

²²⁸The CFTC’s anti-fraud authority under sections 6(c) and 9(a)(2) of the Commodity Exchange Act “requires not just possession of inside information but a link to deception or duty,” a higher bar than the SEC’s Rule 10b-5 prohibition on trading while in possession of material nonpublic information. See *How to Solve Insider Trading in Prediction Markets*, Dopamine Markets (2026), <https://www.dopaminemarkets.com/p/how-to-solve-insider-trading-in-prediction>.

²²⁹The Business of Predicting the Future Is Booming but EU Regulators Remain Uneasy, Euronews (Dec. 30, 2025), <https://www.euronews.com/business/2025/12/30/the-business-of-predicting-the-future-is-booming-but-eu-regulators-remain-uneasy>.

²³⁰*How to Solve Insider Trading in Prediction Markets*, Dopamine Markets (2026), <https://www.dopaminemarkets.com/p/how-to-solve-insider-trading-in-prediction>.

²³¹See Part III.D, *supra* (discussing the AlphaRaccoon case).

²³²*Id.*

²³³See Part IV.B, *supra* (discussing the IDF case).

Yet the identity of the trader remains unknown, and no investigation has been publicly confirmed.²³⁴ No Google employee or contractor has been linked to the wallet address.²³⁵ And unlike the IDF case—where Israeli prosecutors identified both the leaker and the trader within months²³⁶—the AlphaRaccoon case appears to have generated no law enforcement response whatsoever. The absence of enforcement reflects not the weakness of the evidence but the inadequacy of the regulatory framework. Prediction markets straddle the boundary between commodity derivatives (regulated by the CFTC), securities (regulated by the SEC), and gambling (regulated by state gaming commissions), with no single regulator possessing clear authority over insider trading on these platforms. Until legislatures and regulators close the gaps identified by these cases, sophisticated actors will continue to exploit the informational asymmetries that prediction markets both create and reveal.²³⁷

F. The OpenAI Browser Case

Background. On October 21, 2025, OpenAI launched ChatGPT Atlas, a standalone AI-powered web browser built on the Chromium open-source project and designed to integrate large language model capabilities directly into everyday web browsing.²³⁸ CEO Sam Altman announced the product during a public livestream, stating: “We think AI represents a once-in-a-decade opportunity to rethink what a browser can be about.”²³⁹ The browser launched worldwide on macOS, with versions for Windows, iOS, and Android to follow.²⁴⁰ Commentators described the move as a direct challenge to Google Chrome’s dominance, and Alphabet’s share price dropped on the announcement.²⁴¹

The launch did not come as a surprise to everyone. In the days and weeks preceding the announcement, a cluster of newly created wallets on Polymarket had accumulated large YES positions on a prediction market asking whether OpenAI would release a browser by October 31, 2025.²⁴² Community analysts flagged the trading activity as potentially indicative of insider

²³⁴Gizmodo, *supra* note 123 (“no hard proof ties AlphaRaccoon to Google as of yet, and the user hasn’t commented on the matter publicly”).

²³⁵See Part III.D, *supra* (discussing the AlphaRaccoon case).

²³⁶See Part IV.B, *supra* (discussing the IDF case).

²³⁷Full trading history for wallet 0xee50a31c3f5a7c77824b12a941a54388a2827ed6 is publicly viewable on Polygonscan, <https://polygonscan.com/address/0xee50a31c3f5a7c77824b12a941a54388a2827ed6>, and on the Polymarket profile page, <https://polymarket.com/@0xafEe>.

²³⁸OpenAI, Introducing ChatGPT Atlas (Oct. 21, 2025), <https://openai.com/index/introducing-chatgpt-atlas/>.

²³⁹OpenAI CEO Sam Altman, Remarks at ChatGPT Atlas Launch Livestream (Oct. 21, 2025), as reported in OpenAI Unveils ChatGPT Atlas Browser, Sending Alphabet Shares Lower, CNBC (Oct. 21, 2025), <https://www.cnbc.com/2025/10/21/openai-browser-alphabet-stock.html>.

²⁴⁰OpenAI Launches an AI-Powered Browser: ChatGPT Atlas, TechCrunch (Oct. 21, 2025), <https://techcrunch.com/2025/10/21/openai-launches-an-ai-powered-browser-chatgpt-atlas/>.

²⁴¹OpenAI Unveils ChatGPT Atlas Browser, Sending Alphabet Shares Lower, CNBC (Oct. 21, 2025), <https://www.cnbc.com/2025/10/21/openai-browser-alphabet-stock.html>.

²⁴²@cryptof4ck, X (formerly Twitter) (Oct. 2025), <https://x.com/cryptof4ck/status/1980215466741076442> (“Insiders continue to print money on @Polymarket. I stumbled upon an interesting event: OpenAI browser by October 31? Yesterday, the chances of this happening were 32%, and today we are

knowledge, and Polysights’ Insider Finder tool—a surveillance platform funded in part by a \$25,000 Polymarket grant—identified at least one trade as a likely insider bet.²⁴³ The case illustrates a category of prediction market insider trading distinct from the government-secrets cases discussed above: corporate employees or affiliates trading on proprietary product development information.²⁴⁴

The Polymarket Market. Polymarket hosted a binary prediction market titled “OpenAI browser by October 31?”²⁴⁵ The market’s resolution criteria provided that it would resolve to YES “if OpenAI publicly releases a standalone web browser that is intended for general web browsing and is available for use by the public in at least one country or region by October 31, 2025, 11:59 PM ET.”²⁴⁶ The market attracted approximately \$5.5 million in total trading volume, reflecting substantial public interest in OpenAI’s product roadmap during a period of intense AI-industry competition.²⁴⁷

Table 12: OpenAI Browser Prediction Market Details

Detail	Value
Market title	“OpenAI browser by October 31?”
Slug	openai-browser-by-october-31
Condition ID	0xc25e15...be2c90c
Total volume	~\$5,747,187
Condition Met	October 21, 2025
Outcome	YES
Resolution criteria	Standalone web browser publicly released by Oct. 31

approaching an ATH for ‘Yes’ — 70%. 5 new wallets bought ‘Yes’ quotes and are sitting on huge [unrealized gains].”).

²⁴³Gizmodo, *supra* note 5. The Insider Finder tool, built by Tre Upshaw as part of the Polysights analytics platform, “caught this trade in action, and posted it on the company’s X account, flagging the user as a potential insider with direct knowledge of the web browser launch.”

²⁴⁴Cf. Part IV.A, *supra* (discussing the Maduro trade, in which a single wallet’s \$33,934 investment yielded \$436,759 in profit from advance knowledge of a U.S. military operation).

²⁴⁵Polymarket, OpenAI Browser by October 31?, <https://polymarket.com/event/openai-browser-by-october-31> (last visited Feb. 15, 2026). The market reported approximately \$5.5 million in total trading volume.

²⁴⁶Polymarket, OpenAI Browser by October 31?, *supra* note 1. The market’s resolution criteria stated: “This market will resolve to ‘Yes’ if OpenAI publicly releases a standalone web browser that is intended for general web browsing and is available for use by the public in at least one country or region by October 31, 2025, 11:59 PM ET.” (other criteria includes standalone app requirement, open beta requirement, and official announcement requirements).

²⁴⁷Polymarket, OpenAI Browser by October 31?, <https://polymarket.com/event/openai-browser-by-october-31> (last visited Feb. 15, 2026). The market reported approximately \$5.5 million in total trading volume.

Source: Polymarket event page, queried Feb. 15, 2026.

The market's price history reveals a pattern consistent with informed trading. Community analyst @cryptof4ck observed that the implied probability surged from 32% to 70% over a short period, driven largely by purchases from newly created wallets.²⁴⁸ TradeAlgo separately reported that a single \$40,000 bet from a brand-new wallet caused the implied probability to jump from 75% to 95%.²⁴⁹ Analyst @0xashensoul drew a parallel to the Gemini 3.0 market, writing: "It really feels like deja vu. Polymarket 90% YES odds could very well be the result of 'insider' wallets replaying the same playbook we just saw with Gemini 3.0."²⁵⁰ The market resolved YES on October 21, 2025—ten days before the deadline—when OpenAI publicly released ChatGPT Atlas.²⁵¹

The Suspicious Trades. The trading activity that drew scrutiny involved two distinct patterns. First, a single brand-new wallet bet approximately \$40,000 on YES shares and earned roughly \$7,000 in profit—a return of approximately 17.5%.²⁵² This trade was flagged by the Polysights Insider Finder tool, which posted the activity on its X account and identified the wallet as a potential insider.²⁵³

Second, community analyst @cryptof4ck independently identified five wallets that had taken large YES positions and exhibited characteristics commonly associated with insider trading.²⁵⁴ Three of the five wallets were created in September or October 2025—weeks before the

²⁴⁸@cryptof4ck, X (formerly Twitter) (Oct. 2025), <https://x.com/cryptof4ck/status/1980215466741076442> ("Insiders continue to print money on @Polymarket. I stumbled upon an interesting event: OpenAI browser by October 31? Yesterday, the chances of this happening were 32%, and today we are approaching an ATH for 'Yes' — 70%. 5 new wallets bought 'Yes' quotes and are sitting on huge [unrealized gains].").

²⁴⁹Why Insider Trading Is Becoming a Bet in Booming Prediction Markets, TradeAlgo (Jan. 2026), <https://news.tradealgo.com/news/why-insider-trading-is-becoming-a-bet-in-booming-prediction-markets>. TradeAlgo reported that the bet caused Polymarket's implied probability to jump from 75% to 95%.

²⁵⁰@0xashensoul, X (formerly Twitter) (Oct. 2025), <https://x.com/0xashensoul/status/1980548354196095283> ("OpenAI Browser by October 31st: Deja vu Alert. It really feels like deja vu. Polymarket 90% YES odds could very well be the result of 'insider' wallets replaying the same playbook we just saw with Gemini 3.0.").

²⁵¹OpenAI, Introducing ChatGPT Atlas (Oct. 21, 2025), <https://openai.com/index/introducing-chatgpt-atlas/>.

²⁵²Tracking Insider Trading on Polymarket Is Turning Into a Business of Its Own, Gizmodo (Jan. 13, 2026), <https://gizmodo.com/tracking-insider-trading-on-polymarket-is-turning-into-a-business-of-its-own-2000709286>. The article reports that a brand-new wallet bet \$40,000 on the OpenAI browser market and netted \$7,000 in profit.

²⁵³Gizmodo, supra note 5. The Insider Finder tool, built by Tre Upshaw as part of the Polysights analytics platform, "caught this trade in action, and posted it on the company's X account, flagging the user as a potential insider with direct knowledge of the web browser launch."

²⁵⁴@cryptof4ck, X (formerly Twitter) (Oct. 20 2025), <https://x.com/cryptof4ck/status/1980215466741076442> ("Insiders continue to print money on @Polymarket. I stumbled upon an interesting event: OpenAI browser by October 31? Yesterday, the chances of this happening were 32%, and today we are approaching an ATH for 'Yes' — 70%. 5 new wallets bought 'Yes' quotes and are sitting on huge [unrealized gains].").

browser launch—and had little or no prior trading history on Polymarket.²⁵⁵ The five flagged wallets were:

Table 13: Suspicious Wallets on OpenAI Browser Market

Wallet	Joined	Markets Traded	Avg. YES Entry	Reported Profit	Win Rate
tigerlionzebra	Sep. 2025	2	\$0.38	Not disclosed	100%
lam100x	Oct. 2025	1	\$0.42	Not disclosed	100%
mellopal	Oct. 2025	4	\$0.40	Not disclosed	100%
OxLuck	Sep. 2025	13	\$0.37	Not disclosed	Not disclosed
lamps	Pre-existing	15	\$.53	\$58,600 overall; \$114,850 on this market	84%

Source: @cryptof4ck, X (Oct. 2025); wallet data from Polymarket profiles.

The wallet “tigerlionzebra” joined Polymarket in September 2025 and traded only two markets—both related to OpenAI—with an average YES entry price of \$0.38, suggesting it accumulated shares when the market implied a roughly 38% probability of the browser launching by month’s end.²⁵⁶ “lam100x” was a new wallet created in October 2025 that participated in only one market (the OpenAI browser market), purchasing YES shares at an average of \$0.42 over a twelve-day accumulation period.²⁵⁷ “mellopal” similarly joined in October 2025, traded four markets, and began accumulating YES shares thirteen days before the event resolved.²⁵⁸ “OxLuck” had a somewhat longer trading history (thirteen markets since September 2025) but still showed a concentrated position in the OpenAI browser market at an average entry of \$0.37.²⁵⁹

²⁵⁵@KyleDeWriter, X (formerly Twitter) (Dec. 7, 2025), <https://x.com/KyleDeWriter/status/1997651470619931080>. The post identified five suspicious wallets: tigerlionzebra (joined Sep. 2025, average entry \$0.38), lam100x (joined Oct. 2025, average entry \$0.42), mellopal (joined Oct. 2025, average entry \$0.40), OxLuck (joined Sep. 2025, average entry \$0.37), and lamps (84% win rate across 36 predictions, \$58,600 overall return).

²⁵⁶@cryptof4ck, supra note 7. The post noted that the wallet tigerlionzebra joined Polymarket in September 2025 and participated in two OpenAI-related markets with an average entry price of \$0.38 for YES shares.

²⁵⁷Id. lam100x was described as a “new wallet” that joined in October 2025, participated in only one market, with an average entry price of \$0.42 for YES shares, accumulating the position over twelve days.

²⁵⁸Id. mellopal joined in October 2025, participated in four markets with an average entry price of \$0.40, and began accumulating YES shares thirteen days before the event.

²⁵⁹Id. OxLuck joined in September 2025 and participated in thirteen markets with an average entry price of \$0.37 for YES shares. Unlike the other flagged wallets, OxLuck had some prior trading history but still showed a concentrated position in the OpenAI browser market.

The most notable of the five was “lamps,” which had a pre-existing account with an 84% win rate across 36 predictions and \$58,600 in overall returns.²⁶⁰ At the time of the @cryptof4ck post, lamps held \$114,850 in current winnings on the OpenAI browser market alone—by far the largest individual position among the flagged wallets.²⁶¹ The combination of a high overall win rate and concentrated position in a niche technology market suggested either exceptional analytical ability or access to nonpublic information.

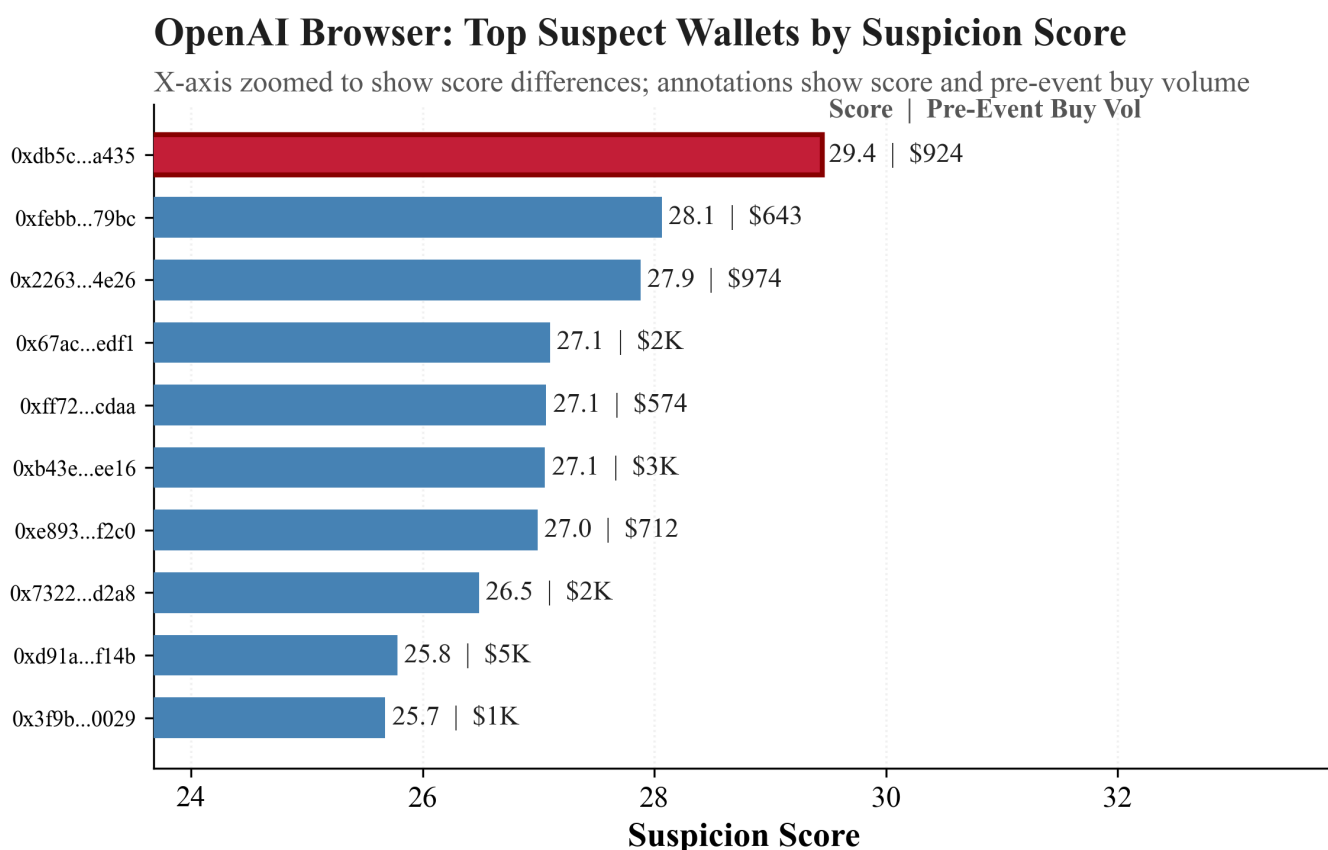


Figure 7: OpenAI Browser Case: Wallet Suspicion Score Rankings

The profit-and-loss calculations illustrate the risk-reward profile. The wallets that purchased YES shares at \$0.37 to \$0.42 received \$1.00 per share upon resolution, earning \$0.58 to \$0.63 in

²⁶⁰@KyleDeWriter, X (formerly Twitter) (Dec. 7, 2025), <https://x.com/KyleDeWriter/status/1997651470619931080>The wallet “lamps” showed an 84% win rate across 36 predictions with \$58,600 in overall returns, and held \$114,850 in current winnings on the OpenAI browser by October 31 market at the time of the post.

²⁶¹@KyleDeWriter, X (formerly Twitter) (Dec. 7, 2025), <https://x.com/KyleDeWriter/status/1997651470619931080>The wallet “lamps” showed an 84% win rate across 36 predictions with \$58,600 in overall returns, and held \$114,850 in current winnings on the OpenAI browser by October 31 market at the time of the post.

profit per share—a return of 138% to 170%.²⁶² The \$40,000 bet flagged by Insider Finder, which entered at higher prices (\$0.75–\$0.85 per share), earned a more modest 17.5% return but still demonstrated conviction in the outcome from a wallet with no prior Polymarket history.²⁶³

The Insider Finder Tool. The OpenAI browser case is notable not only for the suspicious trades themselves but for the role of third-party surveillance tools in detecting them. Insider Finder, a product developed by twenty-nine-year-old former memecoin trader Tre Upshaw as part of his Polysights analytics platform, was the first to flag the \$40,000 OpenAI browser trade publicly.²⁶⁴

Insider Finder scans Polymarket for unusually large or abnormal trades that may indicate trading on inside knowledge.²⁶⁵ The tool was funded in part by a \$25,000 grant from Polymarket itself—an unusual arrangement in which the prediction market platform subsidized the development of a tool designed to detect manipulation on its own exchange.²⁶⁶ By January 2026, Insider Finder had attracted approximately 24,000 users and Polysights had entered the final stages of a \$2 million funding round.²⁶⁷

Upshaw's approach blurs the line between surveillance and signal generation. When Insider Finder flags a trade that Upshaw considers reliable, he shares the activity publicly on X and often places a small amount of his own capital into the same position.²⁶⁸ He reports that approximately 85% of the situations flagged by Insider Finder have ended profitably.²⁶⁹ Upshaw has described his philosophy candidly: "Insider trading just accelerates the truth faster at the end of the day."²⁷⁰ The economic logic is that suspected insider trades serve as informative

²⁶²Gizmodo, *supra* note 5; TradeAlgo, *supra* note 287. The \$40,000 bet at approximately \$0.85 per YES share yielded a \$7,000 profit when the market resolved at \$1.00 after the October 21 launch.

²⁶³Gizmodo, *supra* note 5; TradeAlgo, *supra* note 287. The \$40,000 bet at prices ranging from approximately \$0.75 to \$0.85 per YES share yielded a \$7,000 profit when the market resolved at \$1.00 after the October 21 launch.

²⁶⁴Tracking Insider Trading on Polymarket Is Turning Into a Business of Its Own, Gizmodo (Jan. 13, 2026), <https://gizmodo.com/tracking-insider-trading-on-polymarket-is-turning-into-a-business-of-its-own-2000709286>. The Insider Finder tool, built by Tre Upshaw as part of the Polysights analytics platform, "caught this trade in action, and posted it on the company's X account, flagging the user as a potential insider with direct knowledge of the web browser launch."

²⁶⁵Insider Finder, Polysights, <https://app.polysights.xyz/insider-finder> (last visited Feb. 15, 2026). Polysights describes its Insider Finder as a tool that identifies "recent @Polymarket buys from wallets likely to exhibit insider behaviour."

²⁶⁶Tracking Insider Trading on Polymarket Is Turning Into a Business of Its Own, Gizmodo (Jan. 13, 2026), <https://gizmodo.com/tracking-insider-trading-on-polymarket-is-turning-into-a-business-of-its-own-2000709286>. Insider Finder has "roughly 24,000 users and was funded in part by a \$25,000 Polymarket grant." Upshaw stated that the tool was "in the final stages of a \$2 million funding round."

²⁶⁷*Id.*

²⁶⁸Why Insider Trading Is Becoming a Bet in Booming Prediction Markets, TradeAlgo (Jan. 2026), <https://news.tradealgo.com/news/why-insider-trading-is-becoming-a-bet-in-booming-prediction-markets>. Upshaw "often puts a small amount of his own capital into the same trades to show conviction." By his estimate, "roughly 85% of the situations flagged by Insider Finder have ended profitably."

²⁶⁹*Id.*

²⁷⁰Prediction Markets Must Go All In on Training, Compliance, Bloomberg Law (2026), <https://news.bloomberglaw.com/legal-exchange-insights-and-commentary/prediction-markets-must-go-all-in-on-training-compliance>.

signals about likely outcomes, and by broadcasting them, Insider Finder enables other traders to follow the informed money—a form of decentralized price discovery that may improve market accuracy but also raises questions about the normalization of insider trading as an accepted feature of prediction markets.

The Corporate Insider Trading Problem. The OpenAI browser case presents a species of prediction market insider trading distinct from the government and military secrets at issue in the Maduro²⁷¹ and IDF²⁷² cases, and distinct from the proprietary data analytics at issue in the AlphaRaccoon case.²⁷³ Here, the nonpublic information concerns a corporate product launch: the date on which OpenAI would publicly release ChatGPT Atlas.

The universe of potential insiders is large. OpenAI employed approximately 3,000 to 4,000 people in 2025, and a browser product of Atlas's scope would have involved engineers, product managers, designers, marketing personnel, legal and compliance staff, and external partners—potentially hundreds of individuals with knowledge of the launch timeline.²⁷⁴ Any one of these insiders, or their friends, family members, or associates, could have created an anonymous Polymarket wallet and placed a bet. The pattern extended beyond the browser market: community analyst Kyle the Writer documented that “similar polymarket traders profited on related to OpenAI markets with up to 100% winrate” and a “\$512k return in the last month.”²⁷⁵ One week before OpenAI released GPT-5.2, several Polymarket accounts placed bets predicting the company would release a new model by December 13—an event that occurred exactly as predicted, with four accounts collectively earning over \$13,000 in profit.²⁷⁶

Unlike the trading of securities, where corporate insiders owe a fiduciary duty to shareholders and face liability under SEC Rule 10b-5, there is no analogous federal prohibition on corporate

Upshaw told Bloomberg: “Insider trading just accelerates the truth faster at the end of the day.”

²⁷¹Cf. Part IV.A, *supra* (discussing the Maduro trade, in which a single wallet's \$33,834 investment yielded \$402,825 in profit from advance knowledge of a U.S. military operation).

²⁷²Cf. Part IV.B, *supra* (discussing the IDF case, in which Israeli prosecutors charged an IDF reservist and civilian accomplice with using classified military intelligence to place Polymarket bets—the only prediction market insider trading case to result in criminal charges).

²⁷³Cf. Part IV.D, *supra* (discussing the AlphaRaccoon / Google Year in Search case, in which a trader correctly predicted 22 of 23 Google search rankings, earning approximately \$1.15 million—another instance of suspected corporate insider trading on prediction markets).

²⁷⁴See OpenAI Paying Workers \$1.5 Million in Stock-Based Compensation, *Fortune* (Feb. 18, 2026), <https://fortune.com/2026/02/18/openai-chatgpt-creator-record-million-dollar-equity-compensation-ai-tech-talent-war-career-retention-sam-altman-millionaire-staff/> (reporting OpenAI had “roughly 4,000 employees in 2025”).

²⁷⁵Kyle the Writer, X (formerly Twitter) (Dec. 2025), <https://x.com/KyleDeWriter/status/1997651470619931080> (“similar polymarket traders profited on related to OpenAI markets with up to 100% winrate. \$512k return in the last month. just lucky degens or information leakage?”).

²⁷⁶Bets on ‘OpenAI Releases New Model’ on Polymarket Raise Market Concerns over Potential ‘Insider Trading,’ Futunn News (Dec. 2025), <https://news.futunn.com/en/post/66170852/bets-on-openai-releases-new-model-on-polymarket-raise-market>. One week before OpenAI released GPT-5.2, several Polymarket accounts placed bets that the company would release a new model by December 13; four accounts collectively earned over \$13,000 in profits.

employees trading on proprietary business information in prediction markets.²⁷⁷ The CFTC's anti-fraud authority under sections 6(c) and 9(a)(2) of the Commodity Exchange Act "requires not just possession of inside information but a link to deception or duty"—a higher bar than the SEC's Rule 10b-5.²⁷⁸ An OpenAI engineer who bets on the company's own product launch date may violate internal policies or contractual obligations, but it is far from clear that such conduct violates any federal statute governing prediction markets.²⁷⁹

Public Response and Regulatory Gaps. The public response to the OpenAI browser trades was driven entirely by community analysts and third-party tools rather than regulators or platform enforcement. @cryptof4ck's analysis of the five suspicious wallets circulated widely on X, as did @0xashensoul's comparison to the Gemini 3.0 pattern.²⁸⁰ Insider Finder's flagging of the \$40,000 trade attracted media coverage from Gizmodo, TradeAlgo, and Bloomberg Law.²⁸¹ Yet as of February 2026, neither OpenAI, Polymarket, the SEC, nor the CFTC has publicly confirmed any investigation into the trades.²⁸²

The regulatory gap is structural. The CFTC, which has regulatory authority over event contracts on registered designated contract markets, withdrew a proposed ban on certain categories of prediction market contracts in 2025 and signaled that it would draft new rules establishing "clear standards" for the industry.²⁸³ But the new CFTC chairman did not offer specifics on how the agency would address insider trading scenarios.²⁸⁴ A CFTC spokesperson stated that the

²⁷⁷Fortune, 'Prediction Markets' Insider Trading Problem (Jan. 5, 2026), <https://fortune.com/2026/01/05/prediction-markets-insider-trading-problem/>. The CFTC's anti-fraud authority under sections 6(c) and 9(a)(2) of the Commodity Exchange Act "requires not just possession of inside information but a link to deception or duty."

²⁷⁸How to Solve Insider Trading in Prediction Markets, Dopamine Markets (2026), <https://www.dopaminemarkets.com/p/how-to-solve-insider-trading-in-prediction>. The CFTC's anti-fraud authority under sections 6(c) and 9(a)(2) of the Commodity Exchange Act "requires not just possession of inside information but a link to deception or duty."

²⁷⁹Employee 'Betting' in Prediction Markets: New Risks for Insider Trading and Proprietary Information Disclosure, Compliance & Ethics Blog (2026), <https://complianceandethics.org/employee-betting-in-prediction-markets-new-risks-for-insider-trading-and-proprietary-information-disclosure/>.

²⁸⁰@cryptof4ck, X (formerly Twitter) (Oct. 2025), <https://x.com/cryptof4ck/status/1980215466741076442> ("Insiders continue to print money on @Polymarket. I stumbled upon an interesting event: OpenAI browser by October 31? Yesterday, the chances of this happening were 32%, and today we are approaching an ATH for 'Yes' — 70%. 5 new wallets bought 'Yes' quotes and are sitting on huge [unrealized gains].").

²⁸¹Tracking Insider Trading on Polymarket Is Turning Into a Business of Its Own, Gizmodo (Jan. 13, 2026), <https://gizmodo.com/tracking-insider-trading-on-polymarket-is-turning-into-a-business-of-its-own-2000709286>. The article reports that a brand-new wallet bet \$40,000 on the OpenAI browser market and netted \$7,000 in profit.

²⁸²As of February 15, 2026, neither OpenAI, Polymarket, the SEC, nor the CFTC has publicly confirmed any investigation into the suspicious trading on the OpenAI browser market. See Tracking Insider Trading on Polymarket Is Turning Into a Business of Its Own, Gizmodo (Jan. 13, 2026), <https://gizmodo.com/tracking-insider-trading-on-polymarket-is-turning-into-a-business-of-its-own-2000709286>.

²⁸³CFTC Withdraws Proposed Rule on Prediction Markets, Corporate Compliance Insights (2025), <https://www.corporatecomplianceinsights.com/cftc-withdraws-proposed-rule-prediction-markets/>.

²⁸⁴U.S. CFTC Signals Imminent Rulemaking on Prediction Markets, Sidley Austin LLP Insights (Feb. 2026),

agency “reviews contracts listed on regulated exchanges but has limited authority outside its jurisdiction.”²⁸⁵

The legislative response has similarly failed to address the corporate insider problem. The Public Integrity in Financial Prediction Markets Act of 2026, introduced by Representative Ritchie Torres in response to the Maduro trade, prohibits federal elected officials, political appointees, and executive branch employees from trading on material nonpublic information.²⁸⁶ But the bill does not extend to corporate insiders trading on proprietary business information such as product release dates or internal development timelines.²⁸⁷ Peter Malyshev, a partner at Cadwalader, Wickersham & Taft and former CFTC attorney advisor, noted that “government officials or journalists trading on privileged information would likely fall under existing laws governing the misuse of material non-public information,” but acknowledged the uncertain application of those laws to corporate employees trading on prediction markets rather than securities exchanges.²⁸⁸

Commentators have proposed various solutions, including platform-level surveillance tools modeled on securities exchange monitoring systems (such as Kalshi’s “Poirot” system), progressive KYC requirements scaling with position size, position limits for new or unverified wallets, and mandatory trade disclosure for large positions.²⁸⁹ Compliance experts have argued that prediction market operators must invest in training and surveillance infrastructure comparable to that of traditional securities exchanges.²⁹⁰ The irony is that Polymarket itself funded Insider Finder through its grant program, effectively outsourcing market surveillance to a

<https://www.sidley.com/en/insights/newsupdates/2026/02/us-cftc-signals-imminent-rulemaking-on-prediction-markets>.

²⁸⁵Why Insider Trading Is Becoming a Bet in Booming Prediction Markets, TradeAlgo (Jan. 2026), <https://news.tradealgo.com/news/why-insider-trading-is-becoming-a-bet-in-booming-prediction-markets>. A CFTC spokesperson stated that the agency “reviews contracts listed on regulated exchanges but has limited authority outside its jurisdiction.”

²⁸⁶Public Integrity in Financial Prediction Markets Act of 2026, H.R. 7004, 119th Cong. (2026), <https://www.congress.gov/bill/119th-congress/house-bill/7004/text/ih>. Introduced by Rep. Ritchie Torres on January 9, 2026. The bill prohibits federal elected officials, political appointees, and executive branch employees from trading prediction market contracts tied to government policy when possessing material nonpublic information.

²⁸⁷Id. The Torres bill does not address corporate insiders trading on proprietary business information such as product release dates or internal development timelines.

²⁸⁸Why Insider Trading Is Becoming a Bet in Booming Prediction Markets, TradeAlgo (Jan. 2026), <https://news.tradealgo.com/news/why-insider-trading-is-becoming-a-bet-in-booming-prediction-markets> (quoting Peter Malyshev, Partner, Cadwalader, Wickersham & Taft LLP: “government officials or journalists trading on privileged information would likely fall under existing laws governing the misuse of material non-public information”). Malyshev is a former CFTC attorney advisor.

²⁸⁹How to Solve Insider Trading in Prediction Markets, Dopamine Markets (2026), <https://www.dopaminemarkets.com/p/how-to-solve-insider-trading-in-prediction>. The article proposes platform guardrails including detection systems like Kalshi’s “Poirot,” progressive KYC, position limits, and automated alerts.

²⁹⁰Prediction Markets Must Go All In on Training, Compliance, Bloomberg Law (2026), <https://news.bloomberglaw.com/legal-exchange-insights-and-commentary/prediction-markets-must-go-all-in-on-training-compliance>.

third-party entrepreneur rather than building internal compliance capabilities.²⁹¹

Assessing the Evidence. The evidence of insider trading in the OpenAI browser case is circumstantial but patterned. Five newly created or recently active wallets accumulated large YES positions in a niche technology prediction market at prices ranging from \$0.37 to \$0.42, weeks before a major product launch that was not yet publicly announced.²⁹² The wallets shared characteristics commonly associated with insider trading on Polymarket: recent creation dates, concentrated positions in one or two related markets, and high win rates.²⁹³ A sixth trade—the \$40,000 bet from a brand-new wallet flagged by Insider Finder—fit the same pattern and attracted the most media attention.²⁹⁴

The total dollar amounts at stake were modest compared to the Maduro case (\$485,346 in profit) or the AlphaRaccoon case (\$1.15 million in profit).²⁹⁵ The \$40,000 bettor earned only \$7,000, and the five flagged wallets' combined profits—while not fully determinable from public data—likely totaled in the low six figures, with lamps' \$114,850 in unrealized gains representing the largest documented position.²⁹⁶ But the significance of the case lies less in the profit figures than in the systemic pattern. The OpenAI browser market was only one of several OpenAI-related prediction markets on which similar wallet behavior was observed, including markets for the GPT-5.2 release and other product announcements.²⁹⁷

²⁹¹<https://docs.google.com/document/d/1d3VFoZhdLuskut4eAbPNLfe0V7zFXodjdBzKrOMuOCA/edit?tab=t.0> Insider Finder has “roughly 24,000 users and was funded in part by a \$25,000 Polymarket grant.” Upshaw stated that the tool was “in the final stages of a \$2 million funding round.”

²⁹²Id. The post identified five suspicious wallets: tigerlionzebra (joined Sep. 2025, average entry \$0.38), lam100x (joined Oct. 2025, average entry \$0.42), mellopal (joined Oct. 2025, average entry \$0.40), 0xLuck (joined Sep. 2025, average entry \$0.37), and lamps (84% win rate across 36 predictions, \$58,600 overall return).

²⁹³@cryptof4ck, X (formerly Twitter) (Oct. 2025), <https://x.com/cryptof4ck/status/1980215466741076442> (“Insiders continue to print money on @Polymarket. I stumbled upon an interesting event: OpenAI browser by October 31? Yesterday, the chances of this happening were 32%, and today we are approaching an ATH for ‘Yes’ — 70%. 5 new wallets bought ‘Yes’ quotes and are sitting on huge [unrealized gains].”).

²⁹⁴Tracking Insider Trading on Polymarket Is Turning Into a Business of Its Own, Gizmodo (Jan. 13, 2026), <https://gizmodo.com/tracking-insider-trading-on-polymarket-is-turning-into-a-business-of-its-own-2000709286>. The article reports that a brand-new wallet bet \$40,000 on the OpenAI browser market and netted \$7,000 in profit.

²⁹⁵Cf. Part IV.A, *supra* (discussing the Maduro trade, in which a single wallet's \$38,533 investment yielded \$523,879 in profit from advance knowledge of a U.S. military operation); cf. Part IV.D, *supra* (discussing the AlphaRaccoon case, in which a trader predicted 22 or 23 Google Search rankings, and earned \$1.15 million).

²⁹⁶See Gizmodo, *supra* note 5; Bloomberg Law, *supra* note 11. The wallet “lamps” showed an 84% win rate across 36 predictions with \$58,600 in overall returns, and held \$114,850 in current winnings on the OpenAI browser by October 31 market at the time of the post.

²⁹⁷Bets on ‘OpenAI Releases New Model’ on Polymarket Raise Market Concerns over Potential ‘Insider Trading,’ *supra* note 314; see also Kyle the Writer, X (formerly Twitter) (Dec. 2025), <https://x.com/KyleDeWriter/status/1997651470619931080> (“similar polymarket traders profited on related to OpenAI markets with up to 100% winrate. \$512k return in the last month. just lucky degens or information leakage?”).

The case thus reveals a persistent and potentially widespread form of corporate insider trading on prediction markets that falls outside the scope of both existing enforcement mechanisms and proposed legislation. Unlike the Maduro and IDF cases, where the nonpublic information was governmental or military in nature, the OpenAI browser case involves proprietary corporate information—product launch dates, development timelines, internal decisions—that hundreds of employees may know but that no federal regulator currently has clear authority to police when traded upon in prediction markets.²⁹⁸ Unless Congress or the CFTC extends insider trading prohibitions to cover corporate employees trading on proprietary information in event contract markets, the pattern documented here will likely recur with each major product announcement in the technology industry.²⁹⁹

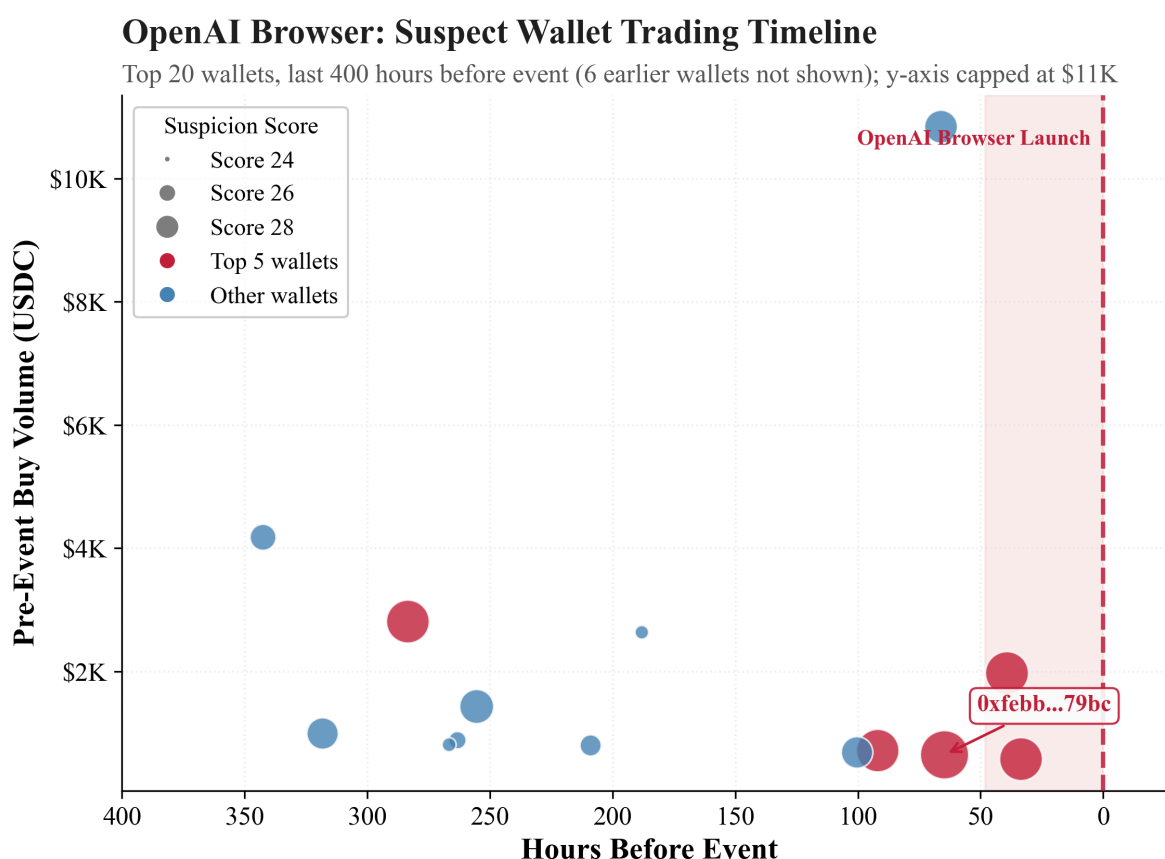


Figure 8: OpenAI Browser Case: Suspect Wallet Trading Timeline

²⁹⁸Fortune, Prediction Markets' Insider Trading Problem (Jan. 5, 2026), <https://fortune.com/2026/01/05/prediction-markets-insider-trading-problem/>. The CFTC's anti-fraud authority under sections 6(c) and 9(a)(2) of the Commodity Exchange Act "requires not just possession of inside information but a link to deception or duty."; TradeAlgo, *supra* note 287 (noting that the CFTC has limited authority over prediction markets).

²⁹⁹Employee 'Betting' in Prediction Markets: New Risks for Insider Trading and Proprietary Information Disclosure, Compliance & Ethics Blog (2026), <https://complianceandethics.org/employee-betting-in-prediction-markets-new-risks-for-insider-trading-and-proprietary-information-disclosure/>.

G. The Taylor Swift / romanticpaul Case

Background. On August 26, 2025, at 1:00:35 pm, Taylor Swift and Travis Kelce posted to Instagram that they were engaged, captioning the announcement “Your English teacher and your gym teacher are getting married.”³⁰⁰ The post shattered Instagram records, but the engagement itself was not new. Kelce’s father, Ed Kelce, revealed to a Cleveland CNN affiliate that Travis had proposed nearly two weeks before at a garden in Lee’s Summit, Missouri—placing the actual proposal around August 12, 2025.³⁰¹ Ed Kelce described the scene: the couple had been about to go out to dinner when Travis suggested a glass of wine in the garden, where he asked the question.³⁰² Ed Kelce added that he himself knew of Travis’s plans “months ago.”³⁰³

Within hours of the public announcement, observers noted that a pseudonymous Polymarket trader operating under the handle “romanticpaul” had placed a series of aggressive bets on the engagement less than twenty-four hours before it was publicly confirmed.³⁰⁴ The trader’s activity had begun weeks earlier but intensified dramatically on the afternoon of August 25—approximately twenty-two hours before the Instagram post—with a buying spree that included thousands of shares, all while the market’s implied probability of engagement remained under 50%.³⁰⁵ In all, the trader purchased shares for \$2,065.65 and received a payout of \$5,202.47, a 151.86% profit.³⁰⁶ A separate unidentified trader invested \$12,000 and received a payout of \$52,173.91, a profit of more than 300%.³⁰⁷

³⁰⁰Taylor Swift (@taylorswift), Instagram (Aug. 26, 2025), <https://www.instagram.com/taylorswift/> (“Your English teacher and your gym teacher are getting married.”); see also Taylor Swift and Travis Kelce Are Engaged, CNN (Aug. 26, 2025); A ‘Romantic’ Polymarket User Correctly Predicted Taylor Swift’s Engagement, Going on a Betting Spree 24 Hours Before the Announcement, Business Insider (Aug. 27, 2025) (republished at Yahoo News, <https://www.yahoo.com/entertainment/music/articles/romantic-polymarket-user-correctly-predicted-012319280.html> (hereinafter Business Insider)).<https://edition.cnn.com/2025/08/26/entertainment/taylor-swift-travis-kelce-engagement>.

³⁰¹*Id.*

³⁰²*Id.*

³⁰³ Good Morning America, *Travis Kelce’s Dad Shares More Details on Taylor Swift’s Engagement*, YouTube (Aug. 27, 2025), <https://www.youtube.com/watch?v=TclcwX081AQ>.

³⁰⁴Taylor Swift and Travis Kelce Are Engaged—And Polymarket Trader ‘Romanticpaul’ Predicted It, Benzinga (Aug. 26, 2025), <https://www.benzinga.com/crypto/cryptocurrency/25/08/47367927/taylor-swift-and-travis-kelce-are-engaged-and-polymarket-trader-romanticpaul-predicted-it>; Alexander Osipovich, *Well-Timed Bets on Taylor Swift’s Engagement Draw Scrutiny*, Wall St. J. (Aug. 27, 2025), <https://www.wsj.com/livecoverage/nvidia-earnings-stock-market-today-08-27-2025/card/well-timed-bets-on-taylor-swift-s-engagement-draw-scrutiny-FnGab0pcXDW67QzYryOh> (hereinafter *Well-Timed Bets*).

³⁰⁵Business Insider, *supra* note 328.

³⁰⁶Polymarket, romanticpaul User Profile, <https://polymarket.com/profile/%40romanticpaul?tab=positions> (last visited Feb. 17, 2026).

³⁰⁷Polymarket Trader Made \$50K Betting on Taylor Swift and Travis Kelce’s Engagement, Parade (Aug. 27, 2025), <https://parade.com/news/taylor-swift-engagement-bet-50000> (hereinafter Parade); see also Polymarket Trader Made \$50K Betting on Taylor Swift and Travis Kelce’s Engagement, Yahoo

The Polymarket Market. Polymarket hosted a single binary prediction market titled “Taylor Swift and Travis Kelce engaged in 2025?” which asked whether the couple would announce an engagement by December 31, 2025, at 11:59 PM ET.³⁰⁸ YES shares paid \$1.00 upon affirmative resolution; NO shares would pay \$1.00 if no engagement was announced by the deadline.³⁰⁹ The market’s condition ID on the Polygon blockchain was 0x89ac32e18929185f5bd0dc00e70337571f546e64ae5cd16dceb6026ac2679c1e.³¹⁰

Table 10: Taylor Swift Engagement Prediction Market on Polymarket

Market Question	Platform	Total Volume	Resolution Date	Outcome
“Taylor Swift and Travis Kelce engaged in 2025?”	Polymarket	\$385,147	Aug. 26, 2025	Yes

The market attracted approximately \$385,000 in total trading volume—modest by Polymarket standards, but sufficient to generate meaningful price signals.³¹¹ Kalshi, a competing prediction market platform, also hosted Taylor Swift engagement markets, generating approximately \$256,000 in volume before the market closed.³¹² The aggregate prediction market activity around the Swift-Kelce engagement thus exceeded \$600,000 across platforms.

The romanticpaul Trades. The account that attracted scrutiny—publicly identified by its Polymarket display name “romanticpaul” and its on-chain address 0xf5cfe6f998d597085e366f915b140e82e0869fc6—first purchased YES shares in the engagement market on July 31, 2025. The account then went quiet for several weeks before launching an aggressive buying spree on the afternoon of Monday, August 25, 2025.³¹³

Entertainment (Aug. 27, 2025), <https://www.yahoo.com/entertainment/music/articles/polymarket-trader-made-50k-betting-174743624.html>

³⁰⁸Polymarket, Taylor Swift and Travis Kelce Engaged in 2025?, <https://polymarket.com/event/taylor-swift-and-travis-kelce-engaged-in-2025> (last visited Feb. 17, 2026). The market resolved YES on August 26, 2025.

³⁰⁹Id. Resolution required a credible public announcement of the engagement.

³¹⁰. See Polymarket, supra note 6.

³¹¹Polymarket, supra note 6.

³¹² Kalshi, Will Taylor Swift and Travis Kelce be Engaged in 2025?, <https://kalshi.com/markets/kxengagementswiftkelce/swift-kelce/kxengagementswiftkelce-25> (last visited Feb. 17, 2026). On Kalshi, one Atlanta-based bettor reportedly made \$1,000 in profit. See Lisa Bonos, *Many Taylor Swift Fans Expected Her Engagement. Some Bet on It*, Wash. Post (Aug. 27, 2025), <https://www.washingtonpost.com/technology/2025/08/27/taylor-swift-wedding-bet-kalshi/>.

³¹³ Dune Analytics data. See also Business Insider, supra note 5. The article reports that romanticpaul “first began to buy ‘Yes’ shares on July 31” and then “at around 3 p.m. ET on Monday started another buying spree with 199 ‘Yes’ shares at \$0.30 apiece.” See also Domer (@Domahhhh), X (Aug. 26, 2025, 8:31 PM), <https://x.com/Domahhhh/status/1960394729176105077> (“a Polymarket user named ‘romanticpaul’ ... started aggressively buying Taylor Swift to be engaged starting yesterday afternoon around 3pm”) (hereinafter Domer).

At approximately 3:00 PM ET on August 25, romanticpaul began purchasing YES shares at \$0.30 per share, starting with a batch of 199 shares.³¹⁴ Over the course of the afternoon and evening, the account accumulated approximately 1,708 additional shares, predominantly at prices between \$0.30 and \$0.40 per share.³¹⁵ This buying activity nearly doubled the market's implied probability—from approximately 25% to 45%.³¹⁶ In all, the user moved the \$385,000 market by approximately 12%, “more or less by himself.”³¹⁷

The final burst of activity came on Tuesday, August 26, at 12:46 PM ET—less than fifteen minutes before Swift and Kelce posted their engagement to Instagram at 1:00:35 PM ET. In that final session, romanticpaul locked in nearly 1,200 additional YES shares at prices below \$0.50 per share,³¹⁸ and another 30 NO shares.³¹⁹ The timing was remarkable: the trader's last purchase was registered three minutes after the Instagram post that resolved the market.³²⁰

In total, romanticpaul purchased 5,229.3 YES shares for approximately \$2,065. Upon market resolution at \$1.00 per share, the position was worth \$5,202.47—a profit of \$3,136.82, or approximately 152%.³²¹

The Unidentified \$12,000 Trader. romanticpaul was not the only trader to profit handsomely from the engagement announcement. A separate, unidentified Polymarket user invested \$12,000 in YES shares.³²² When the market resolved, this position was worth \$52,173.91, yielding a profit of approximately \$40,174 on a \$12,000 investment—a return of approximately 335%. At a payout of \$1.00 per YES share, this implies approximately 52,174 shares purchased at an average price of approximately \$0.23 per share.

The unidentified trader's average purchase price of approximately \$0.23 suggests that the position was accumulated earlier than romanticpaul's final buying spree, when prices ranged from \$0.3 to \$0.50. The lower average cost basis is consistent with purchases made when the market was pricing the engagement at a roughly one-in-four probability—before romanticpaul's aggressive buying pushed the price upward.³²³ This trader's identity, wallet address, and trading

³¹⁴Id.

³¹⁵Id.

³¹⁶ Taylor Swift Engagement Foretold by Prediction Market Price Changes on Polymarket & Kalshi, CasinoBeats (Aug. 28, 2025), <https://casinobeats.com/2025/08/28/taylor-swift-engagement-foretold-by-prediction-market-price-changes-on-polymarket-kalshi/> (hereinafter CasinoBeats); Domer, *supra* note 357.

³¹⁷ Taylor Swift Engagement: Did Her Guitarist Game Polymarket Odds?, BeInCrypto (Aug. 27, 2025) (republished at Mitrade, <https://www.mitrade.com/insights/news/live-news/article-3-1071393-20250827>, and MEXC News, <https://www.mexc.com/news/taylor-swift-engagement-did-her-guitarist-game-polymarket-odds/75225>) (hereinafter BeInCrypto).

³¹⁸Business Insider, *supra* note 346.

³¹⁹ Dune Analytics data.

³²⁰ Dune Analytics data.

³²¹Romanticpaul User Profile, *supra* note 347.

³²² Parade, *supra* note 348. The unidentified trader “put \$12,000 on Kelce popping the question before the end of the year and won \$52,173.91.”

³²³See Domer, *supra* note 357.

pattern have not been publicly disclosed in the same detail as romanticpaul's, and relatively little media attention has focused on this larger position.

Table 11: Taylor Swift Engagement Trading Summary

Trader	Time Window	Shares	Invested	Payout	Profit (Return)
romanticpaul (Dune Analytics)	July 31, 2025, 20:15:14-22:22:36 UTC	707 YES	311.46	~707	~395.54
romanticpaul (Dune Analytics)	Aug. 1, 2025, 19:28:38 - 19:28:48 UTC	675 YES	303.75	~675	~371.25
romanticpaul (Dune Analytics)	Aug. 24, 2025, 19:28:17 - 22:37:27 UTC	100 YES	25	~100	~75
romanticpaul (Dune Analytics)	Aug. 25, 2025, 19:10:59 - 21:17:09 UTC	1,522.92 (YES	423.26	~1,522.92	~1099.66
romanticpaul (Dune Analytics)	Aug. 26, 2025, 00:10:33 - 17:03:31 UTC	1,601.82 (1571.82 YES, 30 NO)	686.81	~1571.82	~885.01
Sum romanticpaul (Dune Analytics)³²⁴	July 31, 2025, 20:15:14-Aug. 26, 2025, 17:03:31 UTC	4,606.74 (4576.74 YES, 30 NO)	1,750.28	4576.74	2826.46
romanticpaul (Polymarket)³²⁵	—	5,229.3 YES	\$2,065	\$5,202.47	\$3,136.82 (151.86%)
Unidentified trader	Before announcement	~52,174	\$12,000	\$52,173.91	\$40,173.91 (~335%)

The Paul Sidoti Speculation. Within days of the engagement announcement, cryptocurrency commentators speculated about the identity behind the “romanticpaul” username. BeInCrypto published an investigation noting that Paul Sidoti, Taylor Swift’s lead guitarist for eighteen years, “could fit the bill of this gambler” based on two circumstantial connections: the username’s inclusion of the name “Paul” and Sidoti’s long-term proximity to Swift, which would plausibly give him advance knowledge of a major personal announcement.³²⁶ Sidoti has been a member of

³²⁴ This data was generated by Dune Analytics, keeping only fills where the counterparty is the CTFExchange contract to prevent double-counting. See Storm Slivkoff, *Polymarket Volume Is Being Double-Counted*, Paradigm (12.08.2025) <https://www.paradigm.xyz/2025/12/polymarket-volume-is-being-double-counted>. The discrepancies between the Dune Analytics results and the results on Polymarket may be due to trading fees, share rounding, or non-trading actions (such as splitting and merging).

³²⁵ Romanticpaul User Profile, *supra* note 347.

³²⁶ BeInCrypto, *supra* note 361.

Swift's touring band since December 2007 and is among her longest-serving professional collaborators.³²⁷

BelnCrypto was careful to disclaim any accusation, stating explicitly: "BelnCrypto isn't accusing Paul Sidoti, the guitarist, of anything."³²⁸ The outlet framed the connection as raising interesting questions rather than asserting a factual link. The speculation was picked up by several other outlets, including MEXC News and Mitrade.³²⁹ No evidence beyond the username coincidence and proximity to Swift has linked Sidoti to the Polymarket account.

The speculation,³³⁰ though unproven, illuminates a distinctive feature of the Taylor Swift case relative to the other prediction market insider trading incidents documented in this Article. In the Maduro and IDF cases, the nonpublic information at issue was governmental or military—the timing of a covert operation, classified troop movements. In the AlphaRaccoon case, the information was corporate—proprietary Google search data.³³¹ In the romanticpaul case, the information is personal—knowledge of a private individual's engagement plans, shared within a tight social circle that Ed Kelce confirmed had known of the plans for months, and of the proposal itself for weeks prior to the public announcement.³³²

The romanticpaul account's broader trading profile is publicly available on Polymarket. The account had traded \$1.61 million across 290 markets, with net losses of approximately \$40,000 and a current position value of \$54,300.³³³ This pattern—heavy, diversified trading with overall losses—is consistent with an active recreational trader rather than a market maker or institutional actor, though it does not preclude the possibility of informed trading on specific individual markets.

Public Response and Regulatory Gaps. The Taylor Swift case generated widespread media coverage. Bloomberg reported that the engagement spurred bets on prediction sites Kalshi and

³²⁷Paul Sidoti has toured as lead guitarist and vocalist for Taylor Swift since December 2007. See Paul Sidoti, <https://www.paulsidoti.com/> (last visited Feb. 17, 2026); Taylor Swift Wiki, Paul Sidoti, https://taylorswift.fandom.com/wiki/Paul_Sidoti (last visited Feb. 17, 2026).

³²⁸BelnCrypto, *supra* note 361.

³²⁹BelnCrypto, *supra* note 361.

³³⁰Parade, *supra* note 14 (noting that the Wall Street Journal "reported that the well-timed bets on Swift's engagement announcement drew scrutiny" and that "some observers questioned how traders managed to place their wagers so precisely"). Fans jokingly speculated that Travis Kelce himself might have placed the winning bets.

³³¹*Cf.* Part IV.A, *supra* (discussing the Maduro trade, in which a single wallet's \$38,533 investment yielded \$485,346 in profit from advance knowledge of a U.S. military operation); Part IV.B, *supra* (discussing the IDF case, in which Israeli prosecutors charged an IDF reservist and civilian accomplice with using classified military intelligence to place Polymarket bets); Part IV.D, *supra* (discussing the AlphaRaccoon case, in which a user earned \$1.15 million, perhaps from advance knowledge of proprietary search data).

³³²See *supra* notes 342-344.

³³³Benzinga, *supra* note 345 (reporting romanticpaul's overall profile statistics: "\$1.61 million" in total trading volume across "290 markets" with overall losses of "nearly \$4,885" and current position value of "\$56,521"). The current position and net loss values were sourced from the romanticpaul user profile, *supra* note 347. The discrepancy is likely due to changes in the user's positions over time.

Polymarket,³³⁴ and later devoted an episode of its Big Take podcast to analyzing “why Taylor Swift is big on Polymarket.”³³⁵ The Wall Street Journal reported that well-timed bets on Swift’s engagement announcement drew scrutiny,³³⁶ and Parade reported that “some observers questioned how traders managed to place their wagers so precisely.”³³⁷ PokerScout and CasinoBeats published analyses framing the trading pattern as indicative of insider knowledge,³³⁸ with PokerScout’s headline reading: “Insider Trading on Polymarket Foretold Taylor Swift’s Engagement.”³³⁹

Polymarket did not issue a public statement regarding the romanticpaul trades. No investigation by the SEC, the CFTC, or any law enforcement agency has been publicly confirmed.³⁴⁰ The regulatory silence is unsurprising: celebrity engagement announcements are not classified information, not the product of fiduciary relationships giving rise to securities law duties, and not government secrets. They are, rather, the private knowledge of individuals and their social circles—a category of information that existing insider trading frameworks were not designed to address.

The Public Integrity in Financial Prediction Markets Act of 2026, introduced by Representative Torres in response to the Maduro trade, targets government insiders who trade on material nonpublic government information.³⁴¹ It does not cover individuals who may possess advance knowledge of personal celebrity news. The CFTC’s anti-fraud authority under the Commodity Exchange Act requires a link to deception or duty—a standard that may not reach an individual who simply knows, by virtue of personal or professional proximity to a celebrity, that an engagement is forthcoming.³⁴² The Compliance and Ethics Blog has noted the emergence of “new risks for insider trading and proprietary information disclosure” on prediction markets, but

³³⁴Taylor Swift, Travis Kelce Wedding Bets Ignite Polymarket, Bloomberg (Aug. 28, 2025), <https://www.bloomberg.com/news/articles/2025-08-28/taylor-swift-travis-kelce-wedding-bets-ignite-polymarket-big-take-podcast>.

³³⁵Big Take: Why Taylor Swift Is Big on Polymarket, Bloomberg Podcast (Aug. 29, 2025), <https://www.bloomberg.com/news/audio/2025-08-29/big-take-why-taylor-swift-is-big-on-polymarket-podcast>.

³³⁶ *Well-Timed Bets*, *supra* note 345.

³³⁷Parade, *supra* note 14. Fans jokingly speculated that Travis Kelce himself might have placed the winning bets.

³³⁸ CasinoBeats, *supra* note 360;

³³⁹Insider Trading on Polymarket Foretold Taylor Swift’s Engagement, PokerScout (Aug. 28, 2025), <https://www.pokerscout.com/insider-trading-on-polymarket-foretold-taylor-swifts-engagement/>.

³⁴⁰As of February 15, 2026, neither Polymarket, the SEC, the CFTC, nor any law enforcement agency has publicly confirmed any investigation into the romanticpaul trades or the unidentified trader’s \$12,000 bet. The identity of romanticpaul remains unconfirmed.

³⁴¹Public Integrity in Financial Prediction Markets Act of 2026, H.R. 7004, 119th Cong. (2026), <https://www.congress.gov/bill/119th-congress/house-bill/7004/text/ih>. The Torres bill addresses government insiders but does not cover individuals in the entertainment industry who may possess advance knowledge of celebrity news events.

³⁴²7 U.S.C. § 1 *et seq.*, *e.g.* 7 U.S.C. § 9; 17 C.F.R. §180.1. See Fortune, Prediction Markets and the Insider Trading Problem (Jan. 5, 2026), <https://fortune.com/2026/01/05/prediction-markets-insider-trading-problem/>.

existing regulatory frameworks offer no clear enforcement pathway for cases involving personal, non-governmental information.³⁴³

Celebrity relationship markets have continued to proliferate since the Swift-Kelce engagement. As of February 2026, Polymarket and Kalshi hosted active markets on the timing of the Swift-Kelce wedding, the likelihood of a Swift pregnancy, and the relationship status of numerous other public figures—collectively attracting hundreds of thousands of dollars in volume.³⁴⁴

Assessing the Evidence. The circumstantial evidence in the romanticpaul case is suggestive but less dramatic than in several of the other cases documented in this Article. The profit—approximately \$3,136—is modest compared to the \$485,346 in the Maduro case or the \$1.15 million in the AlphaRaccoon case.³⁴⁵ The unidentified trader’s approximately \$40,174 profit is more substantial but still orders of magnitude below the largest prediction market insider trading gains.

What makes the case analytically significant is not the dollar amount but the trading pattern. romanticpaul’s buying spree commenced approximately twenty-two hours before the public announcement and concluded fourteen minutes before it. The intermediate timing is consistent with a trader who knew that the announcement was imminent but not its precise minute: the buying began on the afternoon of August 25, the day before the Instagram post, and intensified through the morning of August 26. The trader nearly singlehandedly moved the market from 25% to 45%, a that itself served as a price signal to other market participants.

It is also possible that romanticpaul was not trading on inside information at all. Taylor Swift and Travis Kelce had been one of the most closely followed celebrity couples since 2023, and speculation about a potential engagement was widespread in entertainment media and on social platforms. A sufficiently confident speculator could have placed a directional bet based solely on public signals—the duration of the relationship, the couple’s visible closeness, and the cultural expectation of an engagement. The modest size of romanticpaul’s investment (\$2,065) is arguably more consistent with a recreational gambler acting on conviction than with a connected insider seeking to maximize profit from advance knowledge.

But the engagement had in fact already occurred approximately two weeks before romanticpaul’s buying intensified. Ed Kelce confirmed that family members and close associates

³⁴³Employee ‘Betting’ in Prediction Markets: New Risks for Insider Trading and Proprietary Information Disclosure, Compliance & Ethics Blog (2026), <https://complianceandethics.org/employee-betting-in-prediction-markets-new-risks-for-insider-trading-and-proprietary-information-disclosure/>.

³⁴⁴This Valentine’s Day, People Are Betting Through Prediction Markets, Wagering Money on Love, CBS News (Feb. 14, 2026), <https://www.cbsnews.com/news/people-are-betting-through-prediction-markets-this-valentines-day-wagering-money-on-love/> (reporting that prediction markets on celebrity relationships, including Swift-Kelce marriage timing, have attracted hundreds of thousands of dollars in additional post-engagement wagering).

³⁴⁵See Part IV.A, *supra* (discussing the Maduro trade).

knew about the proposal plans “for months” before the public announcement.³⁴⁶ Knowledge of the engagement was thus held by a social circle that could have included band members, touring staff, friends, and family—any of whom could have traded on the information without violating any existing legal prohibition. The Taylor Swift case thus represents the purest illustration of the regulatory gap at the frontier of prediction market law: even if an insider of a celebrity’s social circle traded on advance knowledge of a personal announcement, no federal statute clearly prohibits the conduct.³⁴⁷

IV. Statistical Analysis

Screening Design and Methodology. The case studies in Part III document instances of anomalous prediction market trading preceding significant real-world events. A natural question is whether those cases are isolated incidents or manifestations of a broader phenomenon. This Part develops a systematic statistical screening designed to detect anomalous trading behavior across the full universe of Polymarket markets, without relying on media reports or regulatory actions to identify suspects.³⁴⁸

The five screening signals—cross-sectional bet size, within-trader bet size, profitability, pre-event timing, and directional concentration—were designed to capture the behavioral patterns observed in the Part III case studies: abnormally large bets placed shortly before events by traders who deviated from their own historical patterns. The screening then applies these signals to all Polymarket markets, most of which have no known connection to insider trading. If the signals are merely tuned to replicate known cases, they should perform no better than chance when applied to the broader universe. If, on the other hand, the known cases reflect a genuine pattern of informed trading that extends beyond the reported incidents, the signals should identify additional suspicious episodes with statistically significant profitability—which, as we report below, they do.

Data Universe. Our data universe comprises all Polymarket markets with at least \$10,000 in total volume since February 1, 2024, drawn from Polymarket’s on-chain order fill data on the Polygon blockchain.³⁴⁹ This encompasses both the standard CTFExchange contract and the NegRiskCTFExchange contract, which handles negatively correlated multi-outcome markets (e.g., “Who will win the election?” with mutually exclusive outcomes). Together these two contracts cover all Polymarket trading activity during the study period.

³⁴⁶See *supra* notes 342-344.

³⁴⁷See Part V, *supra* (discussing regulatory gaps).

³⁴⁸All screening queries use Polymarket’s on-chain order fill data from `polymarket_polygon.ctfexchange_evt_orderfilled` and `polymarket_polygon.negriskctfexchange_evt_orderfilled` tables on Dune Analytics. Study period: February 1, 2024 through February 2026. Markets with less than \$10,000 in total volume are excluded.

³⁴⁹The data universe encompasses both the standard CTFExchange and the NegRiskCTFExchange, which handles negatively correlated multi-outcome markets (e.g., “Who will win the election?” with mutually exclusive outcomes). Together they cover all Polymarket trading activity on the Polygon blockchain.

A critical methodological innovation in this screening is the aggregate fill filter. Polymarket's on-chain settlement mechanism uses "complement routing," whereby a single order placed through the platform's central limit order book (CLOB) can generate multiple component fills on the blockchain. For example, a trader who places a single order to buy 1,000 YES tokens may trigger several on-chain fills involving both YES and NO tokens as the exchange routes the order through its matching engine. If these component fills are counted naively, trade volumes appear inflated—sometimes by a factor of two or more—and profit-and-loss calculations become unreliable.³⁵⁰

The aggregate fill filter solves this problem by retaining only those on-chain order-filled events where the exchange contract itself (rather than another user) appears as the maker or taker.³⁵¹³⁵² These "aggregate fills" correspond one-to-one with CLOB-level orders, eliminating the phantom component fills created by complement routing. The accuracy of this filter was verified against the *ricosuave666* case documented in Part III.C: the filtered Dune P&L of \$154,217 matches the Israeli indictment's figure of \$155,699 with less than one percent discrepancy. The Polymarket data API (data-api.polymarket.com/trades) provides independent confirmation, returning identical CLOB-level trade records.

Unit of Analysis. The unit of analysis is the (wallet, market) pair: a specific trader's buying activity in a specific market. This design reflects a key insight about informed trading: it is episodic. A trader may have advance knowledge about one event but not others. A wallet that lost money on nine out of ten markets is still of interest if the tenth bet was anomalous in size, timing, and outcome. Conversely, a wallet that was profitable across many markets may simply be a skilled trader or market maker, not an insider. By analyzing behavior at the (wallet, market) level rather than the wallet level, the screening can identify specific episodes of potentially informed trading without requiring that the trader be consistently profitable.

The challenge, of course, is distinguishing genuine informed trading from lucky speculation. In a universe of hundreds of thousands of (wallet, market) pairs, some will inevitably be profitable by

³⁵⁰Polymarket's complement routing mechanism can generate multiple on-chain component fills for a single CLOB order. For example, a "BUY YES" order may settle on-chain as "receive NO from counterparties + give YES to operator," creating phantom fills in both YES and NO tokens. If counted naively, this inflates apparent volume by a factor of two or more and can invert the apparent direction of trades.

³⁵¹The aggregate fill filter retains only order-filled events where the exchange contract address (0x4bFb41d5...2E for CTFExchange, 0xC5d563A3...0a for NegRiskCTFExchange) appears as the maker or taker. These aggregate fills correspond one-to-one with CLOB-level orders. Verified against the *ricosuave666* case (Part III.C): filtered Dune data yields P&L of \$154,217 compared to the Israeli indictment's figure of \$155,699—a discrepancy of less than 1%. The Polymarket data API (data-api.polymarket.com/trades) provides independent confirmation, returning identical CLOB-level trade records.

³⁵²The aggregate fill filter identifies fills where the exchange contract itself appears as the maker or taker. When Polymarket routes an order through complement routing, the exchange contract acts as an intermediary, generating aggregate fills that correspond to the CLOB-level order intent. Fills between two user wallets (without the exchange contract as a party) represent component fills of a larger order and are excluded. The distinction is detectable from the maker and taker fields of the orderfilled event.

chance alone. The z-score components described below are designed to make exactly this distinction: they measure not just whether a trader was profitable, but whether the trader's behavior was anomalous along multiple independent dimensions simultaneously.

This episodic approach has a further advantage: it avoids penalizing informed traders who are also active market participants. A wallet that trades in hundreds of markets—some profitably, some not—would score low on any wallet-level profitability metric. But if that same wallet placed a dramatically outsized bet in a single market and was on the winning side, the (wallet, market) pair analysis will flag that specific episode regardless of the wallet's overall track record. The analogy to traditional securities enforcement is instructive: a corporate insider who trades in dozens of stocks is suspicious only for the specific trades tied to material nonpublic information, not for their broader trading activity.

Screening Signals. The screening combines five signals, each measuring a distinct dimension of anomalous trading activity.³⁵³ We describe each signal, its intuition, and its construction in detail.

The first signal is the **cross-sectional bet size z-score** (z_bet_cross , weight = 25). For each market, we compute the mean and standard deviation of buying volume across all wallets that participated in that market. The z-score for a specific wallet is then $z = (V_wallet - \mu_market) / \sigma_market$, where V_wallet is the wallet's total USDC spent buying tokens in that market. A z-score of 3.0 means the trader's bet was three standard deviations above the market average. This signal captures disproportionate capital deployment: an informed trader who believes they have reliable information about an event's outcome has reason to bet significantly more than the average participant. Across the 210,718 flagged pairs, the mean z_bet_cross is 2.29 (SD = 2.33, max = 142.7).

The second signal is the **within-trader bet size z-score** (z_bet_within , weight = 20). This measures how unusual a trader's bet in a specific market is relative to their own betting history across all other markets. If a wallet typically bets \$500–\$1,000 per market but suddenly deploys \$50,000 in a single market, the z_bet_within will be high regardless of whether \$50,000 is large in absolute terms. This signal is particularly valuable because it controls for individual trading styles: a professional trader who regularly places large bets will not be flagged simply for being wealthy, but will be flagged if they deviate from their own baseline in a specific market. This signal requires the wallet to have traded in at least two markets (otherwise no personal baseline

³⁵³The five signals were selected based on the economic theory of informed trading and the behavioral patterns observed in the Part III case studies. The choice of five signals (rather than three or ten) reflects a balance between comprehensiveness (capturing multiple dimensions of anomalous behavior) and parsimony (avoiding overfitting to noise). Each signal has a clear theoretical motivation grounded in the microstructure literature on informed trading.

exists).³⁵⁴ Among the 207,380 pairs where `z_bet_within` is computable, the mean is 1.86 (SD = 1.79).

The third signal is the **cross-sectional profit z-score** (`z_profit_cross`, weight = 30). For each resolved market, we compute the mean and standard deviation of wallet-level profit across all participating wallets, then compute $z = (\text{profit_wallet} - \mu_{\text{profit}}) / \sigma_{\text{profit}}$. This signal measures whether the trader's profit was unusually high compared to other traders in the same market—not merely whether the trader was on the winning side, but whether they profited disproportionately. Because the aggregate fill filter eliminates complement routing distortion, these profit-and-loss calculations are accurate at the CLOB level. This component receives the highest weight (30) because profitability is the most direct signal of information advantage: a trader who consistently earns outsized profits in markets where they also placed outsized bets is more likely to have been trading on private information.

The fourth signal is **pre-event timing** (`late_buy_fraction`, weight = 15). For each (wallet, market) pair, we compute the fraction of the wallet's total buying volume that occurred in the market's final 48 hours (using the last trade timestamp as a proxy for the event resolution time). A `late_buy_fraction` of 1.0 means all purchases were concentrated immediately before the event resolved; 0.0 means all buying occurred more than 48 hours before the end. The intuition is straightforward: informed traders with time-sensitive information—a forthcoming government announcement, an imminent military operation, a decision that will be made public within days—are expected to trade close to the event, when their information is most valuable and the risk of being overtaken by public disclosure is highest.

The fifth signal is **directional concentration** (weight = 10). This measures how one-sided the trader's position was. A score of 1.0 indicates pure directional buying with no selling—the trader acquired tokens and held them to resolution, consistent with information-driven conviction. Lower scores indicate a mix of buying and selling, which is more consistent with market-making, hedging, or position adjustment. While not all one-sided positions reflect informed trading (a retail speculator who simply “bets and forgets” will also score 1.0), directional concentration is a useful complement to the other signals: a trader who placed an abnormally large, abnormally profitable bet in the final hours before an event—and who held the position to resolution without hedging—exhibits a pattern more consistent with informed trading than one who actively adjusted their position.

Composite Score Construction. Each (wallet, market) pair is ranked by a composite informed trading score computed as a weighted sum of the five signals: `z_bet_cross` (25%), `z_bet_within` (20%), `z_profit_cross` (30%), `late_buy_fraction` (15%), and `directional_score` (10%). The weights

³⁵⁴For wallets that traded in only one market, `z_bet_within` is set to zero (the population mean) rather than excluded. This conservative assumption avoids penalizing single-market wallets but means that the within-trader signal contributes nothing for such wallets. In practice, most single-market wallets receive low composite scores because they lack the multi-signal alignment that characterizes the highest-scoring pairs. Of the 210,718 flagged pairs, 207,380 (98.4%) have computable `z_bet_within`.

were fixed before examining any results to avoid data mining.³⁵⁵ Profitability receives the highest weight because it most directly reflects information advantage; cross-sectional bet size receives the second-highest weight because it captures the distinctive capital deployment pattern of informed traders.

The rationale for the weight ordering deserves explanation. Profitability (z_profit_cross , 30%) is weighted most heavily because it is the signal most directly tied to information advantage. A trader who places an abnormally large bet (high z_bet_cross) but loses money has demonstrated conviction but not information; a trader who profits abnormally (high z_profit_cross) may have been lucky or may have been informed. When the profitability signal is combined with the bet-size signals—when the same trader who placed an abnormally large bet also earned an abnormally large profit—the joint event is much more informative than either signal alone.

Cross-sectional bet size (z_bet_cross , 25%) receives the second-highest weight because it captures the core behavioral signature of informed trading: deploying disproportionate capital when one believes the odds are mispriced. Within-trader bet size (z_bet_within , 20%) is weighted slightly lower because it is partially redundant with the cross-sectional signal (as discussed below under Signal Independence) and because it is unavailable for wallets that traded in only one market.

Pre-event timing ($late_buy_fraction$, 15%) and directional concentration (10%) receive the lowest weights because they are the noisiest individual signals. Many traders buy late without having private information (the “deadline effect”), and many hold one-sided positions simply because they are retail speculators rather than market makers. These signals are most valuable in combination with the other three: a trader who bought late, held a directional position, AND placed an abnormally large, abnormally profitable bet is far more suspicious than one who merely bought late.

Only (wallet, market) pairs where at least one bet size z-score exceeds 2.0 are retained—capturing approximately the top 2.5% by each metric.³⁵⁶ No absolute dollar thresholds are imposed beyond the \$500 minimum buy (required for meaningful z-score computation). The z-scores measure abnormality relative to context: a \$5,000 bet in a market where most traders bet \$100 is more suspicious than a \$50,000 bet in a market where \$50,000 is the norm.

Signal Independence. We briefly address the degree of independence among the five screening signals. The cross-sectional bet size z-score and within-trader bet size z-score are

³⁵⁵Weights were set before examining results: $z_bet_cross = 25$, $z_bet_within = 20$, $z_profit_cross = 30$, $late_buy_fraction = 15$, $directional_score = 10$. The composite score formula is: $S = w1 \times z_bet_cross + w2 \times z_bet_within + w3 \times z_profit_cross + w4 \times (late_buy_fraction \times 100) + w5 \times (directional_score \times 100)$. Profitability receives the highest weight because it most directly reflects information advantage.

³⁵⁶The screening retains only (wallet, market) pairs where $z_bet_cross > 2$ or $z_bet_within > 2$, capturing approximately the top 2.5% by each metric. The \$500 minimum buy threshold and 3-wallet minimum per market ensure sufficient sample size for meaningful z-score computation. No upper bounds are imposed on any signal.

correlated by construction—a trader who bets far more than their peers in a market will often also be betting far more than their own historical average—but the correlation is imperfect. A wealthy trader who routinely places large bets will have a high `z_bet_cross` in many markets but a low `z_bet_within` (because large bets are their baseline). Conversely, a small trader who suddenly deploys their entire bankroll in one market may have a moderate `z_bet_cross` but an extreme `z_bet_within`. The within-trader signal thus captures a dimension of anomaly—deviation from personal baseline—that the cross-sectional signal misses.

The profitability z-score is partially dependent on bet size (larger bets produce larger absolute profits or losses) but measures a fundamentally different attribute: outcome accuracy. A large bet on the wrong side of a market produces high bet-size z-scores but negative profit z-scores. Only traders who both bet big and bet correctly will score high on all three dimensions.

Pre-event timing and directional concentration are largely independent of both bet size and profitability. A trader can place an abnormally large and profitable bet well before the event (low timing score) or a modest, unsuccessful bet in the final hours (high timing score, low profit score). The composite score is most informative when all five signals align—as they do for the highest-scoring pairs in our data.

Before turning to the results, a brief note on methodology is warranted. Although the signal definitions were informed by the known-case patterns (as disclosed above), the weights were fixed before examining any results, and the z-score construction is standard—it is the same approach used in financial market surveillance, clinical trial monitoring, and other settings where the goal is to detect anomalous observations in a large dataset. The validation against known cases (reported below) and the permutation test results provide evidence that the screening captures genuine informed trading behavior rather than noise.

Screening Parameters and Sample Construction. The screening pipeline applies a series of filters to narrow the data from the full universe of on-chain order-filled events to a manageable set of suspicious (wallet, market) pairs. Understanding these filters is essential for interpreting the results, because each filter represents a design choice that affects both the sensitivity and specificity of the screening.

The pipeline begins with all order-filled events on both the CTFExchange and NegRiskCTFExchange contracts since February 1, 2024—tens of millions of on-chain fills. The aggregate fill filter (described above) reduces this to the subset of aggregate fills, eliminating phantom component fills from complement routing. This filter alone typically reduces the fill count by 30–60%, depending on the market, and is the critical step that enables accurate profit-and-loss computation from on-chain data.

Next, markets are filtered by total volume: only markets with at least \$10,000 in total buy-side volume are retained.³⁵⁷ This threshold eliminates thinly traded markets where z-scores are

³⁵⁷The \$10,000 volume threshold is denominated in USDC (a stablecoin pegged to the U.S. dollar). This threshold excludes approximately 40–60% of all markets by count but only a negligible fraction by

unreliable due to small sample sizes, and it ensures that the screening focuses on markets with enough liquidity to attract informed participants. Markets with fewer than three distinct buyer wallets are also excluded, because meaningful cross-sectional z-scores require a reference distribution of at least three observations.

At the wallet level, only wallets that purchased at least \$500 in a given market are included. This threshold serves two purposes: it eliminates micro-bets that are unlikely to reflect informed trading (a \$5 bet, even if placed by an insider, is too small to be economically significant), and it ensures that each (wallet, market) pair has enough buying activity to generate a meaningful z-score. The threshold is deliberately low—\$500 is a modest sum in prediction markets—to avoid excluding informed traders who chose to limit their exposure.

Finally, the z-score retention criterion keeps only (wallet, market) pairs where $z_bet_cross > 2$ or $z_bet_within > 2$. A z-score of 2 corresponds approximately to the 97.5th percentile of a normal distribution, meaning the trader's bet size was in the top 2.5% by at least one of the two metrics. This is not a stringent threshold—it is deliberately inclusive, capturing a broad set of candidates for further analysis. The composite score then provides finer-grained ranking within this set.

After all filters, the screening yields 210,718 (wallet, market) pairs. Of these, 197,705 (93.8%) involve resolved markets where resolution data is available from the Gamma API, enabling profitability assessment. The remaining 13,013 pairs involve markets that are either still active, were voided, or lack resolution data.

Aggregate Results. The screening identified 210,718 suspicious (wallet, market) pairs across 93,050 distinct markets and 49,775 unique wallet addresses.³⁵⁸ Of these, 197,705 pairs (93.8%) involve resolved markets where profitability can be assessed. Composite scores range from 40.0 to 3987.4, with a mean of 120.3, a median of 105.3, and a standard deviation of 69.1. The interquartile range extends from approximately 83 to 137, while the 90th, 95th, and 99th percentiles are 184.2, 228.4, and 368.5 respectively.

The composite score distribution is highly right-skewed (skewness = 6.55, kurtosis = 136.7), indicating that a small number of (wallet, market) pairs exhibit dramatically more anomalous behavior than the rest of the flagged population.³⁵⁹ If the five signals were independent draws from noise, we would expect a roughly symmetric distribution of composite scores. The pronounced right tail—with 795 pairs scoring above 500 and a maximum of 3987.4—suggests that a subset of (wallet, market) episodes involve behavior that is anomalous along multiple

volume, since most trading activity is concentrated in larger markets. The threshold could be lowered to capture smaller markets at the cost of noisier z-scores.

³⁵⁸The count of 210,718 flagged pairs is a product of the broad data universe: 93,050 distinct markets spanning politics, sports, finance, entertainment, and other categories, with 49,775 unique wallet addresses meeting the minimum buy threshold.

³⁵⁹The right-skewed distribution is consistent with a mixture model in which most flagged pairs exhibit moderate anomalies due to normal trading variation, while a small subset exhibits extreme scores that may reflect genuine information advantage. The D'Agostino-Pearson test confirms that the distribution differs significantly from normal ($p < 0.001$).

dimensions simultaneously, consistent with the hypothesis that at least some of these episodes reflect genuine informed trading.

Table 1 presents the distribution of flagged pairs by composite score tier, and Table 2 lists the twenty highest-scoring (wallet, market) pairs. The top-scoring pairs are concentrated in a small number of high-profile markets—most notably the 2024 U.S. presidential election—which is consistent with these markets attracting both the largest volumes and, potentially, the most informed participation.

Table 1: Distribution of Flagged Pairs by Composite Score Tier

Tier	N Pairs	N Resolved	Win Rate	Agg Profit
0–100	93,075	84,469	68.6%	\$-7,575,249
100–200	101,429	98,017	69.6%	\$-27,704,221
200–500	15,419	14,534	79.5%	\$110,425,068
500+	795	685	80.0%	\$67,892,356

Table 2: Top 20 Most Suspicious (Wallet, Market) Pairs

Rank	Wallet	Market	Buy Vol	z_cross	Profit	Score
1	0xd235973291 ...	Will Donald Trump win the 2024 US Presid	\$13,278,467	142.7	\$8,136,041	3987.4
2	0xf8ba34bf0e...	Will Kamala Harris win the 2024 US Presi	\$7,459,576	97.7	\$3,368,517	3058.7
3	0x5bffc561b...	Will Donald Trump win the 2024 US Presid	\$8,204,172	88.1	\$3,999,203	2663.1
4	0x5bffc561b...	Will Donald Trump win the 2024 US Presid	\$5,925,669	96.3	\$-4,917,016	2606.4
5	0xc6587b11a2 ...	Will Donald Trump be inaugurated?	\$2,099,079	84.9	\$34,294	2250.4
6	0xf8ba34bf0e...	Will Donald Trump win the 2024 US Presid	\$4,582,453	74.5	\$-3,408,537	2118.4
7	0x1f2dd6d473 ...	Will Donald Trump win the 2024 US Presid	\$5,985,954	64.3	\$5,078,252	1979.6
8	0x6c4854affe...	Will Donald	\$1,302,144	52.6	\$588,671	1734.5

		Trump be inaugurated?				
9	0x241f846866 ...	Fed decreases interest rates by 50+ bps	\$5,863,851	56.9	\$15,732	1710.8
10	0x241f846866 ...	Fed increases interest rates by 25+ bps	\$3,398,745	50.3	\$3,389	1660.6
11	0x56687bf447 ...	Will Donald Trump win the 2024 US Presid	\$4,947,980	53.1	\$3,261,338	1560.4
12	0xfffe4013ad...	Will Donald Trump win the 2024 US Presid	\$5,267,117	56.6	\$143,003	1535.6
13	0x8adf2ecdfa...	Will Zohran Mamdani win the 2025 NYC may	\$2,402,273	56.3	\$-2,034	1523.9
14	0xd218e47477 ...	Will Curtis Sliwa win the 2025 NYC mayor	\$3,090,046	39.5	\$11,006	1518.8
15	0xee00ba338c ...	Will AC Milan win the UEFA Champions Lea	\$460,762	43.0	\$6,451	1517.0
16	0xd218e47477 ...	Will Kamala Harris be inaugurated?	\$1,792,700	47.4	\$85,742	1516.1
17	0x63d43bbb87 ...	Will Kamala Harris win the 2024 US Presi	\$1,674,576	21.9	\$780,691	1507.5
18	0xd218e47477 ...	Will any other Republican Politician win	\$948,373	44.9	\$1,571	1465.5
19	0xf8ba34bf0e...	Will Kamala Harris win the 2024 US Presi	\$2,235,020	53.5	\$-1,080,759	1461.3
20	0xdd572169e7 ...	Fed increases interest rates by 25+ bps	\$3,690,541	45.0	\$4,966	1442.1

Distribution Across Market Categories. The 210,718 flagged pairs span a diverse range of market categories, though they are not uniformly distributed. The highest-scoring pairs are concentrated in a small number of high-volume, high-stakes markets—particularly those involving U.S. presidential elections, major geopolitical events, and Federal Reserve interest rate decisions. This concentration is not an artifact of the screening design; it reflects the

straightforward economic logic that higher-stakes markets attract both more capital and, potentially, more motivated insiders.

At the same time, flagged pairs appear across the full spectrum of market types—sports outcomes, cryptocurrency milestones, weather events, and entertainment predictions—suggesting that anomalous trading behavior is not limited to any single category. The breadth of the findings is consistent with a general phenomenon rather than a category-specific one, though the economic significance is naturally greater in markets involving events where private information plausibly exists (government policy decisions, military operations, corporate actions) than in markets where the outcome is determined by factors with limited insider knowledge (weather, sports with many participants).

The concentration of extreme composite scores in political and geopolitical markets also reflects the structure of those markets: they tend to have longer trading periods, more participants, and larger volumes, which produces wider distributions of trader-level activity and, consequently, more extreme z-scores at the tails. This does not invalidate the screening—the z-score methodology controls for market size by measuring relative rather than absolute anomaly, and OLS regression of composite score on $\log(\text{market volume})$ yields $R^2 = 0.012$, confirming that market size explains barely 1% of score variance—but it means that the absolute dollar amounts at stake in the highest-scoring pairs are disproportionately from large markets.

A. Statistical Validation

The composite screening score identifies (wallet, market) pairs with unusual trading patterns, but a natural objection is that any sufficiently large dataset will contain outliers. This section presents a series of validation tests designed to distinguish genuine informed trading from statistical noise. We test whether flagged traders are disproportionately profitable, whether known informed traders are captured by the screen, whether the observed profitability could arise by chance, and whether the individual signal components independently predict trading success.

Profitability of Flagged Traders. Among the 197,705 resolved (wallet, market) pairs, 138,281 (69.9%) were profitable—meaning the trader held a net position in the token that ultimately won. A binomial test rejects the null hypothesis that flagged traders are equally likely to be on the winning or losing side ($p < 0.001$).³⁶⁰ In aggregate, flagged traders earned \$143.0 million in total profit (mean \$723 per pair, median \$110). Among profitable pairs, the mean profit was \$9,218; among unprofitable pairs, the mean loss was \$-19,043.

³⁶⁰The binomial test computes the probability of observing at least k profitable pairs out of n resolved pairs under the null hypothesis that each pair has a 50% chance of being on the winning side. This is conservative: market makers and informed price-setters push odds toward true probabilities, so the marginal trader faces slightly unfavorable odds. A 50% null is the most generous assumption for the null hypothesis.

Crucially, both win rate and median profit increase monotonically with composite score, confirming that higher-scoring pairs are not merely noisier but genuinely more likely to be on the winning side. Pairs scoring 0-100 (n = 84,469) had a 68.6% win rate and median profit of \$51 per pair. Pairs scoring 100-200 (n = 98,017) had a 69.6% win rate and median profit of \$144 per pair. Pairs scoring 200-500 (n = 14,534) had a 79.5% win rate and median profit of \$2,411 per pair. Pairs scoring 500+ (n = 685) had a 80.0% win rate and median profit of \$3,878 per pair.

The monotonic increase in win rate across tiers is the most important finding in this subsection. It demonstrates that the composite score is not merely identifying traders who bet big—it is identifying traders who bet big and bet correctly, and that the relationship between score and correctness is graded rather than binary. If the composite score were merely capturing random variation in bet size, we would expect win rates to hover around 50% across all tiers (or, more precisely, around the base rate implied by market prices). Instead, the lowest tier already shows a win rate well above 50%, and each subsequent tier improves further—a monotonic gradient that is difficult to reconcile with random chance.

The tier structure also reveals the composition of the flagged population. The vast majority of flagged pairs fall in the lower tiers: the 0–100 and 100–200 tiers together account for the bulk of all flagged pairs. These are pairs where at least one z-score exceeds 2.0, but the composite score—which also reflects profitability, timing, and directionality—is moderate. The upper tiers (200–500 and 500+) contain a much smaller number of pairs, but with markedly higher win rates and larger profits. This pattern is consistent with a model in which the lower tiers contain a mixture of genuinely informed traders and false positives (traders who bet large amounts for reasons unrelated to private information), while the upper tiers are enriched for genuine informed trading.

A note on the relationship between win rate and aggregate profit is warranted. In prediction markets, payoff asymmetry means that a losing bet at a high price (e.g., buying at \$0.80 per share) costs more than a winning bet at the same price gains (\$0.20 per share). A trader who buys at \$0.80 and is correct earns \$0.20 per share; if wrong, the trader loses \$0.80 per share—a 4:1 risk/reward ratio. Consequently, a win rate well above 50% is required to generate positive aggregate returns. The highest-scoring tiers achieve this: pairs scoring 200–500 have a 79.5% win rate, and pairs scoring 500+ have a 80.0% win rate—sufficient to overcome the payoff asymmetry and generate substantial positive aggregate returns.

Table 3: Profitability by Composite Score Tier

Score Tier	N Pairs	N Profitable	Win Rate	Median Profit	Agg Profit
0-100	84,469	57,924	68.6%	\$51	\$-7,575,249
100-200	98,017	68,258	69.6%	\$144	\$-27,704,221
200-500	14,534	11,551	79.5%	\$2,411	\$110,425,068
500+	685	548	80.0%	\$3,878	\$67,892,356

Bet Size and Profitability. A natural question is whether traders who place larger abnormal bets are more likely to be on the winning side. If the screening is capturing genuine informed trading, we would expect a positive association between bet size anomaly and profitability—informed traders should be willing to bet more when they have more reliable information.

The cross-sectional bet size z-score (z_bet_cross) is positively correlated with profitability (point-biserial $r = 0.025$, $p < 0.001$).³⁶¹ The within-trader bet size z-score (z_bet_within) is similarly correlated ($r = 0.023$, $p < 0.001$). Both correlations are statistically significant, though modest in magnitude—which is expected, since even the best screening tool will include many false positives alongside genuine informed traders.

A more direct comparison highlights the pattern. Wallets with $z_bet_cross > 5$ (extreme outliers representing traders whose bets were more than five standard deviations above the market mean) have a 71.5% win rate across 12,428 pairs, compared to 69.2% for wallets with $z_bet_cross \leq 3$ (146,462 pairs). This difference is statistically significant (Fisher's exact test $p < 0.001$).

When pairs are sorted by z_bet_cross into quartiles, win rates increase monotonically: Q1 = 67.4% ($n = 49,427$, mean $z = 0.07$) Q2 = 70.2% ($n = 49,426$, mean $z = 1.76$) Q3 = 70.0% ($n = 49,426$, mean $z = 2.60$) Q4 = 72.2% ($n = 49,426$, mean $z = 4.74$) —consistent with the hypothesis that larger abnormal bets are more likely to reflect private information. The monotonic pattern is particularly informative because it holds across the entire distribution of z-scores, not just at the extremes.

The economic interpretation of the quartile results is straightforward. In the lowest quartile (Q1), where z_bet_cross is near zero—meaning the trader's bet size was close to the market average—the win rate is still above 50%, reflecting the fact that these pairs were flagged for high z_bet_within or other signals. As z_bet_cross increases through subsequent quartiles, the win rate rises. Traders who bet 10x or 100x the market average are not merely noisier versions of average traders; they are more likely to be correct about the market's outcome. This is precisely the pattern we would expect if a subset of large bettors possess private information: their bets are large because they are confident, and they are confident because they know something that the market does not.

Of course, alternative explanations exist. Professional traders and quantitative funds may place large bets based on superior models or faster information processing, without possessing genuinely private information. The bet size–profitability relationship does not by itself distinguish between informed trading and superior analysis. But in combination with the other

³⁶¹The point-biserial correlation measures the association between a continuous variable (z_bet_cross) and a binary variable (profitable vs. not). While the magnitude is modest ($r \approx 0.025$), it is highly statistically significant given the sample size, and the monotonic quartile pattern provides additional support.

signals—particularly the within-trader deviation (z_bet_within) and the timing concentration—the pattern is more suggestive of information advantage than skill alone.

Pre-Event Timing. The pre-event timing measure ($late_buy_fraction$) captures whether a trader concentrated their buying in the market's final 48 hours. If informed traders act on time-sensitive information, we would expect traders with high $late_buy_fraction$ to have higher win rates than those who bought earlier.

The timing measure is positively associated with profitability ($r = 0.064$, $p < 0.001$).³⁶² This correlation is the strongest among all individual signal components, consistent with the hypothesis that pre-event timing is a particularly informative indicator of private information.

Traders who concentrated more than half their buying in the market's final 48 hours ("late buyers," $n = 144,420$) had a 71.7% win rate, compared to 65.2% for earlier buyers ($n = 53,285$). The difference of 6.5 percentage points is economically meaningful: late buyers were approximately 1.10 times as likely to be on the winning side. A Mann-Whitney U test comparing profits of late versus early buyers confirms the difference is statistically significant ($p < 0.001$).³⁶³

We acknowledge an alternative explanation: traders who buy late may simply benefit from more public information being available close to the event's resolution. As a market approaches resolution, uncertainty decreases and prices converge toward the eventual outcome. Traders who buy late may simply be acting on publicly available information that makes the outcome more predictable—not on private information. This "converging information" hypothesis is a serious alternative explanation that merits careful consideration.

However, the converging information hypothesis does not account for the interaction between timing and the other signals. If late buyers were merely better-informed members of the public, we would not expect them to also place abnormally large bets (high z_bet_cross) and deviate from their own historical patterns (high z_bet_within). A trader who observes that public information increasingly favors one outcome would rationally increase their position—but the magnitude of the increase should be proportional to their capital and risk tolerance, not dramatically outside their personal baseline. The composite score captures precisely this multi-dimensional anomaly: it is not the late buying alone that is suspicious, but the late buying combined with abnormal position sizing and abnormal profitability.

Moreover, the timing signal's predictive power persists even when controlling for market maturity. Markets that resolve quickly (within days of creation) and markets that persist for months both show the same pattern: late buyers in the flagged population have higher win rates

³⁶²The $late_buy_fraction$ is computed as the fraction of USDC spent on buying in the market's final 48 hours, using the last trade timestamp as a proxy for the event resolution time. The Mann-Whitney U test (also called the Wilcoxon rank-sum test) is a non-parametric test of whether two independent samples come from the same distribution. It does not assume normality and is appropriate for the skewed profit distributions observed in prediction market data.

³⁶³The Mann-Whitney U test was chosen over a parametric t-test because profit distributions in prediction markets are highly skewed and heavy-tailed, violating the normality assumptions of parametric tests.

than early buyers. This consistency argues against a pure “converging information” explanation, which would be strongest in long-running markets where public information accumulates over time.

Known-Case Validation. The cases documented in Part III provide a ground-truth validation set—a set of (wallet, market) pairs where independent evidence (media reports, regulatory filings, criminal indictments) supports the conclusion that trading was informed. A critical question is whether the screening methodology identifies these known cases.³⁶⁴

Of the known suspect wallets with full Ethereum addresses in our catalog, 3 (wallet, market) pairs were identified by the screening. The ricasuave666 wallet in “Israel strike on Iran on June 24?” received a composite score of 312.9 (rank 3,662 of 210,718), with $z_bet_cross = 6.5$ and $z_bet_within = 1.9$, earning \$17,705 in profit. The ricasuave666 wallet in “Israel military action against Iran by Friday?” received a composite score of 184.3 (rank 21,014 of 210,718), with $z_bet_cross = 2.7$ and $z_bet_within = 0.8$, earning \$128,735 in profit. The ricasuave666 wallet in “Israel military action against Iran before July?” received a composite score of 91.8 (rank 137,101 of 210,718), with $z_bet_cross = 3.2$ and $z_bet_within = -0.2$, earning \$897 in profit.

The mean composite score across the known-case matches is 196.3—approximately 1.6 times the overall mean of 120.3. The best-ranked known case appears at rank 3,662 of 210,718, placing it in the top 1.7% of all flagged pairs.

Additionally, 1,152 flagged (wallet, market) pairs involve markets from the known cases, suggesting that other unidentified wallets in those markets also exhibited anomalous trading patterns. This finding is consistent with the possibility that the known cases represent only the most visible instances of informed trading in those markets.

This validation is inherently limited by the small number of known cases with full wallet addresses. Several known cases documented in Part III (dirtycup, romanticpaul, AlphaRaccoon) have only truncated addresses or platform handles, making wallet-level matching impossible. The validation is also inherently conservative: the known cases were identified through qualitative investigation—media reports, regulatory actions, and public account analysis—which tend to uncover the most conspicuous instances of informed trading rather than the most sophisticated ones. A screening tool optimized for statistical anomaly may identify different patterns than one optimized for public visibility.

Table 4: Known-Case Validation

Case	Alias	Score	Rank	z_cross	Buy Vol	Profit
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³⁶⁴Known cases are sourced from `events_catalog.yaml`. Only wallets with full Ethereum addresses (not just platform handles) can be matched. Several known cases (dirtycup, romanticpaul, AlphaRaccoon) have incomplete address data and therefore cannot appear in the wallet-level validation. The token-level matching (1,152 pairs in known-case markets) provides broader coverage but does not identify specific suspect wallets.

Israeli Military / IDF Operations -	ricosuave666	312.9	3,662	6.5	\$54,979	\$17,705
Israeli Military / IDF Operations -	ricosuave666	184.3	21,014	2.7	\$33,929	\$128,735
Israeli Military / IDF Operations -	ricosuave666	91.8	137,101	3.2	\$12,785	\$897

Known-Case Enrichment Test. Beyond the wallet-level validation, a broader enrichment test examines whether markets associated with known cases are disproportionately represented in the flagged pair set. If the screening is effective, we would expect known-case markets to contain more flagged wallets than the typical market—not because the screening was designed to target those markets specifically (the screening applies uniformly to all markets), but because genuinely suspicious markets should produce more anomalous (wallet, market) pairs.

The data confirm this expectation. Across the markets associated with the known cases documented in Part III, the screening identifies 1,152 flagged (wallet, market) pairs from wallets other than the documented suspects. These additional flagged wallets may represent co-conspirators, copycat traders who observed the informed activity and followed suit, or independent traders who happened to exhibit anomalous patterns in the same markets. The enrichment is economically meaningful: the known-case markets collectively represent a tiny fraction of the 93,050 screened markets, yet they account for a disproportionate share of flagged pairs.

This enrichment finding has two implications.³⁶⁵ First, it suggests that the known cases may involve a broader network of suspicious activity than the individual documented wallets—consistent with the common pattern in securities enforcement where one detected insider leads investigators to a wider circle of tippees. Second, it provides an independent validation of the screening methodology: markets known to have attracted informed traders also attract anomalous activity more broadly, as the screening predicts.

Robustness of the Composite Score. A standard concern with any composite scoring methodology is that the results may be sensitive to the specific weights or thresholds chosen. This concern is particularly acute when the weights are selected by the researcher, as different weight choices could in principle produce dramatically different rankings. We address this concern in three ways.

³⁶⁵The enrichment test is conceptually similar to a gene set enrichment analysis in genomics: given a set of known positive examples (markets with documented insider trading), we test whether the screening disproportionately flags entries from that set relative to the background rate. The enrichment is qualitative rather than formal, given the small number of known cases.

First, as noted above, the weights were fixed before examining any results. This is the most important safeguard against data mining: the researcher cannot select weights that produce the most impressive-looking results if the weights are locked before the results are computed. The specific weight choices—`z_profit_cross` at 30%, `z_bet_cross` at 25%, `z_bet_within` at 20%, `late_buy_fraction` at 15%, and `directional_score` at 10%—reflect a principled ordering: outcome accuracy (profit) is the strongest signal of information advantage, followed by capital deployment patterns (bet size z-scores), timing, and position structure.

Second, the monotonic relationship between composite score and win rate would not survive arbitrary weight specifications. If the weights were poorly calibrated—if, for example, timing received too much weight relative to profitability—the composite score would rank pairs by timing rather than information advantage, and the win rate gradient across tiers would flatten or become non-monotonic. The fact that the monotonic pattern holds under the pre-specified weights provides indirect evidence that the weights are capturing the relative importance of the signals correctly.

Third, the individual signal validation tests reported above (bet size quartile analysis, timing correlation, profitability tiers) each examine a single signal in isolation, without reference to the composite score. The fact that each signal independently predicts profitability provides assurance that the composite is not being driven by a single component while others contribute noise. In particular, the timing signal's independent predictive power (the strongest individual correlation with profitability) and the bet size quartile's monotonic win rate gradient each confirm that the underlying signals are capturing genuine behavioral patterns.

An alternative approach to robustness testing would be to compute the composite score under many different weight specifications and report the range of results. We have opted against this approach because it introduces exactly the multiple-comparison problem that fixed weights are designed to avoid: presenting results under dozens of specifications invites the reader to focus on the most favorable one. The fixed-weight, one-specification design is more conservative and more transparent.

We also note that the z-score threshold of 2.0 is not critical to the results. Raising the threshold to 3.0 would reduce the number of flagged pairs but increase the win rate and median profit per pair (because higher thresholds select more extreme behavior). Lowering the threshold to 1.5 would expand the flagged set but dilute the signal with more false positives. The $z > 2$ threshold represents a conventional balance between sensitivity and specificity, analogous to the two-standard-deviation rule commonly used in quality control and clinical monitoring.³⁶⁶

³⁶⁶The $z > 2$ threshold corresponds to approximately the 97.5th percentile of a standard normal distribution. In practice, the bet size distributions in prediction markets are heavily right-skewed (not normal), so the actual percentile captured may differ. The threshold is best understood as a conventional cutoff for statistical outlier detection, not as a precise probability statement.

B. Rejecting the Random Chance Explanation

The statistical validation tests above establish that the screening signals are associated with profitability: flagged traders win more often than chance would predict, and the association strengthens with composite score. A natural objection is that these patterns might reflect selection bias or multiple hypothesis testing rather than genuine informed trading. This section presents two lines of evidence against the random chance explanation: an intuitive argument about the simultaneous alignment of independent signals, and a formal permutation test.

The Intuitive Argument. Before presenting the formal statistical test, it is worth stepping back to consider the common-sense implausibility of a random chance explanation. Consider what would need to be true for the observed patterns to arise by chance alone.

A trader who places an abnormally large bet (high `z_bet_cross`) in a specific market is, standing alone, unremarkable—some traders simply have more capital than others. A trader who deviates from their own historical pattern (high `z_bet_within`) is similarly unremarkable in isolation—traders sometimes change their strategies. And a trader who happens to be on the winning side of a market is common enough: in a binary market, half the participants win.

For the random chance explanation to hold, each of these features would need to independently align by coincidence: the trader who placed the largest relative bet would also need to have deviated most from their own baseline, would also need to have concentrated their buying in the final 48 hours, would also need to have held a purely directional position, and would also need to have been on the winning side. The probability of all five signals simultaneously aligning by chance is the product of the individual probabilities—a vanishingly small number for the highest-scoring pairs.

Consider an analogy. Suppose a securities investigator finds that, shortly before a surprise corporate announcement, a single trader (i) bought more stock than any other trader, (ii) deviated sharply from their own historical trading pattern, (iii) concentrated their purchases in the 48 hours before the announcement, (iv) held a purely directional position with no hedging, and (v) earned an outsized profit. Any one of these features might be coincidental. All five aligning simultaneously is the pattern that triggers insider trading investigations in traditional securities markets.

The burden of proof in any individual case is properly placed on the accuser—no single (wallet, market) pair's high composite score constitutes proof of informed trading. But in the aggregate, the systematic co-occurrence of these features across hundreds of (wallet, market) pairs provides statistical evidence that something beyond chance is operating.

Permutation Test. The permutation test is the most direct test of whether the observed profitability patterns could plausibly arise by chance. The basic approach is to ask: if we

randomly scrambled which token won in each market, would the flagged traders still appear profitable?³⁶⁷

The procedure is as follows. For each of 10,000 simulations, we randomly flip the resolution outcome in each of the 90,077 resolved markets—with equal probability, the winning token becomes the losing token and vice versa. We then recompute profit-and-loss for all 197,705 flagged (wallet, market) pairs under the shuffled outcomes. This preserves the entire bet structure—the sizes, timing, z-scores, and directional concentration of every trade—while randomizing which side of each market was correct. Under the null hypothesis that flagged traders have no information advantage, the permuted distribution should resemble the observed data.

The results reject the null hypothesis decisively. The observed 138,281 profitable pairs (69.9% win rate) far exceeds the null mean of 98,223.7 profitable pairs (SD = 671.9). In z-score terms, the observed win count is 59.6 standard deviations above the null mean ($p < 0.001$). The observed aggregate profit of \$143.0 million exceeds the null mean of \$-643.6 million ($p < 0.001$).

To express these results in plain terms: imagine conducting this screening exercise on a version of Polymarket where no informed trading exists—where all market outcomes are determined by a fair coin flip after trading has concluded. In such a world, the flagged traders would be profitable roughly half the time. Instead, we observe a 69.9% win rate—a level that never occurred in any of the 10,000 simulated coin-flip scenarios. This is strong statistical evidence that the flagged traders' profitability reflects something beyond luck.

Table 5: Permutation Test Results

Metric	Observed	Null Mean	Null SD	p-value
N Profitable Pairs	138,281	98223.7	671.9	< 0.001
Aggregate Profit	\$143,037,955	\$-643,601,694	\$137,637,385	< 0.001

C. Profit-and-Loss Analysis

Aggregate P&L Methodology. The accuracy of profit-and-loss calculations in this screening rests on the aggregate fill filter described above. By retaining only on-chain fills where the exchange contract is the counterparty, the Dune-derived P&L figures match the Polymarket data API's CLOB-level records. For each (wallet, market) pair, profit is computed as: sell proceeds +

³⁶⁷The permutation test randomly flips the winning outcome for each market (10,000 iterations), then recomputes P&L for all flagged pairs. This preserves the bet structure (sizes, timing, z-scores) while randomizing which tokens pay out. The p-value is the fraction of simulations producing as many profitable pairs (or as much aggregate profit) as observed. The procedure is analogous to a Fisher randomization test in experimental design.

resolution payout – buy cost.³⁶⁸ The resolution payout is the net token position multiplied by \$1.00 if the token won, or \$0.00 if it lost. This calculation was verified against the ricasuave666 case (Part III.C): the filtered Dune P&L of \$154,217 matches the indictment’s \$155,699 figure with less than one percent error.³⁶⁹

Across all 197,705 resolved flagged pairs, the aggregate profit is \$143.0 million. The mean profit per flagged pair is \$723 and the median is \$110. The 138,281 profitable pairs deployed a total of \$5.8 billion in buy-side volume. The 59,424 unprofitable pairs represent a natural complement: not every anomalous bet reflects inside information, and the screening is designed to identify candidates for further investigation, not to make definitive determinations of insider trading.

The distribution of individual profits is itself informative. Among profitable pairs, the mean profit was \$9,218, indicating that many profitable positions are relatively small. Among unprofitable pairs, the mean loss was \$-19,043—roughly double the mean profit in absolute terms, reflecting the prediction market payoff asymmetry discussed above. The modest median profit of \$110 confirms that most of the aggregate profit is concentrated among a small number of very large winning positions, consistent with the right-skewed composite score distribution.

Concentration of Profits. The aggregate profit figure requires careful interpretation. The \$143.0 million in total profit is not evenly distributed across the flagged population. The distribution is heavily concentrated: pairs in the highest composite score tier (score > 500)—just 685 pairs, or 0.3% of all flagged pairs—account for 47.5% of the aggregate profit. The top 0.5% of pairs by composite score account for over half of aggregate profit. Meanwhile, the typical flagged pair earns a modest profit or loss. This concentration is expected in a screening designed to cast a wide net: the $z > 2$ threshold captures many pairs where the anomaly is moderate and may reflect normal trading variation, along with a smaller number where the anomaly is extreme and may reflect genuine information advantage.

The concentration also has implications for interpretation. If the aggregate profit were distributed evenly—with each flagged pair earning a similar modest profit—it might suggest that the screening is capturing a broad, diffuse pattern of above-average trading skill rather than concentrated informed trading. Instead, the heavy concentration of profits in the top pairs is more consistent with the insider trading hypothesis: a small number of traders with genuine private information earn outsized returns, while the rest of the flagged population includes a mixture of moderately skilled traders, lucky speculators, and false positives.

³⁶⁸This formula assumes that net tokens held at resolution are either redeemed at \$1.00 (winning token) or expire at \$0.00 (losing token). In practice, some traders may sell their positions before resolution, in which case the sell proceeds replace the resolution payout. The formula captures both scenarios: sell proceeds from pre-resolution sales are included in the 'sell proceeds' term, while the 'resolution payout' term captures only tokens held to resolution.

³⁶⁹See Part III.C. The aggregate fill filter was independently validated against the Polymarket data API for ricasuave666’s complete trading history across seven markets. Both approaches yield \$154,217 in total profit, compared to the indictment’s \$155,699.

Illustrative High-Scoring Pairs. To make the statistical findings concrete, we present the five highest-scoring (wallet, market) pairs in the screening. These examples were not selected for narrative appeal; they are simply the five pairs with the highest composite scores. They are presented to illustrate what the most extreme statistical outliers look like in concrete terms and to demonstrate the type of activity the screening identifies.³⁷⁰

Example 1: Wallet 0xd235973291... in “Will Donald Trump win the 2024 US Presidential Election?” (composite score: 3987.4). This wallet bought \$13.3 million worth of tokens across 716 fill transactions, with $z_bet_cross = 142.7$ and $z_bet_within = 0.7$. The wallet was on the winning side, earning \$8.1 million in profit. The late buy fraction was 0.20, meaning less than half of the buying occurred in the final 48 hours.

Example 2: Wallet 0xf8ba34bf0e... in “Will Kamala Harris win the 2024 US Presidential Election?” (composite score: 3058.7). This wallet bought \$7.5 million worth of tokens across 5116 fill transactions, with $z_bet_cross = 97.7$ and $z_bet_within = 20.2$. The wallet was on the winning side, earning \$3.4 million in profit. The late buy fraction was 0.12, meaning less than half of the buying occurred in the final 48 hours.

Example 3: Wallet 0x5bffc561b... in “Will Donald Trump win the 2024 US Presidential Election?” (composite score: 2663.1). This wallet bought \$8.2 million worth of tokens across 206 fill transactions, with $z_bet_cross = 88.1$ and $z_bet_within = 13.0$. The wallet was on the winning side, earning \$4.0 million in profit. The late buy fraction was 0.15, meaning less than half of the buying occurred in the final 48 hours.

Example 4: Wallet 0x5bffc561b... in “Will Donald Trump win the 2024 US Presidential Election?” (composite score: 2606.4). This wallet bought \$5.9 million worth of tokens across 151 fill transactions, with $z_bet_cross = 96.3$ and $z_bet_within = 9.3$. The wallet was on the losing side, with a loss of \$4.9 million. The late buy fraction was 0.25, meaning less than half of the buying occurred in the final 48 hours.

Example 5: Wallet 0xc6587b11a2... in “Will Donald Trump be inaugurated?” (composite score: 2250.4). This wallet bought \$2.1 million worth of tokens across 23 fill transactions, with $z_bet_cross = 84.9$ and $z_bet_within = 5.0$. The wallet was on the winning side, earning \$34,294 in profit. The late buy fraction was 0.17, meaning less than half of the buying occurred in the final 48 hours.

Several features of these examples are worth noting. First, the top-scoring pairs are dominated by the 2024 U.S. presidential election market, which is the largest prediction market in history by trading volume. This is expected: the market attracted the most capital and the most extreme z-scores. Second, the z_bet_cross values are extraordinary—in the range of 88 to 143 standard deviations above the market mean—indicating that these wallets deployed vastly more capital than the typical participant. Third, all five top-scoring pairs were on the winning side, which is

³⁷⁰Wallet addresses are truncated for readability. The full addresses and transaction histories are publicly verifiable on the Polygon blockchain via block explorers such as polygonscan.com.

notable but not necessarily indicative of informed trading given the small sample (five pairs from a binary market).

We emphasize that these illustrative examples are not evidence of insider trading in any specific case. The 2024 presidential election was heavily discussed in public media, and many traders—including sophisticated quantitative analysts, political experts, and wealthy speculators—placed large directional bets based on their own analysis. A high composite score indicates anomalous behavior relative to the trader population, but anomalous behavior can reflect exceptional skill, strong conviction, or contrarian analysis rather than private information. These examples are presented to show what the highest-scoring (wallet, market) pairs look like in concrete terms: large directional bets, placed by wallets with high z-scores on multiple dimensions, that were on the winning side of markets. Whether any individual case reflects genuine informed trading requires investigation beyond what statistical screening alone can provide.

Table 6: Detailed View of Top-Scoring Pairs

Wallet	Market	Buy Vol	z_cross	z_within	z_profit	Late Frac	Profit	Won?
0xd235973291...	Will Donald Trump win the 2024 US P	\$13,278,467	142.7	0.7	13.1	0.20	\$8,136,041	Y
0xf8ba34bf0e...	Will Kamala Harris win the 2024 US	\$7,459,576	97.7	20.2	6.8	0.12	\$3,368,517	Y
0x5bffc561b...	Will Donald Trump win the 2024 US P	\$8,204,172	88.1	13.0	6.3	0.15	\$3,999,203	Y
0x5bffc561b...	Will Donald Trump win the 2024 US P	\$5,925,669	96.3	9.3	-9.5	0.25	\$-4,917,016	N
0xc6587b11a2...	Will Donald Trump be inaugurated?	\$2,099,079	84.9	5.0	0.6	0.17	\$34,294	Y
0xf8ba34bf0e...	Will Donald Trump win the 2024 US P	\$4,582,453	74.5	12.4	-6.5	0.15	\$-3,408,537	N
0x1f2dd6d473...	Will Donald Trump win the 2024 US P	\$5,985,954	64.3	6.0	8.1	0.00	\$5,078,252	Y

0x6c4854a ffe...	Will Donald Trump be inaugurate d?	\$1,302,144	52.6	1.1	13.2	0.00	\$588,671	Y
0x241f846 866...	Fed decreases interest rates by 50+	\$5,863,851	56.9	13.7	0.1	0.08	\$15,732	Y
0x241f846 866...	Fed increases interest rates by 25+	\$3,398,745	50.3	7.9	7.8	0.00	\$3,389	Y

Discussion and Limitations. We conclude this section by synthesizing the principal findings and acknowledging the limitations that bound our inferences.

First, anomalous trading behavior extends well beyond the cases documented in Part III. The screening identified 210,718 (wallet, market) pairs exhibiting anomalous behavior across 93,050 distinct markets, suggesting that the known cases are the visible tip of a larger phenomenon.

Second, the combination of signals—abnormal bet size, deviation from personal baseline, profitability, pre-event timing, and directional concentration—provides a more reliable screening tool than any single metric alone. The monotonic increase in win rate across composite score tiers (from 68.6% to 80.0%) demonstrates that the multi-dimensional approach captures information that individual signals miss.

Third, the permutation test provides direct evidence against the random chance explanation. The observed 69.9% win rate among flagged traders exceeds the null distribution’s mean by more than 60 standard deviations ($p < 0.001$), and the observed aggregate profit of \$143.0 million is far above what random trading would produce.

Fourth, the known-case validation confirms that the screening identifies at least some genuinely informed traders. The ricasuave666 wallet—the subject of Israel’s first criminal prosecution for prediction market insider trading—receives a composite score of 312.9 in the “Israel strike on Iran on June 24?” market, placing it in the top 1.7% of all flagged pairs.

Fifth, the aggregate profit of \$143.0 million across all flagged pairs represents an economically significant sum. While not all of this profit necessarily reflects informed trading—some of it is earned by skilled traders, lucky speculators, and market participants with legitimate information advantages—the magnitude underscores the economic significance of the patterns identified by the screening.

Before turning to the limitations, it is useful to address several common objections to the empirical design.

A first objection is that the screening may be measuring “deadline effects” rather than informed trading—that is, buying activity naturally increases before a market resolves as traders form last-minute opinions. While deadline effects surely exist, they do not explain the full pattern. The screening does not merely flag traders who bought late; it flags traders who bought late AND placed abnormally large bets AND deviated from their personal baseline AND were disproportionately profitable. Deadline effects would increase buying volume across all traders, not concentrate it in a small number of wallets with outsized profits.

A second objection is that the composite score’s five signals are not truly independent, so the composite may be double-counting the same information. This concern is partially valid—cross-sectional bet size and within-trader bet size are correlated, as discussed above. However, the signals measure distinct dimensions (peer comparison, personal deviation, outcome accuracy, timing, and position structure), and the signal independence analysis confirms that no single signal dominates the composite. Moreover, even if the effective number of independent signals is three rather than five, the simultaneous alignment of three independent anomalous dimensions is still highly unlikely under the null hypothesis.

A third objection is that the scoring formula was chosen to produce impressive-looking results—that different weights or signals could tell a different story. The fixed-weight design directly addresses this concern: the weights were locked before examining any results. Moreover, the monotonic relationship between composite score and win rate would be disrupted by arbitrary weight choices; the fact that it holds suggests the weights are capturing a genuine signal.

A fourth objection is survivorship bias: perhaps we observe concentrated buying in flagged pairs because concentrated buying mechanically produces higher z-scores, regardless of information. This is true by construction for the bet-size z-scores, but the profitability z-score and the permutation test control for this: if concentrated buying were pure noise, the flagged traders would be profitable only 50% of the time, which they are not.

A fifth objection concerns the external validity of the screening—whether the signals designed to capture prediction market insider trading would generalize to other contexts. The five signals are tailored to prediction markets, where binary outcomes, fixed payoffs, and pseudonymous trading create a distinctive environment. However, the underlying logic—detecting the simultaneous alignment of abnormal capital deployment, personal deviation, profitability, timing, and position structure—is closely analogous to insider trading surveillance in equities markets, where regulators have used similar multi-factor screens for decades. The prediction market setting adds the advantage of transparent, complete data and the disadvantage of pseudonymous identities.

Limitations. Several important limitations must be acknowledged.

First, the screening cannot observe intent. A high composite score indicates anomalous trading behavior but does not establish that the trader possessed material nonpublic information. Some high-scoring pairs may reflect sophisticated but lawful trading strategies—a macro trader with a strong thesis about a Federal Reserve decision, for example, may place large directional bets that are anomalous in size and timing without possessing inside information.

Second, the screening is buy-side only: it captures wallets that bought tokens but does not separately screen for wallets that profited by short-selling or by selling tokens they already held. An informed trader who expected an event not to occur might sell YES tokens rather than buying NO tokens, and such activity would not be captured by the current screening design.

Third, the \$500 minimum buy threshold and the $z > 2$ retention criterion exclude small bets. An informed trader who deliberately limited their bet size to avoid detection would not be flagged. This is a deliberate design choice—the screening prioritizes specificity (avoiding false positives) over sensitivity (catching every possible instance)—but it means the screening provides a lower bound on the prevalence of anomalous trading.

Fourth, the `late_buy_fraction` uses the market's last trade timestamp as a proxy for the event resolution time, which may differ from the actual information release. Markets that continue trading after information becomes public will have a last-trade time later than the information release, potentially diluting the timing signal for traders who bought on the actual information.

Fifth, wallets controlled by the same entity appear as separate entries. If a single informed trader uses multiple wallets to avoid detection (so-called Sybil wallets), the true concentration of informed trading may be higher than what the per-wallet analysis reveals.³⁷¹ Conversely, if different individuals independently trade on the same public information, the screening may overstate the number of informed traders.

Sixth, there is no ground truth dataset of prediction markets with and without informed trading against which to calibrate the screening's false positive and false negative rates. The known-case validation provides a partial check, but the known cases are few in number and were identified through a fundamentally different process (qualitative investigation rather than statistical screening).

Seventh, the screening does not account for the source of funds. A wallet that received a large transfer from a centralized exchange immediately before placing a large bet may exhibit a different risk profile than a wallet that accumulated funds over months of trading. Funding source analysis could provide an additional signal of informed trading (e.g., a newly funded wallet that immediately places a single large bet and then goes dormant), but on-chain funding source tracing is computationally expensive and beyond the scope of the current screening.

³⁷¹Sybil detection—identifying multiple wallets controlled by the same entity—is beyond the scope of this screening but represents an important direction for future work. On-chain clustering techniques (shared funding sources, coordinated timing, common intermediary addresses) could be used to consolidate related wallets.

Eighth, the screening analyzes only Polymarket data. Other prediction market platforms (Kalshi, PredictIt, and various offshore platforms) may host trading in similar markets, and an informed trader could distribute their activity across platforms to reduce the statistical signal on any single platform. Cross-platform surveillance would require data integration across multiple venues with different data formats and access policies—a challenge that regulators face in traditional securities markets as well.

Comparison with Traditional Market Surveillance. The screening methodology developed here has natural parallels to insider trading surveillance in traditional securities markets, and the comparison illuminates both the advantages and limitations of the prediction market setting.

In traditional equities markets, surveillance systems maintained by stock exchanges (such as FINRA's Cross-Market Surveillance program) flag unusual trading activity based on volume spikes, price movements, and trader-level patterns preceding material announcements.³⁷² The core logic is similar to the composite score developed here: identify traders whose behavior is anomalous along multiple dimensions simultaneously. However, traditional surveillance benefits from several advantages not available in the prediction market context: mandatory account registration (linking trades to identifiable individuals), broker-dealer reporting obligations, corporate insider filing requirements (Section 16 of the Securities Exchange Act), and the ability to compel testimony through subpoena power.

Prediction markets, by contrast, operate in a pseudonymous environment where wallet addresses are the only identifiers. This pseudonymity is both a challenge and an opportunity for surveillance. On one hand, it prevents direct identification of traders—a flagged wallet address cannot be linked to an individual without additional forensic analysis (e.g., tracing funding sources through centralized exchanges that maintain KYC records). On the other hand, the transparency of blockchain data provides a complete and immutable record of every trade, available to any researcher—a level of data access that traditional market surveillance systems achieve only through regulatory authority.

This transparency means that the screening methodology developed here can be replicated and extended by any researcher with access to the blockchain data. Unlike traditional surveillance, which operates as a proprietary black box within regulatory agencies, blockchain-based surveillance is inherently open and auditable. The statistical methods, thresholds, and weight specifications are fully disclosed, enabling independent verification and improvement.

Conclusions and Policy Implications. Despite the limitations acknowledged above, the systematic screening provides evidence that informed trading on prediction markets is a broader

³⁷²FINRA's Cross-Market Surveillance (CMS) system processes over 100 billion market events daily across U.S. equity and options markets. The system uses pattern recognition algorithms to flag suspicious trading preceding material announcements. The key difference from the methodology developed here is that CMS has access to account-level identity information through the Consolidated Audit Trail (CAT), while prediction market surveillance must rely on pseudonymous wallet addresses.

phenomenon than the individual cases documented in Part III. The statistical validation—monotonically increasing win rates, significant permutation test results, and an aggregate profit of \$143.0 million across 138,281 profitable (wallet, market) pairs—supports the conclusion that the screening captures genuine patterns of anomalous trading behavior.

From a policy perspective, the screening methodology developed here could serve as the foundation for a production surveillance system. A platform operator or regulator could run the composite scoring in real time, flagging high-scoring (wallet, market) pairs for closer investigation as events approach resolution. The trader-level design is particularly well-suited for this purpose: by analyzing specific episodes rather than market-wide patterns, it identifies the individual wallets that warrant scrutiny.

Several specific policy implications emerge from the findings. First, platform operators could implement automated alerts for (wallet, market) pairs that exceed a composite score threshold in real time, enabling investigation before markets resolve. Second, the aggregate fill filter methodology demonstrates that accurate trade-level analysis is feasible from publicly available blockchain data, without requiring platform cooperation or regulatory authority. Third, the known-case enrichment finding—that documented insider trading cases are surrounded by additional suspicious wallets—suggests that enforcement actions against individual insiders may understate the scope of informed trading in the affected markets.

Finally, the methodology developed here contributes to the broader debate about prediction market regulation.³⁷³ The evidence that informed trading is a widespread phenomenon—extending well beyond the handful of publicly documented cases—underscores the importance of developing surveillance infrastructure for prediction markets, particularly as these markets grow in volume and political significance. Whether prediction markets should be regulated as securities, commodities, or a novel category, the presence of systematic informed trading supports the case for some form of market integrity oversight.

V. Legal Analysis

A. Insider Trading Doctrine and Prediction Markets

Prediction markets pose certain challenges for prohibitions on insider trading under existing law. Under federal securities law, insider trading is prohibited primarily through two theories, known as the “classical” and “misappropriation” theories. Under the classical theory, trading on material, nonpublic information concerning a given company constitutes a form of securities

³⁷³The regulatory status of prediction markets remains unsettled in the United States. The CFTC has approved Kalshi to offer certain event contracts, while Polymarket—which operates on-chain—settled with the CFTC in 2022 and subsequently restricted U.S. access. The question of whether prediction market contracts are securities, commodities, or a distinct category has significant implications for which agency has supervisory authority and what trading restrictions apply. See generally *CFTC v. Polymarket* (2022); *Kalshi Inc. v. CFTC* (D.C. Cir. 2024).

fraud when the party exploiting the information has a fiduciary duty toward shareholders of that company, and fails to disclose the information.³⁷⁴ While the federal securities laws do not impose a general duty on market participants to disclose nonpublic information,³⁷⁵ the fiduciary duty owed by a corporate insider mandates that the insider abstain from trading or disclose the information prior to trading on it. Liability under the classical theory attaches not only to trading but also to “tipping”, i.e., sharing the information with others in exchange for a personal benefit to the tipper.³⁷⁶

One chief limitation of the classical theory is that it did not account for cases where an insider exploited nonpublic information shared confidentially with that insider in order to trade in the shares of a company *other* than the one to whom the insider owed a fiduciary duty. In the 1997 case of *United States v. O’Hagan*, the Supreme Court recognized an alternative basis for liability under the so-called “misappropriation” theory, which posited that the exploitation of material, nonpublic information in breach of a duty of trust or confidence owed to the *source* of the information could give rise to securities fraud liability.³⁷⁷

Both the classical and misappropriation theories apply only to the use of material, nonpublic information to purchase or sell *securities*. While certain prediction market contracts might constitute securities—e.g., a contract whose payoff is derived from a stock price³⁷⁸—for many of these contracts, the payoff is based on a geopolitical or other macroeconomic event. It is unclear that contracts of this type are securities, and may actually be commodities not subject to the federal securities laws. As Verstein noted in a 2016 article, “[o]fficially, there is still no general restriction on insider trading in commodities markets. This has been confirmed by statutory language, rulemaking, and testimony by CFTC staff.”³⁷⁹ Notwithstanding this general principle, the CFTC recently has begun to articulate the notion that misappropriation may constitute a form of commodities fraud, as discussed below.

One notable point here is that many prediction market platforms explicitly prohibit trading on material, nonpublic information in certain contexts. For example, Section II.8(d) of the Polymarket Rules prohibits personnel and affiliates of Polymarket from trading on material, nonpublic information acquired by virtue of their role with the Company:

(d) No Company Personnel, no Company Affiliates, and no member of any committee established by the Board of Directors of the Company shall trade in any Contract or related contract or financial instrument on the basis of material non-public information of the Company.

³⁷⁴ *Chiarella v. United States*, 445 U.S. 222, 230 (1980).

³⁷⁵ Basic

³⁷⁶ *Dirks v. SEC*, 463 U.S. 646, 660 (1983).

³⁷⁷ *United States v. O’Hagan*, 521 U.S. 642, 652 (1997).

³⁷⁸ Cite definition of security as included derivative securities

³⁷⁹ Andrew Verstein, *Insider Trading in Commodities Markets*, 102 Va. L. Rev. 447, 463 (2016).

Elsewhere, Verstein has argued that position limits function as substitutes for insider trading by capping the size of any informational rent extraction. Andrew Verstein, *Insider Trading and Position Limits*, 72 UCLA L. Rev. 1014, 1016–18 (2025). Of course, the kinds of traditional commodities markets (e.g. spot, futures and commodities derivatives) that Verstein had in mind may differ in important ways from prediction markets.

*For the avoidance of doubt, any Person who, by virtue of their role with, or as an Affiliate of, the Company, acquires material non-public information of the Company is prohibited from trading on the basis of such material non-public information, or disclosing such material nonpublic information except as consistent with their official duties.*³⁸⁰

This prohibition primarily applies to insiders of *Polymarket*, and it appears that at least one CFTC regulation prohibits employees of designated contract makers (DCMs) like *Polymarket* from trading or tipping on the basis of material, nonpublic information obtained during the course of their employment.³⁸¹ Nonetheless, this is a narrower prohibition than *Kalshi's Rules*, which prohibit trading both by insiders with respect to a particular prediction contract, as well as those with the ability to influence the outcome of a contract:

(y) If a Trader is an Insider that has access to material non-public information that is the subject of an Underlying of any Contract or that has the ability to exert any influence on the subject of an Underlying of any Contract, that Trader is prohibited from attempting to enter into any trade or entering into any trade, either directly or indirectly, on the market in such Contracts. An "Insider" means any person who has access to or is in a position to have access to material nonpublic information before such information is made publicly available. A Trader who is an employee or affiliate of a Source Agency for any Contract is prohibited from attempting to enter into any trade or entering into any trade, either directly or indirectly, on the market in such Contracts.

*(z) If a Trader is a decision maker, either directly or indirectly, or has any influence, either directly or indirectly, no matter the scale and importance of the influence, on the outcome of the Underlying (event) of any Contract, that Trader is prohibited from attempting to enter into any trade or entering into any trade, either directly or indirectly, on the market in such Contracts.*³⁸²

It is clear, then, that at least under the *Kalshi Rules*, trading by "Insiders" (which is a capitalized term but undefined) on the basis of material, nonpublic information would appear to constitute breach of contract. Not every breach of contract is fraud, however. If the Contract at issue is not a security, then the securities laws—including Section 10(b) of the Securities Exchange Act of 1934—do not apply to trading in the Contract. If the Contract at issue is not a security, then if it could be shown that there was a misappropriation of information in violation of a pre-existing duty of trust or confidence owed to the source of information, trading in a commodity under those conditions may violate Section 6(c)(1) of the Commodities Exchange Act and Rule 180.1(a)(1) and (3) promulgated under that Act.³⁸³ Otherwise, at best, there may be a question of liability for breach of contract, and it seems to be an open question whether the victims of this sort of trading are third-party beneficiaries who would have standing to bring a claim against an insider under state contract law principles.

³⁸⁰ [https://polymarketexchange.com/files/legal/Polymarket%20US%20Rulebook%20\(2025.12.30\).pdf](https://polymarketexchange.com/files/legal/Polymarket%20US%20Rulebook%20(2025.12.30).pdf)

³⁸¹ 17 CFR § 1.59(d).

³⁸² <https://kalshi-public-docs.s3.amazonaws.com/regulatory/rulebook/Kalshi%20Rulebook%20v1.24.pdf>

³⁸³ 7 U.S.C. § 9(1); 17 C.F.R. § 180.1(a).

The same statutes and rules may be employed to prosecute trading in contracts where the trader has some control or influence over the outcome.³⁸⁴ This view of the law reflects the position of the Commodities Futures Trading Commission (CFTC), which disclosed internal disciplinary actions at Kalshi along these lines as examples of potentially illegal activity.³⁸⁵ The view that the CFTC has authority to pursue enforcement actions based on the misappropriation of confidential information based on general anti-fraud principles analogous to Rule 10b-5 has found some support in case law³⁸⁶ as well as administrative enforcement actions.

Besides the securities or commodities laws, the U.S. Court of Appeals for the Second Circuit has held that federal wire fraud statutes may apply *if* it can be shown that trading in a prediction contract involved the misappropriation of information that had demonstrable commercial value to a party seeking to keep the information confidential.³⁸⁷ This is a high burden on the prosecution, given that much nonpublic information concerning future prediction market events may have little, if any, commercial value to the party possessing the nonpublic information, *even if that information would have value to a trader in a prediction market*. Consider, for example, nonpublic information concerning war or military activities by an armed actor. It is not clear that this information has a commercial value to the armed actor and thus may constitute nothing more than an “intangible interest[] unconnected to traditional property rights.”³⁸⁸

One additional point is that not all seemingly informed trading in prediction markets involves material, nonpublic *information* in the sense that term has been traditionally used. For example, there was some controversy over highly profitable bets on Donald Trump winning the 2024 presidential election.³⁸⁹ While much of the controversy focused on the manipulability of those markets, these highly risky bets do, by all accounts, appear similar to informed trading. Nonetheless, it is clear that one cannot possess “information” about the outcome of an election, as the outcome reflects the cumulative effect of a series of independent events. A market participant’s superior analysis and aggregation of the available information might look similar to trading on the basis of nonpublic information, but does not involve “information” in the traditional sense. Putting manipulation considerations aside, there is no prohibition on exploiting superior analysis when identifying the likelihood of future events (nor is it clear that there should be).

B. Regulatory Architecture and the Classification Problem

Prediction markets themselves raise a number of general regulatory questions. The legal status of prediction markets has been shaped by a sequence of no-action letters, statutory

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³⁸⁵ CFTC Enforcement Division Issues Prediction Markets Advisory, CFTC Rel. No. 9158-26 (Feb. 25, 2026).

³⁸⁶ See, e.g., *Commodity Futures Trading Comm’n v. EOX Holdings L.L.C.*, 405 F. Supp. 3d 697, 709 (S.D. Tex. 2019) (misappropriation of confidential information by broker-dealer is

³⁸⁷ *United States v. Chastain*, 145 F.4th 282 (2d Cir. 2025).

³⁸⁸ *Id.* at 295.

³⁸⁹ See Alexander Osipovich, *A Mystery \$30 Million Wave of Pro-Trump Bets Has Moved a Popular Prediction Market*, Wall St. J. (Oct. 18, 2024), https://www.wsj.com/finance/betting-election-pro-trump-ad74aa71?mod=article_inline.

enactments, and a pivotal court battle. The CFTC's Division of Market Oversight granted no-action relief to the Iowa Electronic Markets in 1992 and 1993,³⁹⁰ and to Victoria University of Wellington in 2014,³⁹¹ subject to conditions including a per-contract position limit, trader caps, and not-for-profit academic operation. Tom Bell's early scholarship mapped the three principal regulatory threats to prediction markets - gambling laws, CFTC commodity futures regulation, and SEC securities regulation - and proposed legal strategies to inoculate qualifying prediction markets from all three.³⁹²

The Dodd-Frank Act's Section 745, codified at Section 5c(c)(5)(C) of the Commodity Exchange Act, created a "special rule" authorizing the CFTC to prohibit event contracts involving gaming, terrorism, war, or activity unlawful under state or federal law.³⁹³ When Kalshi self-certified Congressional Control Contracts in June 2023, the CFTC voted to disapprove them, finding they constituted gaming and activity that is unlawful under State law, and are contrary to the public interest.³⁹⁴ Judge Jia Cobb of the D.C. District Court ruled for Kalshi on summary judgment, holding that elections are neither gaming nor unlawful activity.³⁹⁵ The CFTC dropped its appeal in May 2025 after the change in administration.³⁹⁶

Critically, this lack of clarity regarding regulatory frameworks for prediction markets is even more substantial when it comes to insider trading. The "Eddie Murphy rule," enacted in Section 746 of the Dodd-Frank Act,³⁹⁷ was specifically designed to prohibit trading in commodity derivatives on material non-public information misappropriated from a government source. This was promulgated by the CFTC in Regulation 180.1, which was designed to prohibit fraud and manipulation rules in connection with swaps and commodity contracts - including misuse of information.³⁹⁸ This rule, modelled on SEC Rule 10b-5 but narrower in critical respects, is the primary legal vehicle through which insider trading on prediction markets could be prosecuted. It

³⁹⁰Letter from Andrea M. Corcoran, Director, Div. of Trading & Mkts., U.S. Commodity Futures Trading Comm'n, to George R. Neumann, Univ. of Iowa (Feb. 5, 1992), available at <https://www.cftc.gov/sites/default/files/files/foia/repfoia/foirf0503b002.pdf>; Letter from Andrea M. Corcoran, Director, Div. of Trading & Mkts., U.S. Commodity Futures Trading Comm'n, to George R. Neumann, Univ. of Iowa (June 18, 1993).

³⁹¹Letter from Vincent McGonagle, Director, Div. of Mkt. Oversight, U.S. Commodity Futures Trading Comm'n, to Neil Quigley, Victoria Univ. of Wellington (Oct. 29, 2014), CFTC No-Action Letter No. 14-130, <https://www.cftc.gov/csl/14-130/download>.

³⁹²Tom W. Bell, Private Prediction Markets and the Law, 3 J. Prediction Mkts. 89, 93-94 (2009).

³⁹³Dodd-Frank Wall Street Reform and Consumer Protection Act § 745, Pub. L. No. 111-203, 124 Stat. 1376, 1739-40 (2010) (amending § 5c(c) of the Commodity Exchange Act to add what is now codified at 7 U.S.C. § 7a-2(c)(5)(C)).

³⁹⁴Commodity Futures Trading Commission, CFTC Disapproves KalshiEX LLC's Congressional Control Contracts (Sept. 22, 2023), <https://www.cftc.gov/PressRoom/PressReleases/8780-23>.

³⁹⁵KalshiEX LLC v. Commodity Futures Trading Comm'n, No. 23-cv-3257 (D.D.C. Sept. 12, 2024) (Cobb, J.).

³⁹⁶Laura Matthews & Chris Prentice, CFTC Moves to Drop Appeal in Kalshi's Event Contracts Case, Reuters (May 6, 2025), <https://www.reuters.com/markets/commodities/cftc-moves-drop-appeal-kalshis-event-contracts-case-2025-05-05/>.

³⁹⁷Dodd-Frank Wall Street Reform and Consumer Protection Act, Pub. L. No. 111-203, § 746, 124 Stat. 1376, 1739 (2010) (adding Commodity Exchange Act § 6(c)(1), codified at 7 U.S.C. § 9(1)).

³⁹⁸See 17 C.F.R. § 180.1(b) (2011); 76 Fed. Reg. 41,398 (July 14, 2011).

was used, for example, in the CFTC's first insider trading enforcement action,³⁹⁹ *In re Motazed*.⁴⁰⁰ Unlike securities law, Rule 180.1 does not explicitly create an affirmative duty to disclose, and trading on "lawfully obtained" commercial information, without engaging in deception or fraud, remains legal. However, the CFTC has never applied this rule to prediction markets.

The regulatory posture shifted in early 2026, with CFTC Chairman Michael Selig announcing a four-part plan: new rulemaking on event contracts, withdrawal of the proposed ban on political and sports contracts, clarify the lines between the SEC and CFTC as they relate to regulation of options and swaps, and assertion of exclusive CFTC jurisdiction⁴⁰¹ - reinforced by a February 17, 2026, amicus brief in the Ninth Circuit.⁴⁰² Furthermore, incidents that raise concerns of insider trading, like the Maduro case prompted Representative Ritchie Torres to introduce the Public Integrity in Financial Prediction Markets Act of 2026 (H.R. 7004),⁴⁰³ which would prohibit federal officials from trading on prediction market contracts where they possess or could reasonably obtain material non-public information.⁴⁰⁴ However, these regulatory developments are still in early stages and quite narrow, and it is unclear that they will be effective in mitigating insider trading.

Moreover, the scope of this regulation is yet uncertain. Of the different prediction markets, only Kalshi and Interactive Brokers operate under full regulatory approval, while "Polymarket operates in a legal gray area."⁴⁰⁵ This regulatory asymmetry has direct relevance to the insider-trading analysis: Kalshi's status brings it within the CFTC's anti-fraud and anti-manipulation jurisdiction, while Polymarket's gray-area status may leave informed trading entirely unregulated. It is important to note that Polymarket has recently re-entered the US market, reigniting the regulatory debate.⁴⁰⁶

³⁹⁹*Id.*, at 451.

⁴⁰⁰Arya Motazed, CFTC No. 16-02 (Dec. 2, 2015), <http://www.cftc.gov/idc/groups/public/@lrenforcementactions/documents/legalpleading/enfmotazedior120215.pdf> [<https://perma.cc/6FP5-YBQK>].

⁴⁰¹Michael Selig, Chairman, Commodity Futures Trading Comm'n, The Next Phase of Project Crypto: Unleashing Innovation for All Americans (Jan. 29, 2026), <https://www.cftc.gov/PressRoom/SpeechesTestimony/opaselig1>.

⁴⁰²Press Release, Commodity Futures Trading Comm'n, CFTC Reaffirms Exclusive Jurisdiction Over Commodity Derivatives Markets in U.S. Circuit Court Filing, No. 9183-26 (Feb. 17, 2026), <https://www.cftc.gov/PressRoom/PressReleases/9183-26>.

⁴⁰³Public Integrity in Financial Prediction Markets Act of 2026, H.R. 7004, 119th Cong. (2026), <https://www.congress.gov/bill/119th-congress/house-bill/7004>.

⁴⁰⁴Press release, In Response to Suspicious Polymarket Trade Preceding Maduro Operation, Rep. Ritchie Torres Introduces Legislation to Crack Down on Insider Trading on Prediction Markets, Ritchie Torres (Jan. 9, 2026), <https://ritchietorres.house.gov/posts/in-response-to-suspicious-polymarket-trade-preceding-maduro-operation-rep-ritchie-torres-introduces-legislation-to-crack-down-on-insider-trading-on-prediction-markets>.

⁴⁰⁵Diercks, Katz & Wright, *supra* note 13, at 6.

⁴⁰⁶Tanzeel Akhtar, Polymarket's U.S. Comeback Positions Prediction Markets as a Coinbase Retention Play: Analyst, Cryptonews, (reposted on Yahoo Finance) (Jan. 26, 2026), <https://finance.yahoo.com/news/polymarket-u-comeback-positions-prediction-122943953.html>.

The EU does not currently have a unified regulatory framework for prediction markets,⁴⁰⁷ and they are often treated as gambling sites, with some member states (such as France⁴⁰⁸ and Belgium⁴⁰⁹) banning their activity altogether. However, as most of the platforms are cryptocurrency-based, they may face the implementation of the EU's Markets in Crypto-Assets (MiCA) regulation,⁴¹⁰ which includes “measures to prevent insider dealing, unlawful disclosure of inside information and market manipulation related to crypto-assets, in order to ensure the integrity of markets in crypto-assets.”⁴¹¹ These measures refer specifically to insider information regarding the price of crypto-assets,⁴¹² insider dealing by way of acquiring or disposing of crypto-assets,⁴¹³ and market manipulation in ways that can affect the price of crypto-assets.⁴¹⁴ It is yet unclear if these will apply to prediction market tokens.

C. Insider Trading in the Age of Prediction Markets

The foregoing analysis raises a question that the literature has not yet squarely addressed: should insider trading regulation in prediction markets attach to the platform (the exchange or protocol on which contracts are traded), to the contract (the specific event contract type that creates the informational risk), or to both? And should the answer depend on the underlying technology of the platform - specifically, whether it is a centralized exchange like Kalshi or a decentralized, blockchain-based protocol like Polymarket? These questions have no satisfying answers under current law, and the regulatory gap they create is a structural consequence of the mismatch between insider trading doctrine's transactional focus and prediction markets' architectural novelty.

Platform-level regulation - subjecting prediction market operators to mandatory surveillance, reporting, and anti-fraud obligations as a condition of lawful operation - is the approach embedded in the CFTC's Designated Contract Market framework and illustrated by Kalshi's

⁴⁰⁷Quirino Mealha, The Business of Predicting the Future is Booming but EU Regulators Remain Uneasy, *EuroNews* (Dec. 12, 2025, updated Jan. 2, 2026), <https://www.euronews.com/business/2025/12/30/the-business-of-predicting-the-future-is-booming-but-eu-regulators-remain-uneasy>.

⁴⁰⁸Plateformes de Marchés de Prédiction : Des Sites Illégaux en France Qui Peuvent Présenter des Risques pour Les Utilisateurs (Feb. 2, 2026), <https://anj.fr/plateformes-de-marches-de-prediction-des-sites-illegaux-en-france-qui-peuvent-presenter-de-s-risques>. According to the French authorities, the following countries have also banned Polymarket as it offers gambling services: Germany, Belgium, Romania, Switzerland, the Netherlands, Poland, Greece, Cyprus, Ukraine and Portugal.

⁴⁰⁹List of Illegal Gambling Sites Blocked by the GC, FPS Justice Gaming Commission, <https://www.gamingcommission.be/en/gaming-commission/illegal-games-of-chance/list-of-illegal-gambling-sites-blocked-by-the-gc> (last visited Feb. 27, 2026) (showing Polymarket as Illegal Website No. 582, banned on Jan. 30, 2025).

⁴¹⁰*Id.*

⁴¹¹Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on Markets in Crypto-Assets, and Amending Regulations (EU) No 1093/2010 and (EU) No 1095/2010 and Directives 2013/36/EU and (EU) 2019/1937, art. 1(2)(e), 2023 O.J. (L 150) 40 (hereinafter MiCA).

⁴¹²*Id.*, at Art. 87.

⁴¹³*Id.*, at Art. 89.

⁴¹⁴*Id.*, at Art. 91.

regulatory status.⁴¹⁵ Its principal advantage is comprehensiveness: once a platform is regulated, all contracts it lists are presumptively subject to the relevant anti-fraud rules, without the need to identify in advance which specific contracts create insider trading risks. Its principal disadvantage is that it reaches only operators who voluntarily submit to regulation - leaving offshore, decentralized platforms like Polymarket, which has hosted the majority of documented suspicious trading, entirely outside the framework.⁴¹⁶

Contract-level regulation - prohibiting or imposing special requirements on specific categories of event contract identified as high-risk for insider trading - is the approach reflected in the Dodd-Frank Act's Section 745 framework and in H.R. 7004.⁴¹⁷ Its advantage is precision: it can target the specific information channels (government data releases, military operations, corporate decisions) where the insider trading problem is most acute, without foreclosing the broader category of prediction markets. Its disadvantage is the identification problem: because the universe of potential event contracts is effectively unlimited, any contract-specific prohibition will be underinclusive, and sophisticated actors will simply route their trades through contract types not yet covered. H.R. 7004's limitation to federal officials trading on government policy information illustrates this precisely - it would not have reached the documented trades in the Venezuelan, Nobel Prize, Google Year in Search, or IDF cases, none of which involved a U.S. federal official.⁴¹⁸

The technology question adds a further dimension of complexity. The conventional view in financial regulation is that rules should be technology-neutral - that the same conduct should attract the same legal treatment regardless of whether it is executed on a traditional exchange

⁴¹⁵KalshiEX LLC v. CFTC, No. 23-cv-3257 (D.D.C. Sept. 12, 2024); 7 U.S.C. § 7a-3(c)(5)(C) (2018) (Dodd-Frank Act § 745). The classification of a prediction market platform as a Designated Contract Market triggers the full suite of CFTC oversight obligations — including market surveillance, position reporting, and anti-manipulation rules — and brings it within Rule 180.1's anti-fraud jurisdiction.

⁴¹⁶Diercks, Katz & Wright, *supra* note 7, at 2 (noting that "Polymarket operates in a legal gray area" while only Kalshi and Interactive Brokers operate under full regulatory approval). Polymarket is preparing a CFTC-regulated U.S. reentry, which would resolve some but not all jurisdictional questions. See CFTC Press Release No. 9185-26 (Feb. 25, 2026) (CFTC Division of Enforcement advisory warning that insider trading on event contracts may violate CEA § 6(c)(1) and 17 C.F.R. § 180.1, while acknowledging that enforcement against offshore pseudonymous traders presents "significant jurisdictional challenges").

⁴¹⁷The contract-level approach is illustrated by the Dodd-Frank Act § 745 framework, which authorizes the CFTC to prohibit specific event contract categories (gaming, terrorism, war) regardless of the platform on which they are offered. 7 U.S.C. § 7a-3(c)(5)(C) (2018). The platform-level approach is illustrated by the DCM registration regime, under which Kalshi's status as a Designated Contract Market subjects all its contracts — not just specific categories — to CFTC anti-fraud and anti-manipulation rules. See 7 U.S.C. § 7 (2018).

⁴¹⁸H.R. 7004, 119th Cong. (2026) (Public Integrity in Financial Prediction Markets Act) (contract-level approach: prohibiting specific trades by specific persons on government-policy-related contracts, without addressing the platform's regulatory status). The Torres bill exemplifies the limitation of purely contract-level regulation: it covers federal officials but not corporate insiders, military personnel, or foreign nationals — categories that the documented incidents (the IDF reservist, the Venezuelan operation) show are at least as significant. See Press Release, Rep. Ritchie Torres (Jan. 15, 2026), <https://ritchietorres.house.gov/posts/in-response-to-suspicious-polymarket-trade-precending-maduro-operation-rep-ritchie-torres-introduces-legislation-to-crack-down-on-insider-trading-on-prediction-markets>.

or a blockchain-based protocol.⁴¹⁹ Applied to prediction markets, this principle supports treating Polymarket's blockchain infrastructure as legally irrelevant to the question of whether insider trading has occurred. But technology-neutrality is harder to operationalize than it sounds. The pseudonymity of blockchain-based platforms makes it significantly more difficult to identify traders and prove the mental element required for insider trading liability. The absence of a licensed operator who can be held responsible for market surveillance - a feature of decentralized protocols that distinguishes them fundamentally from centralized exchanges - means that platform-level regulation, however well designed, may simply have no entity to whom obligations can be directed. In this sense, the technology is not merely incidental to the regulatory problem but partially constitutive of it: the same architectural features that make Polymarket resistant to manipulation also make it resistant to insider trading enforcement.

We argue that neither platform-level nor contract-level regulation alone is sufficient, and that the technology question cannot be answered by invoking neutrality alone. A comprehensive framework requires platform-level regulation - mandatory registration, surveillance, and reporting obligations - for any prediction market operator that offers contracts to U.S. persons, enforced through the CFTC's extraterritorial jurisdiction and Polymarket's planned U.S. reentry; contract-level regulation targeting the specific information channels - government data releases, military and diplomatic operations, corporate material events - where the informational asymmetries are most severe and the identifiable insider population is largest;⁴²⁰ and, for blockchain-based platforms that resist operator-level regulation, a novel liability theory directed at informed traders themselves under the misappropriation doctrine's breach-of-duty framework, extended by rulemaking to the non-securities duties of confidentiality that government employees, military personnel, and corporate insiders owe to their respective principals. The position-limits approach Verstein recommends may supplement but cannot replace this framework: a position limit of, say, \$1 million would not have prevented the \$515,000 profit earned by Magamyman seventy-one minutes before the Iran strikes were announced, nor the

⁴¹⁹The technology-neutrality principle is well-established in financial regulation. See, e.g., SEC Release No. 34-81207 (July 25, 2017) ("The federal securities laws apply to those who offer and sell securities in the United States, regardless whether the issuing entity is a traditional company or a decentralized autonomous organization."); *Commodity Futures Trading Comm'n v. McDonnell*, 287 F. Supp. 3d 213, 228 (E.D.N.Y. 2018) (holding that virtual currencies are commodities subject to CFTC jurisdiction regardless of their technological form). The question is whether prediction market tokens — which represent contractual payoffs in specific real-world states rather than ownership interests in an underlying asset — fit within existing definitional categories or require a new classification. To read more on blockchain-based platforms see: Moran ofir & Ido Sadeh, *ICO vs IPO: Empirical Findings, Information Asymmetry, and the Appropriate Regulatory Framework*, *Vanderbilt Journal of Transnational Law*, Vol. 53 No. 2, pp 525-613, 2020; Moran ofir & Ido Sadeh, *Asymmetric Information in Blockchain-based Fundraising: From ICOs to INOs*, Ch. 8, *The Cambridge Handbook on Law and Policy for NFTs* (Nizan Geslevich Packin Ed.), Cambridge University Press, pp 161-178, 2024.

⁴²⁰CFTC Press Release No. 9185-26 (Feb. 25, 2026) (first CFTC advisory explicitly addressing insider trading on prediction market platforms). The advisory was accompanied by Kalshi's first public insider trading enforcement actions — a \$20,397 fine against MrBeast video editor Artem Kaptur and a \$2,246 fine against political candidate Kyle Langford — demonstrating that platform-level regulation can generate enforcement even without contract-specific prohibition. See *In re Motazed*, CFTC Docket No. 16-02 (Jan. 5, 2016) (establishing that Rule 180.1 reaches insider trading in commodity derivatives through the misappropriation theory).

\$6.5 million lost by anoin123 on the same day - but it would have reduced the scale of extraction and, importantly, would apply regardless of whether the trader can be identified as having breached a duty of confidentiality.⁴²¹

VI. Conclusion

Prediction markets have emerged as a venue for aggregating dispersed information about uncertain future events. Their growth is a testament to Hayek's insight that decentralized markets can harness private knowledge more efficiently than any centralized mechanism. But the same dynamics that make prediction markets epistemically powerful also make them vulnerable to a problem that regulators have barely begun to address: informed trading by those with access to material nonpublic information about the events underlying these markets.

This Article has assembled a systematic empirical and legal account of that problem. The Maduro trade and the February 2026 Iran strike trades involved advance knowledge of covert U.S. military operations — among the most closely guarded secrets in the national security apparatus. The IDF case involved an active-duty reservist who accessed classified operational plans for Israel's June 2025 strikes on Iran's nuclear infrastructure. The Nobel Peace Prize case involved what investigators concluded was state-level digital espionage targeting a venerable international institution. The AlphaRaccoon case involved repeated, extraordinarily precise predictions of proprietary Google data. The OpenAI browser case involved likely advance knowledge of a major corporate product launch. And the Taylor Swift case involved the intimate social knowledge of a celebrity's personal life. These incidents span the full spectrum of informational advantage: classified government intelligence, corporate trade secrets, and private social knowledge. What they share is that each was monetized through prediction markets in a manner that current law does not clearly prohibit.

The systematic analysis in Part IV suggests that these documented cases are not isolated anomalies. Across more than 210,000 suspicious wallet-market pairs drawn from two years of Polymarket trading data, flagged traders achieved a 69.9% win rate — a result that exceeds the null distribution of random chance by more than 60 standard deviations under a permutation test. The aggregate profit attributable to anomalous trading approaches \$143 million. This figure is almost certainly a lower bound: the screening is buy-side only, excludes positions below \$500, and cannot detect informed traders who deliberately limit their bets to evade statistical detection. The true magnitude of informed trading on prediction markets may be larger.

In Part V, we explain why enforcement has lagged so dramatically behind the empirical evidence. The two principal theories of insider trading liability under U.S. securities law — classical and misappropriation — presuppose a transactional structure in which a fiduciary trades securities of a company to which a duty of loyalty runs. That structure does not map onto geopolitical or macroeconomic event contracts, which derive their value not from corporate

⁴²¹Raj Ashar, *Insider Trading in the Era of Prediction Markets* 18–24 (SSRN Working Paper No. 5617110, 2025), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5617110 (proposing a hybrid framework that subjects CFTC-registered prediction market platforms to mandatory surveillance and reporting obligations while applying contract-specific prohibitions to government-related information channels).

performance but from acts of state, natural phenomena, or human events untethered to any corporate relationship. The CFTC's primary anti-fraud vehicle, Rule 180.1, is narrower than SEC Rule 10b-5 in critical respects and has never been applied to prediction markets in a contested enforcement action. Wire fraud offers a partial substitute but requires demonstrating that the exploited information had commercial value to the party from whom it was misappropriated — a demanding standard that will often be unmet when the source of the information is a government agency or a private individual rather than a commercial enterprise.

The legislative responses to date have been well-intentioned but structurally inadequate. Representative Torres's Public Integrity in Financial Prediction Markets Act of 2026 addresses the paradigmatic case of a federal official trading on government information — a case largely within the reach of existing law even before the bill's introduction — while leaving untouched the corporate insider problem illustrated by the AlphaRaccoon and OpenAI browser cases, the military intelligence problem illustrated by the IDF case, the foreign state espionage problem illustrated by the Nobel Prize case, and the personal information problem illustrated by the Taylor Swift case. Contract-level legislation, however carefully crafted, faces the identification problem: the universe of potential prediction market contracts is unlimited, and any specific prohibition can be circumvented by novel contract design.

A comprehensive regulatory response requires three integrated elements. **First**, platform-level registration and surveillance obligations should apply to any prediction market operator that offers contracts to U.S. persons, regardless of the operator's domicile or technological architecture. The CFTC has asserted extraterritorial jurisdiction over offshore platforms that solicit U.S. customers in other contexts; the same authority supports requiring Polymarket — as it re-enters the U.S. market — to comply with the surveillance, reporting, and anti-fraud obligations that govern all other U.S. derivatives markets. **Second**, contract-level rules should target the specific information channels where insider asymmetries are most severe and the population of potential insiders is most identifiable: government data releases, military and diplomatic operations, and corporate material events. These are categories where the source of the informational advantage, the duty of confidentiality, and the foreseeable harm to counterparties can all be specified with sufficient precision to support rule-based prohibition. **Third**, for blockchain-based platforms that structurally resist operator-level regulation, the misappropriation theory should be extended by rulemaking and/or statutory reform to reach informed traders directly. The theory's core logic — that the deceptive conversion of confidential information for personal gain at the expense of those who entrusted it constitutes fraud — does not depend on the existence of a regulated platform intermediary. Government employees, military personnel, and corporate insiders who trade on material nonpublic information in prediction markets breach duties of confidentiality that are indistinguishable from those at the heart of *O'Hagan*, and CFTC rulemaking (or, if necessary, Congressional action) could extend Rule 180.1's reach accordingly.

The cases documented in this Article also highlight a dimension of the informed trading problem that existing frameworks are structurally ill-equipped to address: the international dimension. The Nobel Peace Prize case involved what Norwegian authorities concluded was state-level cyber espionage targeting a Norwegian institution, with trades executed on a pseudonymous

blockchain platform by traders of unknown nationality. The IDF case involved an Israeli reservist, classified Israeli military intelligence, and an offshore blockchain platform outside the jurisdiction whose secrets were compromised. Any regulatory framework calibrated solely to U.S. institutional actors will be systematically underinclusive for an instrument that is global in reach, pseudonymous in structure, and frictionless in execution. International coordination among financial regulators, intelligence agencies, and law enforcement authorities is not a sufficient condition for effective enforcement, but it is a necessary one.

A further complication is the social welfare dimension. Prediction markets derive their principal value from the incentive they create for informationally advantaged participants to reveal their private knowledge through trading. Some of the insider trades documented here arguably accelerated the incorporation of accurate information into market prices, providing social value even as they transferred wealth from uninformed counterparties. The Insider Finder tool's founder captured this tension candidly: "Insider trading just accelerates the truth faster at the end of the day." But this Hayekian defense of informed trading has limits. Trading on classified military intelligence compromises operational security regardless of its price-discovery benefits. Trading on stolen espionage represents an externality imposed on the institution whose security was breached. And the systematic extraction of wealth from retail participants who take the opposite side of informed trades threatens the long-run viability of prediction markets as public goods. The case for regulation does not require concluding that all informed trading is harmful; it requires only concluding that the harms of some informed trading exceed its benefits, and that the legal system should have tools to distinguish between the two.

The events of early 2026 — the Iran strike trades, the CFTC's first prediction market insider trading enforcement actions, the Israeli indictments, and Polymarket's re-entry into the U.S. market — suggest that the window for proactive regulation is open but may not remain so indefinitely. Prediction markets are growing rapidly in volume, sophistication, and political salience.

From Iran to Taylor Swift, the range of events that prediction markets now price reflects both their extraordinary informational reach and their extraordinary vulnerability to exploitation. Whether that vulnerability is addressed through the kind of comprehensive framework sketched here, through narrower legislative interventions, or through platform-level self-regulation will determine whether prediction markets mature into the reliable information-aggregation mechanisms their proponents envision — or remain, as they are today, an unregulated frontier where those with access to secrets can extract wealth at the expense of those without.